



**FOR AN ECOLOGY
THAT PROTECTS**

**CONSOLIDATED
FINANCIAL STATEMENTS
AT DECEMBER 31, 2025**

Version under review by
the Statutory Auditors



6

FINANCIAL STATEMENTS

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6.1 Consolidated financial statements RFA

6.1.1 CONSOLIDATED STATEMENT OF FINANCIAL POSITION

Consolidated Statement of Financial Position - Assets

(€ million)	Notes	As of December 31, 2024	As of December 31, 2025
Goodwill	Note 7.1	11,783	11,456
Concession intangible assets	Note 7.2.1	5,255	5,301
Other intangible assets	Note 7.2.2	2,830	2,645
Property, plant and equipment	Note 7.3	17,933	18,404
Rights of use (net)	Note 7.4	1,819	1,806
Investments in joint ventures	Note 5.2.4	1,044	948
Investments in associates	Note 5.2.4	632	616
Non-consolidated investments		77	84
Non-current operating financial assets	Note 5.4	1,218	1,012
Non-current derivative instruments - Assets	Note 8.3	67	45
Other non-current financial assets	Note 8.1.2	534	520
Deferred tax assets	Note 11.2	1,958	1,970
Non-current assets		45,149	44,807
Inventories and work-in-progress	Note 5.3	1,497	1,465
Operating receivables	Note 5.3	14,038	13,739
Current operating financial assets	Note 5.4	135	135
Other current financial assets	Note 8.1.2	2,371	2,360
Current derivative instruments - Assets	Note 8.3	166	144
Cash and cash equivalents	Note 8.1.3	9,601	8,021
Assets classified as held for sale	Note 3.3	-	-
Current assets		27,809	25,864
TOTAL ASSETS		72,959	70,671

The accompanying notes are an integral part of these consolidated financial statements.

Amounts are in millions of euros rounded to the nearest whole number, unless stated otherwise in the notes. Accordingly, the sum of rounded amounts may present non-material differences with total figures.

Consolidated Statement of Financial Position – Equity and Liabilities

(€ million)	Notes	As of December 31, 2024	As of December 31, 2025
Share capital	Note 9.2.1	3,703	3,709
Additional paid-in capital		9,902	9,895
Deeply-subordinated perpetual securities	Note 9.4	3,337	3,831
Reserves and retained earnings attributable to owners of the Company	6.1.5 & Note 9.2	-4,027	-6,580
Total equity attributable to owners of the Company	Note 9.2	12,915	10,855
Total equity attributable to non-controlling interests	Note 9.3	2,391	2,409
Equity		15,306	13,264
Non-current provisions	Note 10	2,749	2,661
Non-current financial liabilities	Note 8.1.1	18,281	18,978
Non-current IFRS 16 lease debt	Note 8.1.1	1,523	1,514
Non-current derivative instruments - Liabilities	Note 8.3	365	319
Concession liabilities – non-current	Note 5.5	1,459	1,339
Deferred tax liabilities	Note 11.2	2,606	2,557
Non-current liabilities		26,983	27,368
Operating payables	Note 5.3	19,540	19,216
Concession liabilities - current	Note 5.5	303	311
Current provisions	Note 10	1,066	1,260
Current financial liabilities	Note 8.1.1	8,819	8,341
Current IFRS 16 lease debt	Note 8.1.1	462	469
Current derivative instruments - Liabilities	Note 8.3	282	226
Bank overdrafts and other cash position items	Note 8.1.3	197	215
Liabilities directly associated with assets classified as held for sale	Note 3.3	-	-
Current liabilities		30,670	30,039
TOTAL EQUITY AND LIABILITIES		72,959	70,671

The accompanying notes are an integral part of these consolidated financial statements.

Amounts are in millions of euros rounded to the nearest whole number, unless stated otherwise in the notes. Accordingly, the sum of rounded amounts may present non-material differences with total figures.

6.1.2 CONSOLIDATED INCOME STATEMENT

(€ million)	Notes	Year ended December 31, 2024	Year ended December 31, 2025
Revenue	Note 5.1	44,692	44,396
Cost of sales	Note 5.2	-36,924	-36,523
Selling costs	Note 5.2	-1,000	-993
General and administrative expenses	Note 5.2	-3,459	-3,333
Other operating revenue and expenses	Note 5.2	-429	-338
Operating income before share of net income (loss) of equity-accounted entities	Note 5.2	2,881	3,208
Share of net income (loss) of equity-accounted entities		132	90
<i>o/w share of net income (loss) of joint ventures</i>	Note 5.2.4	71	32
<i>o/w share of net income (loss) of associates</i>	Note 5.2.4	61	58
Operating income after share of net income (loss) of equity-accounted entities		3,012	3,299
Cost of net financial debt	Note 8.4.1	-590	-654
Other financial income and expenses	Note 8.4.2	-309	-321
Pre-tax net income (loss)		2,114	2,324
Income tax expense	Note 11.1	-566	-587
Net income (loss) from continuing operations		1,547	1,737
Net income (loss) from discontinued operations	Note 3.3.1	-103	-118
Net income (loss) for the year		1,445	1,619
Attributable to owners of the Company		1,098	1,217
Attributable to non-controlling interests	Note 9.3	347	402
NET INCOME (LOSS) ATTRIBUTABLE TO OWNERS OF THE COMPANY PER SHARE (in euros)	Note 9.5		
Basic		1.45	1.55
Diluted		1.40	1.54
NET INCOME (LOSS) FROM CONTINUING OPERATIONS ATTRIBUTABLE TO OWNERS OF THE COMPANY PER SHARE (in euros)	Note 9.5		
Basic		1.59	1.71
Diluted		1.54	1.70
NET INCOME (LOSS) FROM DISCONTINUED OPERATIONS ATTRIBUTABLE TO OWNERS OF THE COMPANY PER SHARE (in euros)	Note 9.5		
Basic		-0.14	-0.16
Diluted		-0.14	-0.16

The accompanying notes are an integral part of these consolidated financial statements.

Amounts are in millions of euros rounded to the nearest whole number, unless stated otherwise in the notes. Accordingly, the sum of rounded amounts may present non-material differences with total figures.

6.1.3 CONSOLIDATED STATEMENT OF COMPREHENSIVE INCOME

(€ million)	Year ended December 31, 2024	Year ended December 31, 2025
Net income (loss) for the year	1,445	1,619
Actuarial gains or losses on pension obligations	22	-53
Income tax expense	-8	4
<i>Amount net of tax</i>	<i>15</i>	<i>-49</i>
Fair value adjustments on financial instruments at fair value through equity not subsequently released to net income	1	6
Income tax expense	1	-
<i>Amount net of tax</i>	<i>2</i>	<i>6</i>
Other items of comprehensive income not subsequently released to net income	16	-43
o/w attributable to joint ventures	-	-
o/w attributable to associates	-	-
Fair value adjustments on hedging costs	6	-11
Income tax expense	-	-
<i>Amount net of tax</i>	<i>6</i>	<i>-11</i>
Fair value adjustments on financial instruments at fair value through equity subsequently released to net income	-	-
Income tax expense	-	-
<i>Amount net of tax</i>	<i>-</i>	<i>-</i>
Fair value adjustments on cash flow hedge derivatives	51	-61
Income tax expense	-12	18
<i>Amount net of tax</i>	<i>39</i>	<i>-43</i>
Foreign exchange gains and losses:		
• on the translation of the financial statements of subsidiaries drawn up in a foreign currency	366	-1,286
<i>Amount net of tax</i>	<i>366</i>	<i>-1,286</i>
• on the net financing of foreign operations	-67	45
• income tax expense	-1	2
<i>Amount net of tax</i>	<i>-68</i>	<i>47</i>
Other items of comprehensive income subsequently released to net income	343	-1,292
o/w attributable to joint ventures	6	-81
o/w attributable to associates	5	-14
Total Other comprehensive income	359	-1,335
TOTAL COMPREHENSIVE INCOME FOR THE PERIOD	1,804	284
Attributable to owners of the Company	1,465	-9
Attributable to non-controlling interests	339	293

The accompanying notes are an integral part of these consolidated financial statements.

Amounts are in millions of euros rounded to the nearest whole number, unless stated otherwise in the notes. Accordingly, the sum of rounded amounts may present non-material differences with total figures.

6.1.4 CONSOLIDATED CASH FLOW STATEMENT

(€ million)	Notes	As of December 31, 2024	As of December 31, 2025
Net income (loss) for the period		1,445	1,619
Net income (loss) from continuing operations		1,547	1,737
Net income (loss) from discontinued operations		-103	-118
Operating depreciation, amortization, provisions and impairment losses		3,071	3,022
Financial amortization and impairment losses		-75	3
Gains (losses) on disposal of operating assets		-36	-38
Gains (losses) on disposal of financial assets		-64	-6
Share of net income (loss) of joint ventures	Note 5.2.4	-71	-32
Share of net income (loss) of associates	Note 5.2.4	-61	-58
Dividends received	Note 8.4.2	-3	-4
Cost of net financial debt	Note 8.4.1	590	654
Income tax expense	Note 11	566	587
Other items		353	279
Operating cash flow before changes in working capital		5,818	6,144
Change in operating working capital requirements		75	-120
Change in working capital requirements of concessions		-270	-278
Income taxes paid		-579	-596
Net cash from operating activities of continuing operations		5,044	5,150
Net cash from operating activities of discontinued operations		-6	3
Net cash from operating activities		5,038	5,153
Industrial investments, net of grants		-2,965	-3,056
Proceeds on disposal of industrial assets		212	199
Purchases of investments	Note 3.2	-482	-702
Proceeds on disposal of financial assets	Note 3.2	949	59
Operating financial assets			
New operating financial assets	Note 5.4	-225	-156
Principal payments on operating financial assets	Note 5.4	227	268
Dividends received (including dividends received from joint ventures and associates)		123	105
New non-current loans granted		-132	-74
Principal payments on non-current loans		133	59
Net decrease/increase in current loans		47	2
Net cash used in investing activities of continuing operations		-2,115	-3,296
Net cash used in investing activities of discontinued operations		-	-
Net cash used in investing activities		-2,115	-3,296

(€ million)	Notes	As of December 31, 2024	As of December 31, 2025
Net increase (decrease) in current financial liabilities	Note 8.1.1	-5	-2,170
Repayment of current IFRS 16 lease debt	Note 8.1.1	-541	-506
Other changes in non-current IFRS 16 lease debt	Note 8.1.1	-73	-50
New non-current borrowings and other debt	Note 8.1.1	1,462	2,766
Principal payments on non-current borrowings and other debt	Note 8.1.1	-619	-186
Change in liquid assets and financing financial assets	Note 8.1.2	-125	64
Proceeds on issue of shares		341	318
Share capital reduction		-	-402
Transactions with non-controlling interests: partial purchases ⁽¹⁾		-32	-1,563
Transactions with non-controlling interests: partial sales		1	37
Issue / repayment of deeply subordinated securities	Note 9.4	-221	492
Coupons on deeply subordinated securities	Note 9.4	-81	-121
Purchases of/proceeds from treasury shares		-8	7
Dividends paid		-1,218	-1,280
Interest paid		-585	-619
Interest on IFRIC 12 operating assets		-86	-78
Interest on IFRS 16 lease debt ⁽²⁾	Note 8.4.2	-66	-67
Net cash from (used in) financing activities of continuing operations		-1,857	-3,358
Net cash from (used in) financing activities of discontinued operations		-	-
Net cash from (used in) financing activities		-1,857	-3,358
Effect of foreign exchange rate changes and other		20	-98
Increase (decrease) in external net cash of discontinued operations		-	-
NET CASH AT THE BEGINNING OF THE YEAR		8,317	9,404
NET CASH AT THE END OF THE YEAR		9,404	7,806
Cash and cash equivalents	Note 8.1.3	9,601	8,021
Bank overdrafts and other cash position items	Note 8.1.3	197	215
NET CASH AT THE END OF THE YEAR		9,404	7,806

(1) Mainly concerning the acquisition of the 30% minority interests in Water Technologies and Solutions (see Note 3.2).

(2) Interest on IFRS 16 lease debt is not included in the Cost of net financial debt, but in Other financial income and expenses (see Note 8.4.2).

The accompanying notes are an integral part of these consolidated financial statements.

Amounts are in millions of euros rounded to the nearest whole number, unless stated otherwise in the notes. Accordingly, the sum of rounded amounts may present non-material differences with total figures.

6.1.5 STATEMENT OF CHANGES IN EQUITY

(€ million)	Number of shares outstanding	Share capital	Additional paid-in capital	Deeply subordinated securities and OCEANE	Treasury shares	Consolidated reserves and retained earnings	Foreign exchange translation reserves	Fair value reserves	Equity attributable to owners of the Company	Non- controlling interests	Total equity
Amount as of December 31, 2023	725,411,667	3,627	9,631	3,630	-375	-3,925	-583	306	12,311	2,391	14,702
Issues of share capital of the parent company	15,240,941	76	271	-	-	-11	-	-	336	-	336
Proceeds on issue of deeply subordinated securities / Repayments of deeply subordinated securities	-	-	-	-229	-	8	-	-	-221	-	-221
Coupons on deeply subordinated securities	-	-	-	-63	-	-18	-	-	-81	-	-81
Parent company dividend distribution	-	-	-	-	-	-895	-	-	-895	-	-895
Movements in treasury shares	-	-	-	-	-8	-	-	-	-8	-	-8
Share-based payments	-	-	-	-	-	57	-	-	57	-	57
Third-party share in share capital increases of subsidiaries	-	-	-	-	-	-	-	-	-	4	4
Third-party share in dividend distributions of subsidiaries	-	-	-	-	-	-	-	-	-	-323	-323
Transactions with non-controlling interests	-	-	-	-	-	-99	-	-	-99	-23	-122
Total	15,240,941	76	271	-293	-8	-958	-	-	-911	-342	-1,253
Other comprehensive income	-	-	-	-	-	12	323	32	367	-8	359
Net income for the year	-	-	-	-	-	1,098	-	-	1,098	347	1,445
Total comprehensive income for the period	-	-	-	-	-	1,110	323	32	1,465	339	1,804
Other movements	-	-	-	-	-	51	-	-	51	3	54
Amount as of December 31, 2024	740,652,608	3,703	9,902	3,337	-383	-3,722	-260	337	12,915	2,391	15,306

Amounts are in millions of euros rounded to the nearest whole number, unless stated otherwise in the notes. Accordingly, the sum of rounded amounts may present non-material differences with total figures.

(€ million)	Number of shares outstanding	Share capital	Additional paid-in capital	Deeply subordinated securities and OCEANE	Treasury shares	Consolidated reserves and retained earnings	Foreign exchange translation reserves	Fair value reserves	Equity attributable to owners of the Company	Non- controlling interests	Total equity
Amount as of December 31, 2024	740,652,608	3,703	9,902	3,337	-383	-3,722	-260	337	12,915	2,391	15,306
Issues of share capital of the parent company	1,070,829	5	-7	-	-	-19	-	-	-21	-	-21
Proceeds on issue of deeply subordinated securities / Repayments of deeply subordinated securities	-	-	-	515	-	-23	-	-	492	-	492
Coupons on deeply subordinated securities	-	-	-	-21	-	-99	-	-	-121	-	-121
Parent company dividend distribution	-	-	-	-	-	-1,023	-	-	-1,023	-	-1,023
Movements in treasury shares	-	-	-	-	-55	-	-	-	-55	-	-55
Share-based payments	-	-	-	-	-	49	-	-	49	-	49
Third-party share in share capital increases of subsidiaries	-	-	-	-	-	-	-	-	-	43	43
Third-party share in dividend distributions of subsidiaries	-	-	-	-	-	-	-	-	-	-257	-257
Transactions with non-controlling interests	-	-	-	-	-	-1,403	-	-	-1,403	-116	-1,518
Total	1,070,829	5	-7	493	-55	-2,519	-	-	-2,082	-330	-2,412
Other comprehensive income	-	-	-	-	-	-52	-1,142	-33	-1,226	-109	-1,335
Net income for the year	-	-	-	-	-	1,217	-	-	1,217	402	1,619
Total comprehensive income for the period	-	-	-	-	-	1,166	-1,142	-33	-9	293	284
Other movements	-	-	-	-	-	30	-	-	30	56	86
Amount as of December 31, 2025	741,723,437	3,709	9,895	3,831	-438	-5,045	-1,402	305	10,855	2,409	13,264

Amounts are in millions of euros rounded to the nearest whole number, unless stated otherwise in the notes. Accordingly, the sum of rounded amounts may present non-material differences with total figures.

A dividend per share of €1.40 was distributed in 2025, compared with €1.25 in 2024.

The total dividends paid recorded in the Consolidated Cash Flow Statement for the periods ended December 31, 2025, and 2024, respectively, breaks down as follows:

(€ million)	December 31, 2024	December 31, 2025
Parent company dividend distribution	-895	-1,023
Third party share in dividend distributions of subsidiaries	-323	-257
Scrip dividend	-	-
TOTAL DIVIDEND PAID	-1,218	-1,280

A dividend distribution of €1.50 per share will be proposed to the General Meeting of April 23, 2026.

6.1.6 NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS

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Note 1 ACCOUNTING POLICIES AND METHODS**1.1 General principles underlying the preparation of the financial statements**

The accounting methods presented in these notes to the consolidated financial statements have been applied consistently for all periods presented in the consolidated financial statements.

The consolidated financial statements are presented on a historical cost basis, with the exception of assets and liabilities classified as held for sale measured in accordance with IFRS 5 and assets and liabilities recognized at fair value: derivatives, financial instruments held for trading, financial instruments at fair value (in accordance with IFRS 9).

The Veolia Environnement consolidated financial statements for the year ended December 31, 2025 were adopted by the Board of Directors on February 25, 2026 and will be presented for approval at the General Meeting on April 23, 2026.

1.2 Accounting standards framework

Pursuant to Regulation no. 1606/2002 of July 19, 2002, as amended by European Regulation no. 297/2008 of March 11, 2008, the consolidated financial statements are presented in accordance with IFRS (International Financial Reporting Standards) as adopted by the European Union.

In the absence of IFRS standards or interpretations and in accordance with IAS 8, Accounting Policies, Changes in Accounting Estimates and Errors, Veolia refers to other IFRS dealing with similar or related issues and the conceptual framework.

The consolidated financial statements and their notes are presented in millions of euro, unless stated otherwise, and rounded to the nearest million. Accordingly, the sum of rounded amounts may present non-material differences with total figures.

The consolidated financial statements comprise the financial statements of Veolia Environnement, the entities it controls (its subsidiaries) and the entities equity accounted. The financial statements of subsidiaries are drawn up for the same reference period as those of the parent company, from January 1, to December 31, 2025, in accordance with uniform accounting policies and methods.

The accounting principles and valuation rules applied by the Group in preparing the consolidated financial statements for the year ended December 31, 2025 comprise those applied by the Group as of December 31, 2024 and the standards, standard amendments and interpretations adopted or in the course of adoption by the European Union as of December 31, 2025:

- applicable from fiscal year 2025; or
- that the Group has elected to apply early as permitted by these texts.

Texts applicable as of January 1, 2025:

- Amendments to the following standards:
 - IAS 21: lack of exchangeability

The first-time application of this text has no effect for the Group.

Texts applicable after 2025:

- IFRS 18 "Presentation and Disclosure in Financial Statements";
- IFRS 19 "Subsidiaries without Public Accountability: Disclosures";
- Amendments to the following standards:
 - IAS 21: translation to a hyperinflationary presentation currency;
 - IFRS 9 and IFRS 7: nature-dependent electricity contracts;
 - IFRS 9 and IFRS 7 on the classification and measurement of financial instruments.

The Group is currently assessing the potential impact of the first-time application of these texts.

1.3 Translation of foreign subsidiaries' financial statements

1.3.1 Exchange rates

Statements of financial position, income statements and cash flow statements of subsidiaries whose functional currency is different from the presentation currency of the Group are translated into the presentation currency at the applicable rate of exchange (i.e. the year-end rate for statement of financial position items and the average annual rate for income statement and cash flow items).

Foreign exchange translation gains and losses are recorded in other comprehensive income in equity. The exchange rates of the major currencies of non-euro countries used in the preparation of the consolidated financial statements were as follows:

Period-end exchange rate (one foreign currency unit = €xx)	December 31, 2024	December 31, 2025
US dollar	0.9626	0.8511
Pound sterling	1.2060	1.1460
Chinese yuan renminbi	0.1319	0.1216
Australian dollar	0.5962	0.5688
Polish zloty	0.2339	0.2369
Hungarian forint	0.0024	0.0026
Argentinian peso	0.0009	0.0006
Moroccan dirham	0.0464	0.0933
Chilian peso	0.0010	0.0009
Czech koruna	0.0397	0.0413

Average exchange rate (one foreign currency unit = €xx)	2024	2025
US dollar	0.9241	0.8853
Pound sterling	1.1811	1.1672
Chinese yuan renminbi	0.1284	0.1232
Australian dollar	0.6098	0.5708
Polish zloty	0.2323	0.2358
Hungarian forint	0.0025	0.0025
Argentinian peso	0.0009	0.0006
Moroccan dirham	0.0505	0.0947
Chilian peso	0.0010	0.0009
Czech koruna	0.0398	0.0405

1.3.2 Hyperinflation

Argentina is considered a hyperinflationary economy for all the periods presented. The Group has therefore applied the provisions of IAS 29 since January 1, 2018 for its businesses in Argentina.

1.4 Foreign currency transactions

Foreign currency transactions are translated into euro at the exchange rate prevailing at the transaction date. At year end, foreign currency-denominated monetary assets and liabilities are remeasured at year-end exchange rates. The resulting foreign exchange gains and losses are recognized in net income for the period.

Loans to a foreign subsidiary, the settlement of which is neither planned nor probable in the foreseeable future represent, in substance, a portion of the Group's net investment in this foreign operation. Foreign exchange gains and losses on monetary items forming part of a net investment are recognized directly in other comprehensive income in foreign exchange translation adjustments and are released to net income on the disposal of the net investment.

Exchange gains and losses on foreign currency-denominated borrowings or on currency derivatives that qualify as hedges of a net investment in a foreign operation, are recognized directly in other comprehensive income as foreign exchange translation adjustments. Amounts recognized in other comprehensive income are released to income on the date of disposal of the relevant investment.

Foreign currency-denominated non-monetary assets and liabilities recognized at historical cost are translated using the exchange rate prevailing as of the transaction date. Foreign currency-denominated non-monetary assets and liabilities recognized at fair value are translated using the exchange rate prevailing as of the date the fair value is determined.

Note 2

USE OF MANAGEMENT ESTIMATES IN THE APPLICATION OF GROUP ACCOUNTING STANDARDS

Veolia may be required to make estimates and assumptions that affect the reported amounts of assets, liabilities, revenue and expenses, and the disclosures of contingent assets and liabilities. Future results may be different from these estimates.

Underlying estimates and assumptions are determined based on past experience and other factors considered as reasonable given the circumstances. They act as a basis for making judgments necessary to the determination of the carrying amount of assets and liabilities, which cannot be obtained directly from other sources. Future values could differ from these estimates.

All these estimates are based on organized procedures for the collection of forecast information on future flows, validated by operating management, and on expected market data based on external indicators and used in accordance with consistent and documented methodologies.

The underlying estimates and assumptions are reviewed on an ongoing basis by the Group. The impact of changes in accounting estimates is recognized in the period the change is made if it affects this period only and in the period the change is made and prior periods if they are also affected by the change.

This is notably the case for impairment testing of assets with an indefinite useful life (goodwill). Note 7 presents the methodology and main assumptions used in preparing the financial statements for the year ended December 31, 2025 and particularly future flow and discount rate assumptions underlying the recoverable amount of these assets. The Group considered in particular the macroeconomic environment, especially for raw materials. Sensitivity analyses were also performed on the goodwill CGUs and certain of them are presented in the aforementioned note.

The items that generally require Management to make estimates or exercise judgment are as follows:

- classification and measurement of assets and liabilities covered by IFRS 5: assessments leading to the application of the standard are reviewed at each reporting date with regard to changes in facts and circumstances (See Note 3);
- measurement of intangible assets and property, plant and equipment (see Notes 7.2 and 7.3);
- measurement of provisions (including for employee commitments), as well as contingent assets and liabilities (Notes 6, 10 and 12);
- fair value measurement of financial instruments (Note 8.3);
- the amount of deferred tax assets and liabilities and the tax expense recognized (Note 11);
- methods used for determining the value of identifiable assets acquired and liabilities assumed in business combinations.

The Group uses several discount rate calculation methodologies for the purposes of these estimates. They are detailed in Notes 6, 7 and 10.

In addition, given its activities in installations covered by the EU Emissions Trading Scheme (EU ETS), the Group paid close attention to its exposure to greenhouse gas emission allowances, the management policy, accounting treatment and issues are presented in Note 8.3.1.3.

Finally, Veolia must make assumptions and judgments when assessing the level of control exercised over certain investments and particularly when defining relevant activities and identifying substantive rights. These judgments are reassessed when the facts and circumstances change.

Climate risk

In the context of its Purpose and the GreenUp strategic program, Veolia has committed to fighting pollution and accelerating ecological transition. This commitment can be broken down into several objectives, including combating climate change.

In addition, the Group's activities and those of its customers, due to their nature and geographic locations, may be exposed to risks related to climate change, which are likely to increase the frequency and magnitude of natural disasters.

The Group has integrated the identification of the main climate risks into its accounts closing process, to assess their potential impacts on the financial statements and, in particular, on:

- the useful life of certain assets;
- the value of certain non-current assets, particularly through cash flow estimates incorporating, where appropriate, decarbonizing plans validated by the governance bodies;
- risk estimates to determine the amount of contingency provisions.

These procedures are performed jointly with the Risk Department and the Sustainable Development Department to ensure the consistency of commitments given by the Group and their inclusion in the financial statements.

The main risks identified concern:

- risks related to the physical impacts of climate change (so-called "physical risks"):
 - increased frequency and severity of extreme events such as floods, droughts, etc. and
 - long-term shifts in mean (or "chronic") climate conditions, that may cause sea levels to rise, higher average temperatures, modified seasonal rain patterns, chronic water stress, etc.
- risks related to the transition to a lower-carbon economy (so-called "transition risks") of various types: regulatory, technological, market, reputation. These risks may also generate significant commercial opportunities for the Group.

Through the Group's climate policy, actions taken and the geographic spread of its operations, Veolia limits the impacts of the risk of natural disaster and the physical impacts of climate change on its results, primarily through (i) the choice of a site's location in order to limit exposure, (ii) the implementation of tailored prevention plans and (iii) the development of business continuity plans.

In addition, the residual risk of extreme weather events is usually transferred to insurance companies via the damage program.

With regard to transition risks, the Group is particularly exposed to the Emissions Trading Scheme (EU ETS) introduced by the European Union in 2005, due to the quantity of free allowances granted and the cost of carbon on this market.

To manage this exposure, Veolia was very quick to adopt an active strategy in order to manage its greenhouse gas (GHG) emissions and allowances, by implementing an appropriate structure and creating a special-purpose legal entity to purchase, sell and price different types of greenhouse gas allowances. In addition, the Group also undertook to (i) reduce its GHG emissions, and (ii) increase GHG emissions avoided thanks to its activities, particularly by allocating a significant share of its investment to reducing greenhouse gas emissions.

Finally, the Group investment validation process includes a review of the consistency of investments with the objectives set out in its Purpose. At the COP 28 in Dubai, Veolia reaffirmed its commitment to invest €1.6 billion by 2030 to phase out coal in Europe, by converting coal-based power generation assets to less carbon-intensive energies and local energies in particular. At the end of 2025, Veolia had already invested €786 million to this end. This commitment is also taken into account when drafting the long-term plans used in the impairment testing of assets with an indefinite useful life (goodwill).

Veolia considers the assessment of climate risks to be consistent with the commitments given by the Group. The inclusion of climate risks did not have a material impact on the financial statements of the Group in 2025.

Note 3 CONSOLIDATION SCOPE

3.1 Accounting principles relating to the consolidation scope

3.1.1 Consolidation principles

Consolidated entities

Veolia Environnement fully consolidates all entities over which it exercises control.

Definition of control

Control exists when the Group (i) holds power over an entity, (ii) is exposed or has rights to variable returns from its involvement with the entity and (iii) has the ability to use its power over the entity to effect the amount of its returns.

The Group reassesses whether or not it controls an entity if facts and circumstances indicate that there are changes to one or more of the elements of control.

Full consolidation

The Group consolidates a subsidiary in its consolidated financial statements from the date it obtains control of the entity to the date it ceases to control the entity.

Interests that are not directly or indirectly attributable to the Group are recorded in non-controlling interests.

Total comprehensive income of subsidiaries is attributed to owners of the Company and to non-controlling interests, even if this results in non-controlling interests having a deficit balance.

Change in ownership interests in consolidated subsidiaries

Changes in the Group's ownership interests in subsidiaries that do not result in a change in control over the subsidiaries are accounted for as equity transactions, as they are transactions performed by shareholders acting in this capacity.

The effects of these transactions are recognized in equity at their net-of-tax amount and do not therefore impact the Consolidated Income Statement of the Group.

These transactions are presented in financing activities in the Consolidated Cash Flow Statement.

Investments in joint ventures and associates

Definition

An associate is an entity over which the Group has significant influence. Significant influence is the power to participate in the financial and operating policy decisions of the entity but is not control or joint control of those policies.

A joint venture is a joint arrangement whereby the parties that have joint control of the entity have rights to its net assets.

Joint control is the contractually agreed sharing of control of an arrangement, which exists only when decisions about the relevant activities require the unanimous consent of the parties sharing control.

Accounting for joint ventures and associates

The results and assets and liabilities of associates or joint ventures are incorporated in the Group consolidated financial statements using the equity method of accounting, except when the investment is classified as held for sale, in which case it is accounted for in accordance with the provisions of IFRS 5, Non-Current Assets Held for Sale and Discontinued Operations.

Under the equity method, the investment in the associate or joint venture is initially recognized at acquisition cost and subsequently adjusted, notably to recognize the Group's share of the net income and other comprehensive income of the associate or joint venture.

When a Group entity transacts with an associate or joint venture of the Group, profits and losses resulting from the transaction with the associate or joint venture are recognized in the Group consolidated financial statements only to the extent of interests in the associate or joint venture.

The share of net income (loss) of equity-accounted entities is included in the Group Consolidated Income Statement. Pursuant to recommendation no. 2013-01 issued by the French Accounting Standards Authority (Autorité des Normes Comptables, ANC) on April 4, 2013, the share of net income (loss) of equity-accounted entities must be included in "Operating income after share of net income (loss) of equity-accounted entities".

Impairment tests

When necessary, the carrying amount of the investment in associates or joint-ventures (including goodwill) is tested for impairment in accordance with IAS 36, Impairment of Assets.

Loss of significant influence or joint control

The equity method is discontinued from the date the investment ceases to be an associate or a joint venture. Where the Group retains a residual interest in the entity and that interest is a financial asset, the financial asset is measured at fair value at the date the investment ceases to be an associate or a joint venture.

Where an investment in an associate becomes an investment in a joint venture, or vice versa, the equity method continues to be applied and the change in ownership interest does not trigger remeasurement to fair value.

Investments in joint operations**Definition**

A joint operation is a joint arrangement whereby the parties that have joint control of the arrangement have direct rights to the assets, and obligations for the liabilities, relating to the arrangement.

Accounting for joint operations

As a joint operator in a joint operation, the Group recognizes in relation to its interest in the joint operation:

- its assets, including its share of any assets held jointly;
- its liabilities, including its share of any liabilities incurred jointly;
- its revenue from the sale of its share of the output arising from the joint operation;
- its expenses, including its share of any expenses incurred jointly.

3.1.2 Transactions impacting the consolidation scope**Business combinations and goodwill**

Business combinations are recorded in accordance with the acquisition method as defined in IFRS 3, revised.

Under this method, identifiable assets acquired and liabilities assumed of the acquiree are recorded at fair value at the acquisition date.

The goodwill arising from the business combination is measured as the excess of the aggregate of the consideration transferred, the amount of any non-controlling interest and, where applicable, the fair value of any previously held interest, over the acquisition-date net amounts of the identifiable assets acquired and liabilities and contingent liabilities assumed.

This goodwill is measured in the functional currency of the company acquired and recognized in assets in the Consolidated Statement of Financial Position.

The Group may elect, on an individual transaction basis, at the acquisition date, to measure non-controlling interests either at fair value (full goodwill) or at the share in the fair value of the identifiable net assets of the company acquired (partial goodwill).

Pursuant to IFRS, goodwill is not amortized but is subject to impairment tests performed at least annually or, where appropriate, more frequently where there is evidence calling into question the net carrying amount recorded in assets in the Statement of Financial Position.

Where the terms and conditions of a business combination are advantageous, negative goodwill arises. The corresponding profit is recognized in net income at the acquisition date.

Acquisition-related costs are expensed in the period in which the costs are incurred and the services received.

Pursuant to the provisions of IFRS 3 revised, the Group may finalize the recognition of the business combination during the measurement period. This period ends when all the necessary information has been obtained and no later than one year after the acquisition date.

Assets/liabilities classified as held for sale, discontinued operations

IFRS 5, Non-Current Assets Held for Sale and Discontinued Operations, sets out the accounting treatment applicable to assets held for sale and presentation and disclosure requirements for discontinued operations.

The standard notably requires the separate presentation of assets held for sale in the Consolidated Statement of Financial Position at the lower of net carrying amount and fair value less costs to sell, where the criteria set-out in the standard are satisfied.

When the Group is committed to a sales process leading to the loss of control of a subsidiary, all assets and liabilities of that subsidiary are reclassified as held for sale where the standard classification criteria are met, irrespective of whether the Group retains a residual interest in the entity after sale.

In addition, the standard requires the separate presentation in the Consolidated Income Statement of the results of discontinued operations for all comparative periods on a retrospective basis.

A discontinued operation is a component of an entity that either has been disposed of or is classified as held for sale and:

- represents a separate major line of business or geographic area of operations;
- is part of a single coordinated plan to dispose of a separate major line of business or major geographic area of operations; or
- is a subsidiary acquired exclusively with a view to resale.

3.2 Main changes in Group structure

Acquisitions

■ Acquisition of an electricity flexibility business in Hungary

On February 14, 2024, Veolia Hungary signed a Share Purchase Agreement for the acquisition of Danubius from Uniper.

After obtaining the approvals from the European Union competition authority, the closing of the transaction was carried out on January 6, 2025 for an amount of €271 million*, equal to a securities price of €366 million.

■ Acquisition of the 30% minority interests in Water Technologies and Solutions

Veolia announced, as of May 7, 2025, the signature of an agreement with Caisse de Dépôt et Placement du Québec (CDPQ) to acquire its 30% stake in Water Technologies and Solutions (WTS), giving Veolia 100% control, thereby increasing value creation, simplifying the structure, and making additional cost synergies of approximately €90 million by 2027, including €20 million by the end of December. The purchase price for the acquisition is US\$1.75 billion, equivalent to €1.5 billion.

This acquisition is a logical step in the deployment of the GreenUp strategic plan, which aims to strengthen the Group's foothold in Water Technologies activities and in the United States, both identified as priority growth boosters.

The acquisition of CDPQ's minority interests thus strengthens Veolia's unique positioning as a global leader in Water Technologies.

The acquisition of the additional 30% of WTS, being recognized as a transaction between shareholders, has no impact on the amount of goodwill recognized in 2022 at the time of the initial acquisition. The impact of the transaction on the Group's equity amounts to -€1,380 million.

As part of the GreenUp ambition, Veolia is increasing its leadership in Hazardous Waste Treatment with major investments in new capacity and targeted tuck-in acquisitions:

■ Acquisition of specialist hazardous waste treatment businesses in the United States

Veolia has expanded with four acquisitions that enhance both regional coverage and treatment capacity.

In Massachusetts, the Group acquired a Hazardous Waste Treatment site and emergency response operations through New England Disposal Technologies, as well as the state's only permitted Medical Waste Treatment and Storage facility, Bio-Med Innovations, formerly operated by New England MedWaste.

These assets significantly strengthen Veolia's position in the Northeast of the US, a region with high regulatory standards.

On the West Coast of the United States, Veolia acquired a major platform in California through Ingenium, adding extensive packaging, logistics, and multi-stream treatment capabilities across Hazardous Waste – expanding service to a broad industrial and institutional client base in one of the largest U.S. waste markets.

In the semiconductor industry, Veolia acquired Chameleon Industries Group, a Texas-based producer of specialty chemical products. The company's circular economy technology uses byproducts from the semiconductor manufacturing process in its proprietary applications, reduces waste and creates beneficial products for industry. This acquisition expands Veolia's leadership in providing innovative environmental solutions to cutting-edge manufacturing and technology companies in North America.

The total amount of these acquisitions is €247 million*.

■ Acquisition of a hazardous waste treatment and storage business in Japan

On May 16, 2025, Veolia signed the acquisition of Zeeklite Co. LTD, which operates one of the country's largest private hazardous waste storage facilities in Yonezawa City.

Specializing in the disposal of hazardous waste, general industrial waste, and contaminated soil, Zeeklite strengthens Veolia's ability to offer fully integrated waste management services in the country.

Financial closure took place on May 30, 2025 for an amount of €85 million*.

(*) Corresponds to net financial investments.

3.3 Assets classified as held for sale, discontinued operations and divestitures

3.3.1 Discontinued operations

In the Consolidated Income Statement presented for comparative purposes, the net income (loss) from discontinued operations was reclassified to "Net income (loss) from discontinued operations".

For 2025 and 2024, they mainly concern the EPC (Engineering, Procurement, Construction) business, discontinued in all regions.

3.3.2 Assets and liabilities classified as held for sale

As of December 31, 2025, no assets or liabilities were classified as held for sale, unchanged from December 31, 2024.

3.4 Off-balance sheet commitments relating to the consolidation scope

3.4.1 Commitments given

Off-balance sheet commitments given break down as follows:

(€ million)	As of December 31, 2024	As of December 31, 2025	Maturing in		
			Less than 1 year	1 to 5 years	More than 5 years
Vendor warranties	122	120	1	71	48
Securities purchase commitments	366	2,644	2,644	-	-
Sale commitments	-	-	-	-	-
Other commitments relating to the consolidated scope	1	-	-	-	-
TOTAL COMMITMENTS GIVEN RELATING TO THE CONSOLIDATED SCOPE	489	2,765	2,646	71	48

Securities purchase commitments as of December 31, 2025, relate to the acquisition process for the U.S. entity Clean Earth for €2.6 billion, which is due to close in 2026. This acquisition will enable the Group to become a major player in Hazardous Waste Treatment in the United States. The transaction is expected to be completed by mid-2026, subject to standard conditions precedent, such as the approval of the Enviri shareholders, and receipt of the necessary regulatory authorizations and approvals.

Securities purchase commitments as of December 31, 2024, concern the acquisition process for Danubius in Hungary, for which the financial transaction was closed on January 6, 2025 (€366 million).

3.4.2 Commitments received

Commitments received relating to the consolidated scope total €45 million as of December 31, 2025, compared with €161 million as of December 31, 2024.

This decrease is mainly due to the discharge of warranties linked to acquisitions of companies in Central and Eastern Europe.

As of December 31, 2025, they mainly concern guarantees received in relation to corporate acquisitions.

Note 4 REPORTING BY OPERATING SEGMENT

The operating segments are components of the Group that engage in activities and whose operating results are reviewed by the Chief Executive Officer (Chief Operating Decision Maker) to make decisions about resources to be allocated to the segment and assess its performance. Information presented to the Chief Operating Decision Maker is taken from the Group internal reporting system.

Financial information by operating segment is prepared in accordance with the same rules used to prepare the Consolidated Financial Statements.

In accordance with the provisions of IFRS 8 on the identification of operating segments and after taking account of regrouping criteria, the operating segments presented are the following:

- France and Hazardous Waste Europe ⁽¹⁾
- Europe ⁽²⁾
- Americas, Asia Pacific, Africa Middle-East ⁽³⁾
- Water Technologies
- Other, including holding companies.

The EBITDA indicator comprises the sum of all operating income and expenses received and paid (excluding restructuring costs, non-current impairment losses, renewal expenses and share acquisition and disposal costs) and principal payments on operating financial assets.

The main financial indicators by operating segment are as follows:

2025

(€ million)	France & Hazardous Waste Europe	Europe	Americas, Asia Pacific, Africa Middle-East	Water Technologies	Other	Total consolidated financial statements
Revenue	8,914	19,206	11,316	4,954	6	44,396
EBITDA	1,475	2,758	2,009	669	139	7,050
Operating income after share of net income (loss) of equity-accounted entities	418	1,399	1,064	385	32	3,299
Industrial investments net of subsidies	-645	-1,129	-1,126	-143	-13	-3,056

2024

(€ million)	France & Hazardous Waste Europe	Europe	Americas, Asia Pacific, Africa Middle-East	Water Technologies	Other	Total consolidated financial statements
Revenue	9,145	18,619	11,945	4,973	9	44,692
EBITDA	1,392	2,642	2,025	612	117	6,788
Operating income after share of net income (loss) of equity-accounted entities	388	1,304	945	343	32	3,012
Industrial investments net of subsidies	-571	-1,054	-1,113	-166	-61	-2,965

Assets and liabilities break down by operating segment as follows:

As of December 31, 2025

Assets by operating segment (€ million)	France & Hazardous Waste Europe	Europe	Americas, Asia Pacific, Africa Middle-East	Water Technologies	Other	Total consolidated financial statements
Goodwill, net	1,969	3,951	3,791	1,742	3	11,456
Intangible assets and Property, Plant and equipment, net	3,610	11,250	11,328	1,875	94	28,156
Operating financial assets	120	671	355	1	-	1,147
Working capital assets, including DTA	4,574	5,899	4,193	2,409	97	17,173
Investments in joint ventures	21	19	907	-	-	948
Investments in associates	40	392	140	39	5	616
TOTAL SEGMENT ASSETS	10,333	22,183	20,715	6,066	199	59,496
Other unallocated assets	-	-	-	-	11,175	11,175
TOTAL ASSETS						70,671

⁽¹⁾ France and Hazardous Waste Europe: the new name for the IFRS 8 segment formerly known as "France and Special Waste Europe".

⁽²⁾ Europe: the new name for the IFRS 8 segment formerly known as "Europe excluding France".

⁽³⁾ Americas, Asia Pacific, Africa Middle-East: the new name for the IFRS 8 segment formerly known as "Rest of the World".

As of December 31, 2024

<i>Assets by operating segment (€ million)</i>	France & Hazardous Waste Europe	Europe	Americas, Asia Pacific, Africa Middle-East	Water Technologies	Other	Total consolidated financial statements
Goodwill, net	1,973	3,790	4,075	1,943	3	11,783
Intangible assets and Property, Plant and equipment, net	3,409	10,581	11,567	2,168	112	27,837
Operating financial assets	198	744	410	1	-	1,353
Working capital assets, including DTA	4,399	5,737	4,470	2,692	196	17,493
Investments in joint ventures	18	21	1,005	-	-	1,044
Investments in associates	32	388	170	37	4	632
TOTAL SEGMENT ASSETS	10,028	21,262	21,697	6,841	314	60,142
Other unallocated assets	-	-	-	-	12,817	12,817
TOTAL ASSETS						72,959

As of December 31, 2025

<i>Liabilities by operating segment (€ million)</i>	France & Hazardous Waste Europe	Europe	Americas, Asia Pacific, Africa Middle-East	Water Technologies	Other	Total consolidated financial statements
Concession liabilities	136	1,404	110	-	-	1,650
Provisions for contingencies and losses	1,036	708	984	591	603	3,921
IFRS 16 lease debt	514	686	505	166	113	1,983
Working capital liabilities, including DTL	5,725	7,393	5,354	2,744	559	21,773
TOTAL SEGMENT LIABILITIES	7,411	10,190	6,952	3,501	1,274	29,327
Other unallocated liabilities	-	-	-	-	41,344	41,344
TOTAL LIABILITIES						70,671

As of December 31, 2024

<i>Liabilities by operating segment (€ million)</i>	France & Hazardous Waste Europe	Europe	Americas, Asia Pacific, Africa Middle-East	Water Technologies	Other	Total consolidated financial statements
Concession liabilities	151	1,486	125	-	-	1,762
Provisions for contingencies and losses	967	707	1,058	493	589	3,815
IFRS 16 lease debt	515	663	531	168	109	1,985
Working capital liabilities, including DTL	5,618	7,128	5,731	3,155	514	22,146
TOTAL SEGMENT LIABILITIES	7,251	9,984	7,445	3,816	1,212	29,708
Other unallocated liabilities	-	-	-	-	43,251	43,251
TOTAL LIABILITIES						72,959

In application of IFRS 8.33, revenue by geography is as follows:

<i>(€ millions)</i>	2024	% of 2024 revenue	2025	% of 2025 revenue
Revenue	44,692	100.0%	44,396	100.0%
France	8,801	19.7%	8,547	19.3%
United States	4,851	10.9%	4,683	10.5%
Germany	3,025	6.8%	3,097	7.0%
Spain	2,837	6.3%	3,035	6.8%
Poland	3,036	6.8%	3,007	6.8%
United Kingdom	3,025	6.8%	2,978	6.7%
Czech Republic	2,098	4.7%	2,165	4.9%
Australia	2,115	4.7%	2,023	4.6%
Italy	1,142	2.6%	1,160	2.6%
Belgium	1,084	2.4%	1,081	2.4%
Hungary	816	1.8%	1,070	2.4%
Morocco	1,266	2.8%	932	2.1%
China	981	2.2%	908	2.0%
Chile	800	1.8%	807	1.8%
Japan	571	1.3%	609	1.4%
Hong Kong	608	1.4%	581	1.3%
Slovakia	515	1.2%	504	1.1%
Other amounts < €500 million in 2025	7,120	15.9%	7,207	16.2%

The EBITDA indicator reconciles with operating cash flow for fiscal years 2025 and 2024, as follows:

(€ million)		December 31, 2024	December 31, 2025
Operating cash flow before changes in working capital	(A)	5,818	6,144
o/w Operating cash flow from financing activities	(B)	-116	-78
o/w Adjusted operating cash flow	(C) = (A) - (B)	5,933	6,223
Less :	(D)		
Renewal expenses		295	305
Restructuring costs		146	135
Share acquisition and disposal costs		66	24
Other items		121	96
Plus :	(E)		
Principal payments on operating financial assets		227	268
EBITDA	(C) + (D) + (E)	6,788	7,050

Note 5 OPERATING ACTIVITIES

The main environmental services carried out by Veolia in its business lines are:

- water: drinking water treatment and distribution, wastewater treatment and the sale of water treatment equipment, technologies and facilities;
- waste: waste collection, product recovery and waste-to-energy processing (including the sale of recycled products), dismantling and hazardous waste processing;
- energy: heating and cooling networks, thermal and multi-technical services, industrial utilities, installation and maintenance of production equipment, and integrated services for the comprehensive management of buildings.

Environmental services also include the design, construction and, where applicable, funding of necessary facilities to supply such services which are provided to industrial and service sector companies, public authorities and private individuals.

The range of business models used by the Group results in a variety of contractual forms specific to each business and adapted to local jurisdiction constraints and the nature and needs of customers (public or private).

The Group primarily conducts its activities under concession, construction (non-concession), lease and operation and maintenance contracts.

Concession arrangements (IFRIC 12)

In the conduct of its activities, Veolia provides collective general interest services (distribution of drinking water and heating, household waste collection and/or processing, etc.). These services are generally managed by Veolia under contracts entered into at the request of public sector bodies, which retain control over these collective services.

Concession arrangements involve the transfer of operating rights for a limited period, under the control of the local authority, using dedicated facilities built by Veolia, or made available to it for or without consideration:

- these contracts define “public service obligations” in return for remuneration. The remuneration is based on operating conditions, continuity of service, price rules and obligations with respect to the maintenance/replacement of installations. The contract determines the conditions for the transfer of installations to the local authority or a successor at its term;
- Veolia can, in certain cases, be responsible for a given service as it holds the service support network (water/heat distribution network, wastewater treatment network). Such situations are the result of full or partial privatizations. Provisions impose public service obligations and the means by which the local authority may recover control of the concession holder.

These contracts generally include price review clauses. These clauses are mainly based on cost trends, inflation, changes in tax and/or other legislation and occasionally on changes in volumes and/or the occurrence of specific events changing the profitability of the contract.

In addition, the Group generally assumes a contractual obligation to maintain and repair facilities managed under public service contracts.

The nature and extent of the Group's rights and obligations under these different contracts differ according to the public services rendered by the different Group businesses: Water, Waste, Energy.

Water

In France, these services are primarily rendered under public service delegation “affermage” contracts with a term of 8 to 20 years. They can use specific assets, such as distribution or wastewater treatment networks and drinking water or wastewater treatment plants, which are generally provided by the concession grantor and returned to it at the end of the contract.

Abroad, Veolia renders its services under contracts which reflect local legislation, the economic situation of the country and the investment needs of each partner. These contracts generally have a term of between 7 and 40 years. Contracts can also be entered into with public entities in which Veolia purchased an interest on their partial privatization. The profitability of these contracts is not fundamentally different from other contracts, but operations are based on a partnership agreement with the local authority.

Waste

Both in France and abroad, the main concession arrangements entered into by Veolia concern the processing and recovery of waste in sorting units, landfills and incineration plants. These contracts have an average term of 10 to 30 years.

Energy

The main contracts concern the management of heating and air-conditioning networks under urban concessions or on behalf of local authorities.

In Central and Eastern Europe, Veolia provides services under mixed partial privatizations or through public-private partnerships with public authorities responsible for the production and distribution of thermal energy.

The characteristics of these contracts vary significantly depending on the country and activities concerned.

Financial asset model

The Group applies the financial asset model for the accounting recognition of these concession arrangements, independently of service or infrastructure use by customers, when the concession grantor contractually guarantees the payment of amounts specified or determined in the contract or the shortfall, if any, between amounts received from users of the public service and amounts specified or determined in the contract.

Financial assets resulting from the application of IFRIC 12 are recorded in the Consolidated Statement of Financial Position under the heading “Operating financial assets” and recognized at amortized cost.

Unless otherwise indicated in the contract, the effective interest rate (EIR) is equal to the weighted average cost of capital of the entities carrying the assets concerned.

Cash flows relating to these operating financial assets are included in Net cash from (used in) investing activities in the Consolidated Cash Flow Statement.

Pursuant to IFRS 9, an impairment loss is recognized if the carrying amount of these assets exceeds the present value of future cash flows discounted at the initial EIR.

Revenue associated with this financial model includes:

- revenue recorded on a completion basis, in the case of construction operating financial assets (in accordance with IFRS 15);
- the remuneration of the operating financial asset recorded in revenue from operating financial assets (excluding principal payments);
- service remuneration.

Intangible asset model

The intangible asset model applies when the Group is paid by users or when the concession grantor has not provided a contractual guarantee in respect of the recoverable amount, regardless of service or infrastructure use by customers. The intangible asset corresponds to the right granted by the concession grantor to the operator to charge users of the public service in remuneration of concession services provided by the operator under the concession arrangement.

Intangible assets resulting from the application of IFRIC 12 are recorded in the Consolidated Statement of Financial Position under the heading "Concession intangible assets", as described in Note 7.2.1, and generally amortized on a straight-line basis over the term of the agreement.

Cash outflows, that is disbursements, relating to the construction of infrastructures under concession arrangements accounted using the "intangible asset model" are presented in Net cash from (used in) investing activities in the Consolidated Cash Flow Statement, while cash inflows are presented in Net cash from operating activities.

Under the intangible asset model, revenue includes:

- revenue recorded on a completion basis for assets and infrastructure under construction (in accordance with IFRS 15);
- service remuneration.

Mixed or bifurcation model

The choice of the financial asset or intangible asset model depends on the existence, or not, of payment guarantees granted by the concession grantor, independently of service or infrastructure use by customers.

However, certain contracts may include a payment commitment on the part of the concession grantor covering only part of the investment, with the remaining balance covered by the remuneration from services charged to users.

Where this is the case, the investment amount guaranteed by the concession grantor is recognized under the financial asset model and the residual balance is recognized under the intangible asset model.

Recognition of concession arrangements where existing infrastructures are made available to the Group by the concession authority in return for payment of fees

On the signature of certain concession arrangements, the infrastructures necessary to the operation of the concession already exist and are owned by the delegating authority. In such cases, the infrastructures are generally made available to the concession holder for the term of the concession arrangement in return for payments to the delegating authority for the right to use these infrastructures under the concession.

In July 2016, the IFRS Interpretations Committee clarified the appropriate accounting treatment when the concession holder is required to make fixed payments to the delegating authority for the provision of pre-existing infrastructure.

These fixed payments give rise to:

- the recognition of a liability equal to the present value of payments over the term of the concession arrangement;
- offset by the recognition of an intangible asset, where the concession arrangement is recognized using the intangible asset model, representing the right to charge users of the public service.

Payments satisfying this definition within the Group mainly concern concession arrangements recognized using the intangible asset model in Central and Eastern Europe.

Public sector activities performed using Veolia-owned infrastructure

Veolia provides drinking water and/or wastewater systems and heating network (production and/or distribution) public services in certain jurisdictions where it owns production and/or distribution assets.

The tariffs charged to users by the Group are governed by the competent authorities in accordance with methods specific to each geography.

This is particularly the case:

- in the United States and Chile, in the water and wastewater management sector where activities are highly capital intensive, a factor incorporated into the remuneration mechanism granted to the operator;
- in countries in Central and Eastern Europe, where Veolia is responsible for the production and/or distribution of thermal energy (heating networks) following full or partial privatizations, but remains subject to local authority control when determining heating tariffs.

Revenue from these activities is recognized progressively, as the services are performed.

Construction contracts

A construction contract concerns the production of complex assets that are closely interrelated or interdependent in terms of their design, technology, and function or their ultimate purpose. These contracts with local authorities or private partners are generally flat-rate.

This contractual model is commonly used in Water Technologies, including the design and supply of equipment and technological systems (such as Engineering & Procurement contracts) for water (drinking water or process water) and wastewater treatment.

The Group's construction revenues are mainly recognized on a completion basis.

The percentage of completion is determined by comparing costs incurred at the period end with total estimated costs under the contract. Costs incurred comprise costs directly attributable to the contract and borrowing costs incurred up to completion of the work. However, prospecting costs, costs incurred prior to contract signature, and administrative and selling costs are expensed in the period incurred and do not therefore contribute to contract completion.

Where total contract costs exceed total contract revenue, the Group recognizes a loss to completion as an expense of the period, irrespective of the stage of completion and based on a best estimate of forecast results including, where appropriate, rights to additional income or compensation, where they are highly probable and can be determined reliably. Provisions for losses to completion are recorded as liabilities in the Consolidated Statement of Financial Position.

The amount of revenue recognized on a completion basis less intermediary billings is determined on an individual contract basis. Where positive, this amount is recognized in assets in "Amounts due from customers for construction contract work" (in "Other operating receivables" as a contract asset). Where negative, it is recognized in liabilities in "Amounts due to customers for construction contract work" (in "Other operating payables" as a contract liability). Any loss to completion is recognized immediately through a provision.

Partial payments received under construction contracts before the corresponding work has been performed, are recognized as liabilities in the Consolidated Statement of Financial Position under "Other operating payables".

Service contracts including a lease

These contracts generally concern outsourcing services performed for industrial/private customers either under BOT (Build, Operate and Transfer) contracts, or incineration or cogeneration contracts under which, notably, demand or volume risk is, in substance, transferred to the prime contractor.

Services include the design, construction and financing of the construction of a specific asset/installation on behalf of the customer and the operation of the asset concerned.

These contracts are recognized in accordance with the principles set out in IFRS 16 (see Note 5.4).

Accordingly, construction revenue is recognized in accordance with the percentage of completion method and, more generally, the principles set out in IFRS 15.

The service invoiced to the customer includes a component representing the operation of the specific asset/installation concerned and a second component representing the financing of the construction.

■ revenue relating to the operation of the asset is recognized on delivery of the goods or performance of the service, in accordance with IFRS 15;

■ the financing of construction work involves finance costs that are invoiced to the customer and recognized in revenue. This interest is recognized in revenue from the start of construction work and represents remuneration received by the builder/lender.

Operation and maintenance contracts

The services rendered by Veolia do not systematically require the construction or acquisition of new infrastructure and can be provided through a variety of contractual forms tailored to the objectives and choices of customers. These services may particularly take the form of contracts for the operation and/or maintenance of installations already owned by the customer or service contracts aimed at improving the performance of these installations.

Accordingly, Veolia operates waste-to-energy plants, water production and/or distribution installations and heating networks under this type of contract recognized in accordance with IFRS 15.

5.1 Revenue

Group revenue is recognized for the amount the Group expects to receive in consideration for the transfer of control of goods and services.

The following table presents the revenue recognition method, rate and unit for the main environmental services provided by the Group:

Environmental service	Contract					Revenue		
	Concession	Public sector activities performed using Veolia-owned infrastructure	Construction	Services including an asset lease	Operation & maintenance	Revenue recognition method	Revenue recognition rate	Revenue measurement unit
Waste processing, water distribution, network operation, thermal services	•	•		•	•	Progressively	When the customer receives the benefit of the service	m ³ of water, metric ton of waste processed, Gwh, etc.
Sale of equipment, sale of recycled products	•	•		•	•	At a point in time	On physical delivery of the goods	Quantity sold
Design and build of infrastructures	•		•	•		Progressively	As the customer obtains control of the asset being built	Completion basis

Infrastructure maintenance and renewal services

Installation maintenance and renewal services rarely represent a separate performance obligation. Nonetheless, a separate performance obligation may be identified in respect of maintenance services in concession arrangements recognized using the financial asset model or operating contract, depending on the obligations contained in the contracts and the related remuneration terms.

Services on behalf of third parties

Few of the Group's activities are concerned by this provision and primarily combined energy purchase and distribution services.

For this type of contract, the Group identifies whether it is acting on its own behalf (principal: recognition of gross revenue) or on behalf of a third party (agent: recognition of the margin), by analysing in particular whether the Group has primary responsibility for performance of the service and whether it can freely set the price paid by the end customer.

Variable compensation

Variable consideration provided in contracts with customers can take several forms: rebates, discounts, penalties, incentives, performance bonuses. They are assessed on contract inception to determine the revenue amount to be recognized, applying either the expected value method or the most probable amount method, whichever is more appropriate.

Revenue by business

As for other Income Statement headings, revenue does not include amounts relating to discontinued operations in accordance with IFRS 5, Non-Current Assets Held for Sale and Discontinued Operations. The results of these activities are presented in a separate line, "Net result from discontinued operations", for fiscal year 2025 and fiscal year 2024 presented for comparison purposes (see Note 3.3).

Revenue breaks down by business as follows:

(€ million)	2024	2025
Water	18,033	17,693
Waste	15,662	15,443
Energy	10,997	11,260
Others	-	-
GROUP	44,692	44,396

A breakdown of revenue by operating segment and region is presented in Note 4.

Backlog

The backlog, as required by IFRS 15, is equal to firm revenue as contracted with customers, where the services have not yet been performed, or are only partially performed, at the reporting date.

After taking account of the exceptions provided in the standard (contracts with a term of less than one year, concession arrangements and service agreements), the backlog therefore primarily consists of revenue from Engineering & Procurement projects, with an average contractual period of two to three years and Water Technologies construction contracts, equipment sales and engineering work.

As of December 31, 2025, expected revenue is as follows:

(€ million)	Total	2026	2027 and beyond
Backlog	3,027	1,373	1,654

5.2 Operating income

Operating income breaks down as follows:

(€ million)	Year ended December 31, 2024	Year ended December 31, 2025
Revenue	44,692	44,396
Cost of sales	-36,924	-36,523
o/w :		
• Renewal expenses	-295	-305
Selling costs	-1,000	-993
General and administrative expenses	-3,459	-3,333
Other operating revenue and expenses	-429	-338
o/w :		
• Restructuring costs *	-137	-134
• (Impairment)/Reversal of impairment of goodwill	-3	-4
• Employee costs - share-based payments, excluding social security contributions	-57	-49
• Other non-current charges, impairment losses and net provisions	-201	-145
• Share acquisition costs	-32	-6
Operating income before share of net income (loss) of equity-accounted entities	2,881	3,208
Share of net income (loss) of equity-accounted entities	132	90
Operating income after share of net income (loss) of equity-accounted entities	3,012	3,299

* A breakdown of restructuring costs is presented in Note 5.2.2 below.

As of December 31, 2025, other expenses, impairment losses and charges to non-current provisions primarily include:

- impairment losses net of reversals on property, plant and equipment, intangible assets, and operating financial assets (see Note 5.2.1 below) for a total amount of -€45 million, recognized particularly in the Americas, Asia Pacific, Africa Middle-East segment for -€31 million and the Europe segment for -€18 million,
- other expenses and charges to non-current provisions for a total amount of -€100 million, corresponding in particular to integration costs incurred in connection with the 2022 Suez combination for -€51 million in addition to costs of -€35 million relating to the settlement agreement reached between the parties in the dispute in Lithuania (see Note 12).

5.2.1 Breakdown of provisions and impairment losses on non-current assets

The carrying amount of non-financial assets, other than inventory and deferred tax assets is reviewed at each period end in order to assess the existence of any indication of loss in value (non-performance of a significant long-term contract under the terms laid down in the contract, technical operating issues, and counterparty default for operating financial assets, etc.). Where such indication exists, the recoverable amount of the asset or group of assets is estimated.

The need to recognize impairment is assessed by comparing the net carrying amount of these assets with their recoverable amount. Unless there are future prospects for the sale of these assets, the recoverable amount corresponds to their value in use, generally equal to the present value of the future cash flows expected to be derived from the asset or group of assets, taking account of any residual value. The value in use of these assets is determined based on assumptions consistent with those adopted for impairment testing of goodwill and other intangible assets with an indefinite useful life (see Note 7.1.2).

Goodwill and other assets with an indefinite useful life are subject to systematic annual impairment tests following the update of the long-term plan and more frequent tests where there is an indication of loss in value.

Where the resulting recoverable amount is less than the net carrying amount of the asset or group of assets, an impairment is recorded.

Impairment losses on non-current assets can be reversed, with the exception of those relating to goodwill.

More generally, operating depreciation, amortization, provisions and impairment losses included in operating income in 2025 break down as follows:

(€ million)	2024	2025		
	Net	Charge	Reversal	Net
OPERATING DEPRECIATION, AMORTIZATION AND PROVISIONS, NET				
Depreciation and amortization	-3,121	-3,077	-	-3,077
Property, Plant and equipment ⁽¹⁾	-1,463	-1,467	-	-1,467
Intangible assets	-1,094	-1,070	-	-1,070
Rights of use	-564	-539	-	-539
Impairment losses	-78	-96	51	-45
Property, Plant and equipment	-45	-92	30	-63
Intangible assets and Operating financial assets	-25	-2	21	19
Rights of use	-8	-2	-	-2
Impairment losses and impact of disposals on goodwill and negative goodwill recognized in the Consolidated Income Statement	-3	-4	-	-4
Operating provisions	130	-804	908	104
OPERATING DEPRECIATION, AMORTIZATION, PROVISIONS AND IMPAIRMENT LOSSES	-3,071	-3,980	958	-3,022

(1) Including investment grants.

5.2.2 Restructuring costs

A restructuring is a program planned and controlled by Group management that significantly changes the scope of activity of the Group or the way in which this activity is managed. Accordingly, the following events can meet the definition of a restructuring: the sale or discontinuation of an activity branch, the closure of activity sites in a

country or a region or the relocation of activities from one country to another or from one region to another; changes to the management structure such as the suppression of a management level; and fundamental reorganizations with a significant impact on the nature and focus of an activity.

(€ million)	2024	2025
Restructuring costs	-146	-135
Net charges to restructuring provisions	9	1
NET RESTRUCTURING COSTS	-137	-134

Restructuring costs recognized in operating income in 2025, mainly concern France and Hazardous Waste Europe for -€66 million, Europe for -€27 million and the Americas, Asia Pacific, Africa Middle-East segment for -€39 million.

Restructuring costs recognized in operating income in 2024, mainly concern France and Hazardous Waste Europe for -€54 million, Europe for -€33 million and the Americas, Asia Pacific, Africa Middle-East segment for -€32 million.

5.2.3 Research and development costs

Research and development costs total €120 million as of December 31, 2025, compared with €136 million as of December 31, 2024.

5.2.4 Joint-ventures and associates

All equity-accounted companies, whether joint ventures or associates, represent an extension of the Group's businesses and are therefore allocated to one of the four operating segments.

(€ million)	2024	2025
Share of net income (loss) of joint ventures	71	32
Share of net income (loss) of associates	61	58
Share of net income (loss) of equity-accounted entities	132	90

5.2.4.1 Joint ventures

Movements in investments in joint ventures in 2025 break down as follows:

(€ million)	December 31, 2024	Net income	Dividend distribution	Changes in consolidation scope	Foreign exchange translation	Other movements	December 31, 2025
Investments in joint ventures	1,044	32	-39	-8	-79	-2	948

(€ million)	Share of equity		Share of net income (loss)	
	2024	2025	2024	2025
Chinese concessions	857	798	41	30
Other joint ventures	187	150	30	3
TOTAL	1,044	948	71	32
Impact in the Consolidated Income Statement on Net income from continuing operations (a)+(b)			71	32
Share of net income (loss) of joint ventures (a)			71	32
Reversals/(Impairment losses) recognized in other operating revenue and expenses (b)			-	-

Chinese Concessions

As of December 31, 2025, the Chinese concessions comprise a combination of approximately twelve separate legal entities in which the Group holds interests of between 21% and 51%; the most significant concessions in terms of revenue are Tianjin Jibin (49% interest) and Shanghai Pudong (50% interest).

Summarized financial information (at 100%) in respect of the Chinese concessions is set out below. This information reflects amounts presented in the joint ventures' financial statements prepared in accordance with IFRS, adjusted to reflect fair value adjustments performed on acquisition and adjustments recorded to comply with Group accounting principles when applying the equity method.

Summarized financial information (at 100%) - Chinese Concession joint ventures	Year ended December 31, 2024	Year ended December 31, 2025
Income statement		
Revenue	784	697
Operating income	98	69
Net income (loss) from continuing operations	87	66

Reconciliation of the above summarized financial information on the Chinese concessions to the carrying amount of the interest in these joint ventures recognized in the consolidated financial statements:

(€ million)	As of December 31, 2024	As of December 31, 2025
Net assets of the Chinese concession joint ventures	1,543	1,441
Group's ownership interest in the Chinese concession joint ventures - weighted average rate	46.28%	46.23%
Goodwill	147	135
Other adjustments	-4	-4
Carrying amount of the Group's interest in the Chinese concession joint ventures	857	798

As the Chinese concessions represent approximately twelve individual concessions, the percentage interest indicated in the above reconciliation is a weighted-average rate of the contribution of each concession within the combination.

The average rate used for the reconciliation of the different elements takes into account the Group's holdings in these different concessions, weighted by the relative importance of each of the entities to the whole. This rate is therefore adjusted each year and is sensitive to variations in the weight of the contributions to the results of each of the joint ventures within the presented set.

(€ million)	2024	2025
Net income (loss) for the year of the Chinese concession joint ventures	87	66
Group's ownership interest in the Chinese concession joint ventures - weighted average rate	46.28%	46.23%
Other	-	-
Group share of net income (loss) of the Chinese concession joint ventures	41	30

The recoverable amount of each Chinese concession joint venture is tested for impairment in accordance with the provisions set out in the standard. The Water activities business model in China is based on extremely long-term contracts (between thirty and fifty years) with high investment flows during the initial contract years.

Recoverable values are closely monitored. They are based on a certain number of structuring operating assumptions such as price increases, volume trends, construction activity levels and margins and efficiency and productivity measures integrated in future cash flows, as well as on the macro-economic assumptions (discount and inflation rates) underlying the business plans.

Other joint ventures

The Group also holds interests in other joint ventures that are not individually material, with a total net carrying amount of €150 million as of December 31, 2025, including primarily €71 million in the Middle East.

Unrecognized share of losses of joint ventures

As all the Group joint ventures are partnerships in which the Group exercises joint control, the share of any losses is recognized in full at the year end.

Transactions with joint ventures (related parties)

The Group grants loans to joint ventures. These loans are recorded in assets in the Group Consolidated Statement of Financial Position (see Note 8.1.2. "Other non-current and current financial assets").

As of December 31, 2025, non-current and current loans granted to all these entities totaled €32 million, including €24 million recorded in non-current loans (see Note 8.1.2.2) and €8 million recorded in current loans. As of December 31, 2024, these non-current and current loans totaled €38 million, including €21 million recorded in non-current loans and €17 million recorded in current loans.

In addition, given the Group's activities, operating flows between companies are generally limited to companies operating in the same country. As such, the level of operating transactions between the Group and equity-accounted companies is not material.

However, certain contractual agreements in the Group's businesses, impose the existence of a holding company (generally equity-accounted) and companies carrying the operating agreement (generally fully consolidated).

5.2.4.2 Investments in associates

Movements in investments in associates in 2025 break down as follows:

(€ million)	December 31, 2024	Net income	Dividend distribution	Changes in consolidation scope	Foreign exchange translation	Other movements	As of December 31, 2025
Investments in associates	632	58	-61	-6	-13	7	616

Investments in associates break down as follows:

(€ million)	Share of equity		Share of net income (loss)	
	As of December 31, 2024	As of December 31, 2025	2024	2025
Agbar's Subsidiaries ⁽¹⁾	216	219	12	16
Wasserversorg, in Mitteldeutschland GmbH	46	46	1	1
Ajman Sewerage Co. Ltd	38	35	11	12
Other non-material associates ⁽²⁾	332	316	37	29
TOTAL	632	616	61	58

Impacts on the Consolidated Income Statement

Share of net income (loss) of equity-accounted entities in continuing operations	61	58
Impairment losses and goodwill recognized in other operating revenue and expenses ⁽³⁾	-	-

(1) Including two associates with individual values of €34 million and €29 million.

(2) Associates with a unit value below €30 million as of December 31, 2025.

(3) Impairment and negative goodwill recognized in net income in respect of other associates.

5.3 Operating working capital

5.3.1 Operating working capital

Net working capital includes "operating" working capital (inventories, trade receivables, trade payables and other operating receivables and payables, tax receivables and payables other than current tax), "tax" working capital (current tax receivables and payables) and "investment" working capital (receivables and payables related to industrial investments/disposals).

In accordance with IAS 2 "Inventories", inventories are stated at the lower of cost and net realizable value. Net realizable value is the estimated selling price in the ordinary course of business less the estimated costs of completion and the estimated costs necessary to make the sale.

Commercial receivables and payables are recognized at nominal value, unless discounting at the market rate has a material impact. The Group applies the simplified approach to the impairment of commercial receivables, in accordance with the option available in IFRS 9. The Group uses a provision matrix that takes account of the business, geographic region and customer category in question.

When preparing this matrix, the Group considered late payment and default rates observed in the past, as well as the macroeconomic environment. The matrix is also updated to reflect changes in economic factors.

Trade payables are recognized as liabilities at amortized cost in accordance with IFRS 9 for accounting purposes. Short-term commercial payables without a declared interest rate are recognized at nominal value, unless discounting at the market rate has a material impact.

The Group derecognizes a financial asset when the contractual rights to the cash flows from the asset expire or when it transfers the contractual rights to the cash flows from the financial asset in a transaction under which substantially all the risks and rewards inherent to ownership of the financial asset are transferred. Any interest created or retained by the Group in a financial asset is recognized separately as an asset or liability.

Movements in net working capital during **2025** are as follows:

(€ million)	As of December 31, 2024	Changes in business	Impairment losses	Changes in scope of consolidation	Foreign exchange translation	Transfers to Assets/ Liabilities classified as held for sale	Other movements	As of December 31, 2025
Inventories and work-in-progress, net	1,497	4	-7	12	-46	-	6	1,465
Operating receivables, net	14,038	-187	11	320	-413	-	-31	13,739
Operating payables	-19,540	236	1	-413	557	-7	-50	-19,216
NET WORKING CAPITAL	-4,004	53	5	-81	97	-7	-76	-4,012

Movements in each of these working capital categories in **2025** are as follows:

(€ million)	As of December 31, 2024	Changes in business	Impairment losses	Changes in consolidation scope	Foreign exchange translation	Transfers to Assets/ Liabilities classified as held for sale	Other movements	As of December 31, 2025
Inventories and work-in-progress, net	1,497	4	-7	12	-46	-	6	1,465
Operating receivables (including tax receivables other than current tax) ⁽¹⁾	13,362	-287	11	319	-393	-	-32	12,980
Operating liabilities (including operating liabilities other than current tax) ⁽¹⁾	-17,701	399	-	-326	452	-7	-65	-17,247
OPERATING WORKING CAPITAL ⁽²⁾	-2,841	116	4	5	13	-7	-91	-2,801
Tax receivables (current tax)	558	75	-	1	-21	-	2	614
Tax payables (current tax)	-724	-56	-	-80	28	-	4	-828
TAX WORKING CAPITAL	-167	19	-	-79	7	-	6	-214
Receivables on non-current assets disposals	119	25	-	-	1	-	-1	145
Industrial investment payables	-1,115	-108	1	-7	76	-	11	-1,141
INVESTMENT WORKING CAPITAL	-996	-82	1	-7	78	-	10	-997
NET WORKING CAPITAL	-4,004	53	5	-81	98	-7	-76	-4,012

(1) Including contract assets and liabilities presented in Note 5.6.

(2) The change in working capital presented in the Consolidated Cash Flow Statement is equal to the sum of operating working capital changes in business activity and net impairment losses on operating working capital presented above.

Movements in inventories during **2025** are as follows:

Inventories (€ million)	As of December 31, 2024	Changes in business	Impairment losses	Reversal of impairment losses	Changes in consolidation scope	Foreign exchange translation	Transfers to Assets classified as held for sale	Other movements	As of December 31, 2025
Inventories and work-in-progress gross ⁽¹⁾	1601	4	-	-	14	-50	-	4	1573
Impairments on inventories and work-in-progress	-104	-	-32	25	-0	3	-	-0	-107
INVENTORIES AND WORK-IN-PROGRESS, NET	1,497	4	-32	25	14	-46	-	4	1,465

(1) Including CO₂ inventories.

Inventories mainly concern the Europe segment in the amount of €605 million, the Water Technologies segment in the amount of €382 million and the Americas, Asia Pacific, Africa Middle-East segment in the amount of €265 million.

Movements in operating receivables during 2025 are as follows:

Operating receivables (€ million)	As of December 31, 2024	Changes in business	Impairment losses *	Reversal of impairment losses	Changes in consolidation scope	Foreign exchange translation	Transfers to Assets classified as held for sale	Other movements	As of December 31, 2025
Trade receivables	10,718	-324	-	-	290	-238	-	-12	10,434
Impairment losses on trade receivables	-1,121	-	-223	241	-4	24	-	-	-1,082
TRADE RECEIVABLE, NET	9,598	-324	-223	241	286	-214	-	-11	9,352
Contracts assets	1,134	46	-	-	12	-81	-	-	1,112
Impairment losses on contracts assets	-8	-	-9	2	-1	1	-	-	-15
NET CONTRACTS ASSETS ⁽¹⁾	1,126	46	-9	2	11	-80	-	-	1,097
Other current operating receivables	930	161	-	-	-6	-36	-	-10	1,039
Impairment losses on other current operating receivables	-46	-	-6	7	-	1	-	2	-43
OTHER OPERATING RECEIVABLES, NET	884	161	-6	7	-6	-35	-	-8	996
Other receivables	632	-5	-	-	6	-40	-	-5	589
Tax receivables	1,799	-65	-	-	23	-45	-	-7	1,705
OPERATING RECEIVABLES, NET	14,038	-187	-238	249	320	-413	-	-31	13,739

* Impairment losses are recorded in operating income and included in the line "Changes in working capital" in the Consolidated Cash Flow Statement.

(1) Contract assets and liabilities are described in Note 5.6.

Changes in consolidation scope mainly concern the acquisition of Danubius in Hungary for €243 million.

Movements in operating payables during 2025 are as follows:

Operating payables (€ million)	As of December 31, 2024	Changes in business	Changes in consolidation scope	Foreign exchange translation	Transfers to Liabilities classified as held for sale	Other movements	As of December 31, 2025
Trade payables	7,673	-125	295	-159	7	2	7,692
Other current operating liabilities	7,221	-110	17	-224	-	53	6,957
Contracts liabilities ⁽¹⁾	1,665	-13	8	-44	-	8	1,623
Other liabilities	801	85	2	-62	-	-3	824
Tax and employee-related liabilities	2,179	-74	91	-67	-	-10	2,120
OPERATING PAYABLES	19,540	-237	413	-557	7	50	19,216

(1) Contract assets and liabilities are described in Note 5.6.

Changes in consolidation scope mainly concern the acquisition of Danubius in Hungary for €326 million.

5.3.2 Working capital management transactions

The Group's entities work continuously on improving the "Order-to-Cash" and "Procure-to-Pay" cycles, and more particularly on the management of Customer and Supplier positions. Therefore, action plans are regularly initiated, locally and at Group level, in order to improve invoicing time and quality, invoice processing, reconciliation of payments/disbursements, monitoring of aged balances, management of recovery and litigation.

These action plans include, where relevant, the implementation of a digital solution integrating Artificial Intelligence.

In addition to these actions, the Group may be required to implement programs for the assignment of receivables through factoring and reverse factoring, and discounting.

Factoring

Under these programs, certain subsidiaries have agreed to assign, on a renewable basis, trade receivables by contractual subrogation or assignment of receivables (such as Dailly programs in France) without recourse against the risk of default by the debtor. The analysis of the risks and rewards as defined by IFRS 9 led the Group to derecognize almost all the receivables assigned under these factoring programs. In addition, the transferor subsidiaries remain, in certain cases, responsible for invoicing and debt recovery, for which they receive remuneration but do not retain control.

Accordingly, receivables totaling €5,602 million were assigned under these programs in 2025, compared with €4,973 million in 2024. Receivables derecognized as of December 31, 2025 total €1,014 million, compared with €993 million as of December 31, 2024.

Reverse factoring

Some group entities implemented reverse factoring programs, allowing Group suppliers, by assigning their trade receivables, to benefit from advance payments.

After analyzing the key features of these programs, these liabilities were maintained as payables. The Group ensures that they are not substantially altered, and in particular:

- the Group's settlement periods are in accordance with local market and industry practices;
- the terms of the contract with the supplier are not linked to the existence of a reverse factoring program;
- the supplier remains free to choose whether or not to assign its receivable.

The amount of trade payables included under these reverse factoring programs and presented as payables totaled €275 million as of December 31, 2025 (or 3.6% of payables), compared with €255 million as of December 31, 2024.

Discounting

Under Public-Private partnerships, Veolia subsidiaries can assign the fraction of future payments guaranteed by public authorities/private customers (recognized in financial receivables pursuant to IFRIC 12 or IFRS 16) to the bodies funding the project, through discounting programs (such as Dailly programs in France). For the majority of partnerships concerned by these financial receivable assignments, the assignment agreements negotiated and the contractual clauses agreed between the stakeholders are sufficient to satisfy the derecognition criteria set out in IFRS 9. The residual risk retained by the companies (considered immaterial) is generally tied solely to late customer payment due to late/deferred invoicing of services by Group subsidiaries. Group subsidiaries are mandated by the financial institutions to manage the invoicing and recovery of the receivables covered by these programs. Veolia analyzed the management and recovery procedures falling to Group subsidiaries and concluded that these services did not constitute continuing involvement.

5.4 Non-current and current operating financial assets

Operating financial assets comprise financial assets resulting from the application of IFRIC 12 on accounting for concession arrangements and from the application of IFRS 16 on accounting for leases.

Concession arrangements

Pursuant to IFRIC 12, when the operator has an unconditional right to receive cash or another financial asset from the grantor in remuneration for concession services, the financial asset model applies. In this context, the infrastructures managed under these contracts cannot be recorded in assets of the operator as property, plant and equipment, but are recorded as financial assets.

Investment grants received in respect of concession arrangements are generally definitively earned and, therefore, are not repayable. In accordance with the option offered by IAS 20, these grants are presented as a deduction from intangible assets or financial assets depending on the applicable model following an analysis of each concession arrangement (IFRIC 12). Under the financial asset model, investment grants are equated to a means of repaying the operating financial asset.

During the construction phase, a financial receivable is recognized in the Consolidated Statement of Financial Position and revenue is recognized in the Consolidated Income Statement, in accordance with the percentage of completion method laid down in IFRS 15 on construction contracts.

Financial receivables are initially measured at the lower of fair value and the sum of discounted future cash flows and subsequently recognized at amortized cost using the effective interest method, as, in accordance with IFRS 9, they represent the right to receive contractual cash flows and have the characteristics of a loan.

After a review of the contract and its financing, the implied interest rate on the financial receivable is notably based on either the Group financing rate and/or the borrowing rate associated with the contract.

Leases

IFRS 16 requires the identification of contractual terms and conditions of agreements which, without taking the legal form of a lease, convey a right to use a group of assets in return for payments included in the overall contract (right of use analyzed as a transfer of control of a group of assets during the contract term). A lease component is thereby identified in these agreements, which is then analyzed and recognized in accordance with the criteria laid out in this standard.

The contract operator (Veolia) therefore becomes the lessor with respect to its customers. On contract signature, Veolia now determines whether the terms of the contract constitute a finance lease or an operating lease.

To this end, Veolia performs a comprehensive analysis to determine whether the lease transfers substantially all the risks and rewards inherent to ownership of the underlying asset to the customer (the lessee).

The following indicators in particular are considered when performing this analysis: (i) the lease transfers ownership of the asset to the customer by the end of the lease term, (ii) the lease term is for the major part of the economic life of the underlying asset, (iii) the present value of the lease payments amounts to at least substantially all of the fair value of the asset, or (iv) the asset is of such a specialized nature that only the customer can use it without major modifications.

If this analysis leads to the conclusion that the lease is a finance lease, Veolia does not recognize a tangible asset but an operating financial asset to reflect the corresponding financing.

Breakdown of operating financial assets by operating segment:

(€ million)	As of December 31					
	Non-current		Current		Total	
	2024	2025	2024	2025	2024	2025
France & Hazardous Waste Europe	186	109	12	10	198	119
Europe	664	589	80	83	745	671
Americas, Asia Pacific, Africa Middle-East	367	314	43	42	410	355
Water Technologies	1	-	-	-	1	1
Other	-	-	-	-	-	-
OPERATING FINANCIAL ASSETS	1,218	1,012	135	135	1,353	1,147
OF WHICH IFRIC 12 OPERATING FINANCIAL ASSETS	765	586	91	88	856	674
OF WHICH IFRS 16 OPERATING FINANCIAL ASSETS	453	427	44	46	497	473

Movements in the net carrying amount of non-current and current operating financial assets during 2025 are as follows:

(€ million)	December 31, 2024	New operating financial assets*	Repayments / Disposals	Impairment losses**	Changes in consolidation scope	Foreign exchange translation	Non-current/ current reclassification	Other movements	December 31, 2025
Non-current and current IFRIC 12 operating financial assets	856	73	-197	-1	-	-25	-	-32	674
Non-current and current IFRS 16 operating financial assets	497	53	-71	-	-	-18	-	12	473
NON-CURRENT AND CURRENT OPERATING FINANCIAL ASSETS	1,353	126	-268	-1	-	-43	-	-21	1,147

* New operating financial assets amounting to €156 million presented in the Consolidated Cash Flow Statement correspond to new operating financial assets in the above table (€126 million) net of the related debt (-€30 million) in 2025.

** Impairment losses are recorded in operating income.

The principal **new operating financial assets** in 2025 mainly concern the increase in financial receivables for pre-existing contracts, in particular in the following operating segments:

- Europe, in the amount of €67 million;
- France and Hazardous Waste Europe, in the amount of €48 million;
- the Americas, Asia Pacific, Africa Middle-East segment, in the amount of €11 million.

The principal **repayments and disposals** of operating financial assets in 2025 concern the following operating segments:

- France and Hazardous Waste Europe, in the amount of -€117 million;
- Europe, in the amount of -€112 million;
- the Americas, Asia Pacific, Africa Middle-East segment, in the amount of -€38 million.

Other movements are linked to contractual developments, mainly in Germany.

(€ million)	As of December 31, 2024	New operating financial assets	Repayments / Disposals	Impairment losses	Changes in consolidation scope	Foreign exchange translation	Non-current/ current reclassification	Other movements	As of December 31, 2025
Gross value	782	68	-7	-	-	-21	-186	-36	600
Impairment losses	-17	-	-	-1	-	-	-	3	-15
NON-CURRENT IFRIC 12 OPERATING FINANCIAL ASSETS	765	68	-7	-1	-	-21	-186	-33	586
Gross value	91	4	-190	-	-	-4	186	1	88
Impairment losses	-	-	-	-	-	-	-	-	-
CURRENT IFRIC 12 OPERATING FINANCIAL ASSETS	91	4	-190	-	-	-4	186	1	88
NON-CURRENT AND CURRENT IFRIC 12 OPERATING FINANCIAL ASSETS	856	72	-197	-1	-	-25	-	-32	674

(€ million)	As of December 31, 2024	New operating financial assets	Repayments / Disposals	Impair- ment losses	Changes in consolidation scope	Foreign exchange translation	Non-current/ current reclassification	Other movements	As of December 31, 2025
Gross value	453	53	-2	-	-	-17	-72	12	427
Impairment losses	-	-	-	-	-	-	-	-	-
NON-CURRENT IFRS 16 OPERATING FINANCIAL ASSETS	453	53	-2	-	-	-17	-72	12	427
Gross value	44	-	-69	-	-	-1	72	-	46
Impairment losses	-	-	-	-	-	-	-	-	-
CURRENT IFRS 16 OPERATING FINANCIAL ASSETS	44	-	-69	-	-	-1	72	-	46
NON-CURRENT AND CURRENT IFRS 16 OPERATING FINANCIAL ASSETS	497	53	-71	-	-	-18	-	12	473

IFRIC 12 operating financial assets maturity schedule:

(€ million)	1 year	2 years	3 years	4 years	5 years	More than 5 years	Total
France & Hazardous Waste Europe	9	96	9	4	-	1	118
Europe	52	38	38	43	243	26	440
Americas, Asia Pacific, Africa Middle-East	27	11	4	2	-	72	115
Water Technologies	-	-	-	-	-	-	-
Other	-	-	-	-	-	-	-
TOTAL	89	145	51	49	243	98	674

IFRS 16 operating financial assets maturity schedule:

(€ million)	1 year	2 years	3 years	4 years	5 years	More than 5 years	Total
France & Hazardous Waste Europe	1	-	-	-	-	-	1
Europe	30	38	27	23	23	91	231
Americas, Asia Pacific, Africa Middle-East	14	14	13	15	11	172	240
Water Technologies	-	-	-	-	-	-	1
Other	-	-	-	-	-	-	-
TOTAL	46	52	40	38	34	263	473

Operating financial assets held by the Group in countries considered high-risk are not material in amount.

5.5 Non-current and current concession liabilities

Concession liabilities result from the application of IFRIC 12 on the accounting treatment of concessions (see Note 5).

Non-current and current concession liabilities in 2025 break down by operating segment as follows:

(€ million)	Non-current		Current		Total	
	As of December 31, 2024	As of December 31, 2025	As of December 31, 2024	As of December 31, 2025	As of December 31, 2024	As of December 31, 2025
France & Hazardous Waste Europe	127	111	24	25	151	136
Europe	1,213	1,124	274	280	1,486	1,404
Americas, Asia Pacific, Africa Middle-East	119	104	6	6	125	110
Water Technologies	-	-	-	-	-	-
Other	-	-	-	-	-	-
CONCESSION LIABILITIES	1,459	1,339	303	311	1,762	1,650

5.6 Contracts assets and liabilities

Non-current and current contract assets represent services rendered by the Group but not yet billed, where the right to remuneration is conditional.

Non-current and current contract liabilities mainly reflect amounts already settled by customers for which the Group has not yet performed the service (deferred income, down payments received from customers). These liabilities are recognized in revenue when the Group performs the service.

Contract assets and liabilities break down as follows:

(€ million)	Contract assets		Contract liabilities	
	As of December 31, 2024	As of December 31, 2025	As of December 31, 2024	As of December 31, 2025
France & Hazardous Waste Europe	62	25	191	199
Europe	158	165	720	740
Americas, Asia Pacific, Africa Middle-East	436	451	272	264
Water Technologies	470	456	482	420
Other	-	-	-	-
TOTAL	1,126	1,097	1,665	1,623

Contract assets and liabilities are mainly included in operating receivables and operating payables in the Consolidated Statement of Financial Position.

5.7 Management of supply risks

As part of supply management and cost optimization measures or to hedge future production, certain Group subsidiaries may be required, depending on their activities, to contract forward purchases or sales of commodities and set-up derivatives to fix the cost of commodities supply or the selling price of commodities produced (electricity).

Commodity risks are described in Note 8.3.1.3.

Depending on the contract, these guarantees cover the costs necessary for the supervision and rehabilitation of all or part of the site.

These guarantees are quantified in accordance with legal or contractually-defined procedures. These guarantees, which are given in their total amount from the start of operations, expire at the end of the commitment (termination of rehabilitation work and site supervision).

Therefore, the amount of our commitment for the rehabilitation and supervision of landfill sites is in general different from the amount of the provision recorded in the Group accounts (see Note 10). Provisions calculated by the Group are based on different valuations (based on internal policies regarding site security and designed for optimal environmental protection), which take into account the progressive nature of the obligation: operation of the landfill sites results in progressive damage to the site and, as such, a related liability is recognized as the facility is operated (see Note 10).

If the amount of the commitment is less than the provision at the balance sheet date, an off-balance sheet commitment is not disclosed. Conversely, if the amount of the commitment is greater than the provision, an off-balance sheet commitment is disclosed in the amount not provided.

■ Commitments related to engineering and construction activities.

In the context of its business activities the Group gives (and receives) commitments which can take several forms (deposits on construction work and performance guarantees, etc.). Issued in favor of customers or banking institutions, they are subject to individual follow-up by site and their maturity depends on their contractual characteristics.

■ Commitments relating to concession arrangements.

Pursuant to public service contracts with a public entity, the Group may be called on/obliged to invest in infrastructures that will then be operated and remunerated in accordance with contractual terms and conditions.

The contractual commitment may concern both the financing of installations and infrastructures to be used in operations and also the maintenance and replacement of infrastructures necessary to operations.

Expenditure relating to the replacement or rehabilitation of installations is monitored and recognized through any timing differences between the total contractual commitment over the contract term and its realization, in accordance with IAS 37 on Provisions.

5.8 Commitments relating to operating activities

5.8.1 Commitments given relating to operating activities

Commitments given relating to operating activities comprise operating guarantees and purchase commitments.

Operational or operating guarantees encompass all commitments not relating to financing operations, required in respect of contracts or markets and generally given in respect of the operations and activities of Group companies. Such guarantees include bid bonds accompanying tender offers, advance payment bonds and completion or performance bonds given on the signature of contracts or concession arrangements.

The main categories of commitments include:

■ Commitments related to site rehabilitation.

Pursuant to environmental texts and legislation concerning the operation of landfill sites, the Group is obliged to provide financial guarantees to local authorities/government agencies. These guarantees notably encompass the rehabilitation and supervision of the site during 30 years or more, depending on national legislation (currently 60 years in the United Kingdom), following its operation.

In this context, performance bonds and letters of credit are issued to local authorities and other public bodies.

Expenditure relating to the construction, maintenance and restoration of concession assets is reviewed with respect to IFRIC 12 and detailed in Note 5.4.

■ Firm commodity purchase and sale commitments.

As part of supply management and cost optimization, certain Group subsidiaries may be required, depending on their activities, to set-up derivatives to fix the cost of commodity supplies where the contracts do not offer appropriate protection or contract forward purchases or sales of commodities.

Commodity risks are described in Note 8.3.1.3.

Firm commodity purchase commitments, excluding derivative instruments, mainly concern:

- gas, biomass and coal in Energy activities (mainly in Central and Eastern Europe). Most commitments mature in less than 3 years;
- gas and electricity in Water activities.

In parallel, firm electricity sales contracts, excluding derivative instruments, are entered into to secure selling prices over a period of less than 3 years. These commitments concern production activities exposed to the electricity wholesale market and primarily Waste activities in the United Kingdom (electricity produced by waste incineration) and Energy activities in Central and Eastern Europe.

Firm heating sales contracts are also entered into by the Energy activity in Central and Eastern Europe over a period of one year.

Off-balance sheet commitments given break down as follows:

(€ million)	As of December 31, 2024	As of December 31, 2025	Maturing in		
			Less than 1 year	1 to 5 years	More than 5 years
Operational guarantees including performance bonds	12,089	11,812	3,446	4,057	4,309
Purchase commitments	208	178	72	78	29
TOTAL COMMITMENTS RELATING TO OPERATING ACTIVITIES	12,297	11,990	3,518	4,135	4,338

Commitments given break down by operating segment as follows:

(€ million)	As of December 31, 2024	As of December 31, 2025
France & Hazardous Waste Europe	663	650
Europe	3,162	3,318
Americas, Asia Pacific, Africa Middle-East	2,836	2,603
Water Technologies	2,346	2,449
Other	3,290	2,969
TOTAL COMMITMENTS RELATING TO OPERATING ACTIVITIES	12,297	11,990

The decrease in commitments given by -€307 million in 2025 is attributable to the impact of the fall in the exchange rate for -€644 million (mainly the US dollar) and the new guarantee issued as part of the project to recycle water from complex industrial effluents for SATORP in Saudi Arabia for €298 million.

In addition to the commitments given quantified above, Veolia has also granted commitments of an unlimited amount in respect of completion or performance bonds and a waste construction and processing contract in Hong Kong, in the Waste and Water businesses. This commitment, of an unlimited amount, is tied to the contract term (37 months of construction and 15 years of operation) and has a residual duration of 3 years as of December 31, 2025.

These commitments are limited to the duration of the related contracts and were approved in advance by the Board of Directors of Veolia Environnement.

Commitments given with regard to joint ventures remained at €150 million (100%) as of December 31, 2025, compared with €154 million in 2024. They mainly consist of performance bonds given to Kilpilahti Power Plant Ltd for the renovation of the combined heat and power plant in Porvoo, Finland, in the amount of €100 million.

5.8.2 Commitments received relating to operating activities

These commitments mainly consist of commitments received from our partners in respect of construction contracts.

They total €1,102 million as of December 31, 2025, compared with €1,093 million as of December 31, 2024.

Note 6 PERSONNEL COSTS AND EMPLOYEE BENEFITS**6.1 Personnel costs and employee numbers**

Personnel costs break down as follows:

(€ million)	2024	2025
Employee costs	-10,879	-11,018
Profit-sharing and incentive schemes	-292	-255
Share-based compensation, including social security contributions ⁽¹⁾	-63	-59
PERSONNEL COSTS	-11,234	-11,332

(1) As disclosed in Note 6.2.2, share-based compensation mainly concerns Share Grant Plans and the Employee Savings Plan.

Average consolidated employees break down as follows:

By operating segment	2024	2025
France & Hazardous Waste Europe	48,812	41,547
Europe	78,334	79,856
Americas, Asia Pacific, Africa Middle-East	75,039	72,946
Water Technologies	17,398	17,334
Other	1,619	1,493
CONSOLIDATED EMPLOYEES ⁽¹⁾	221,202	213,176

(1) Consolidated employees excluding employees of equity-accounted subsidiaries.

The employees employed in joint ventures are not significant. The change between 2025 and 2024 is mainly due to the effect of removals from the 2024 scope.

6.2 Share-based compensation**6.2.1 Accounting policies**

Pursuant to IFRS 2, Share-based Payment, an expense is recorded in respect of share purchase or subscription plans and other share-based compensation granted by the Group to its employees. When the plans are equity-settled, the fair value of instruments is determined at the grant date and the fair value of the plan is expensed in the Consolidated Income Statement and recognized directly in equity over the period in which the benefit vests and the service is rendered.

For share grant plans, the fair value of instruments is calculated based on the share price at the grant date and the expected dividend yield.

For Group Savings Plans (GSP), the compensation expense corresponds to the discount and the Company's contribution to subscribers.

6.2.2 Share-based compensation expense

The share-based compensation expense breaks down as follows:

(€ million)	As of December 31, 2024	As of December 31, 2025
Employee savings plan	38	32
2022 Performance share grant plan	10	-
2023 Performance share grant plan	9	10
2024 Performance share grant plan	5	10
2025 Performance share grant plan	-	6
2022 Free share grant plan	1	1
TOTAL INCLUDING SOCIAL SECURITY COSTS	63	59

6.2.2.1 2025 Employee Savings Plans

Veolia Environnement regularly sets up, through Group Savings Plans (GSP), in France and internationally, standard and secured savings plans which enable a large number of employees of Veolia Environnement and its subsidiaries to subscribe for Veolia Environnement shares. Shares subscribed by employees under these plans are subject to certain restrictions regarding their sale or transfer.

In 2025, Veolia Environnement proposed a new Group employee share ownership transaction, rolled-out across 56 countries.

Under this transaction, shares were subscribed with a 15% discount on the average closing price of the share during the 20 trading days preceding the date the subscription price was set by the Chief Executive Officer. The subscription price was set at €25.97.

Under the so-called secure format, employees benefit from:

- a gross contribution from the Group equal to 100% of the employee's investment up to a maximum of €300;
- a leveraged system supplementing their personal investment in the event of an increase in the share price.

This personal investment and the net contribution from the Group are guaranteed in the event of a fall in the share price and receive a guaranteed minimum return. In certain countries, in order to adapt to local legislation, a Share Appreciation Rights plan is offered.

A financial institution is appointed by Veolia to hedge the transaction.

In the United Kingdom, a Share Incentive Plan (SIP) was offered as an alternative to the standard plan, enabling employees to subscribe at the lower of the share price on August 1, 2025, and the share price preceding the vesting of the shares in January 2026, while benefiting from a contribution from the Group capped at £250. The subscription period ended on December 31, 2025.

This transaction is valued at €339 million, representing 13,065,890 shares, including 11,289,176 new shares issued through a share capital increase on September 12, 2025. At the same time, the Company proceeded with a capital reduction through cancellation of 11,289,176 treasury shares acquired under the share repurchase program. The total share capital remains unchanged after these transactions.

In 2025, an expense of €32 million is recorded in operating income.

6.2.2.2 2025 Performance Share Grant Plans

In 2025, the Group granted 1,176,353 performance shares (PS) to Group employees and executives, subject to the beneficiary's presence in the Group on May 7, 2028 and performance conditions based on the following criteria:

- financial criteria (average increase in current net income attributable to owners of the Company and relative performance of the total shareholder return (TSR) of the Veolia Environnement share compared with the Stoxx 600 Utilities (Price) SX6P index);
- non-financial quantitative criteria relating to the Company's Purpose.

Taking account of these characteristics and market conditions at the plan implementation date, the fair value of the instruments was estimated at €23.36.

The performance and presence conditions are taken into account in estimating the compensation expense.

An expense of €6 million is recorded in operating income in 2025.

6.2.2.3 Plans implemented before 2025

Veolia implemented the following plans in previous years:

- 2024 employee savings plan: Veolia had proposed in 2024 a Group employee share ownership transaction, rolled-out across 54 countries. This plan expired on December 31, 2024;
- 2022, 2023 and 2024 performance share grant plans: the Group set-up performance share grant plans (PSP) in 2022, 2023 and 2024 subject to the beneficiary's presence in the Group at the vesting date on August 2, 2025, May 3, 2026 and May 14, 2027, respectively, and performance conditions. An expense of €20 million is recorded in operating income in 2025 in respect of these three plans;
- 2022 Free Share Grant Plan: the Group granted 145,200 free shares subject to the beneficiary's presence in the Group on June 15, 2025. An expense of €1 million is recorded in operating income in 2025 in respect of this plan.

6.3 Pension plans and other post-employment benefits

The following disclosures relate to the pension plans offered by fully consolidated entities.

6.3.1 Accounting policies

Veolia Environnement and its subsidiaries have several pension plans:

Defined contribution plans: plans under which the Group (or a Group entity) pays an agreed contribution to a separate entity, relieving it of any liability for future payments.

These obligations are expensed in the Consolidated Income Statement when due.

Defined benefit plans: all plans which do not meet the definition of a defined contribution plan. The net obligations of each Group entity are calculated for each plan based on an estimate of the amount employees will receive in exchange for services rendered during the current and past periods. The amount of the obligation is discounted to present value and the fair value of plan assets is deducted.

Where the calculation shows a plan surplus, the asset recognized is capped at the total of the discounted present value of profits, in the form of future repayments or reductions in plan contributions. The plan surplus is recognized in non-current financial assets.

Certain obligations of the Group or Group entities may enjoy a right to reimbursement, corresponding to a commitment by a third party to repay in full or in part the expenses relating to these obligations. This right to reimbursement is recognized in non-current financial assets.

The financing of defined benefit pension plans may lead the Group to make voluntary contributions to pension funds. Where applicable, these voluntary contributions are presented in Net cash from operating activities in the Consolidated Cash Flow Statement, in the same way as other employer contributions.

Employee obligations of the Group are calculated using the projected unit credit method. This method is based on the probability of personnel remaining with companies in the Group until retirement, the foreseeable changes in future compensation, and the appropriate discount rate. Specific discount rates are adopted for each monetary area. They are determined based on the yield offered by bonds issued by leading companies (rated AA) or treasury bonds where the market is not liquid, with maturities equivalent to the average term of the plans valued in the relevant region. This results in the recognition of pension-related assets or provisions in the Consolidated Statement of Financial Position and the recognition of the related net expenses.

Pursuant to IAS 19, Employee Benefits, actuarial gains and losses are recognized in other comprehensive income.

6.3.2 Description of plans

In accordance with the regulatory environment and collective agreements, the Group has established defined benefit and defined contribution pension plans (company or multi-employer) in favour of employees and other post-employment benefits.

Defined contribution plans

Supplemental defined contribution pension plans have been set up in certain subsidiaries. Expenses incurred by the Group under these plans totaled €200 million in 2025 and €200 million in 2024.

Defined benefit plans

The tables in Note 6.3.3 present the obligations in respect of defined benefit pension plans and other post-employment benefits.

The measurement of these obligations is reflected by the DBO (Defined Benefit Obligation). These future outflow commitments may be partially or fully funded ("plan assets").

The most significant obligations are located in the United Kingdom, the United States and France.

United Kingdom

The defined benefit obligation as of December 31, 2025 is €708 million (compared with €747 million as of December 31, 2024) and is funded by plan assets of €739 million as of December 31, 2025 (compared with €780 million in 2024). The change in the defined benefit obligation is presented in the table below in Note 6.3.3.

The average duration of these plans is approximately 11 years.

In the United Kingdom, defined benefit pension plans are mainly final salary plans. Most of these plans are closed to new employees and the majority are also closed to the accrual of new rights. These plans are financed by employer contributions, or even employee contributions, paid to an independent pension fund (managed by a Trustee). Local regulations ensure the independence of the pension funds, which have nine members (including five employer representatives, three representatives of active and retired employees and one independent member).

Plan rules authorize the employer to recover excess funds paid at the end of the plans.

These plans allow retirees to take part of the benefit as a lump-sum and the balance as a pension. In the case of a pension, the related risk is tied to the longevity of beneficiaries.

France

In France, the defined benefit obligation for all plans totaled €395 million as of December 31, 2025 (€369 million as of December 31, 2024). It is funded by plan assets of €60 million as of December 31, 2025 (€64 million as of December 31, 2024). The change in the defined benefit obligation is presented in the table below in Note 6.3.3.

Nearly 88% of the obligation relates to retirement indemnities (legally required payments) paid in a lump sum. These indemnities represent a number of months' salary based on seniority and are legally required by the applicable collective-bargaining agreement to be paid on an employee's retirement. A portion of these obligations is covered by insurance contracts, but this funding is at the discretion of the employer. The average duration of these plans is approximately 11 years.

The risk associated with this type of plan is linked to the renegotiation of collective bargaining agreements which could generate adjustments to the indemnities granted.

United States

The defined benefit obligation as of December 31, 2025 is €488 million (compared with €539 million as of December 31, 2024) and is funded by plan assets of €503 million as of December 31, 2025 (compared with €521 million in 2024). The change in the defined benefit obligation is presented in the table below in Note 6.3.3.

The average duration of these plans is approximately 10 years.

Approximately 83% of the obligation relates to average salary pension plans. Veolia also participates in plans that cover a portion of employee healthcare costs. Most of these plans are closed to new employees, and are even closed to the accrual of new rights. Financing is assured by the payment of employer contributions to these funds.

Multi-employer plans

Under collective agreements, some Group companies participate in multi-employer defined benefit pension plans. However, some of these plans are unable to provide a consistent and reliable basis for the allocation of the obligation, assets and costs between the different participating entities. They are therefore recorded as defined contribution plans in accordance with IAS 19. The multi-employer plans concern approximately 4,000 employees in 2025 and are mainly located in Germany, where such plans are generally funded by redistribution and in the United States.

The corresponding expense recorded in the Consolidated Income Statement is equal to annual contributions, which amount to approximately €8 million.

6.3.3 Obligations in respect of defined benefit pension plans and other post-employment benefits

6.3.3.1 Actuarial assumptions

Actuarial assumptions used for calculation purposes vary depending on the country in which the plan is implemented.

The benefit obligation in respect of pension plans and post-employment benefits is based on the following average assumptions:

	As of December 31, 2024	As of December 31, 2025
Discount rate	4.78%	4.73%
<i>o/w United Kingdom</i>	5.55%	5.55%
<i>o/w United States</i>	5.50%	5.40%
<i>o/w Euro zone</i>	3.60%	3.50%
Inflation rate	2.53%	2.44%
<i>o/w United Kingdom (RPI / CPI)</i>	3,15%/2,60%	2,90%/2,40%
<i>o/w United States</i>	2.50%	2.50%
<i>o/w Euro zone</i>	2.00%	2.00%

6.3.3.2 Change in the defined benefit obligation (DBO)

Change in the DBO (€ million)	As of December 31									
	United Kingdom		France		United States		Other countries		TOTAL	
	2024	2025	2024	2025	2024	2025	2024	2025	2024	2025
Defined benefit obligation at beginning of year	773	747	388	369	541	539	400	393	2,103	2,047
Current service cost	1	1	19	21	7	6	29	30	57	58
Plan amendments or new plans (contract wins)	-	3	-	-11	-	-	-	-	-	-8
Curtailments and settlements	-	-5	-7	-16	-	-	-4	-5	-11	-26
Interest cost	37	39	11	12	27	25	11	11	85	87
Actuarial (gains) losses	-54	5	-5	43	-36	13	9	6	-85	67
<i>o/w actuarial (gains) losses arising from experience adjustments</i>	2	7	2	10	-	5	1	3	4	25
<i>o/w actuarial (gains) losses arising from changes in demographic assumptions⁽¹⁾</i>	-1	9	1	30	-	-	-	-	-1	39
<i>o/w actuarial (gains) losses arising from changes in financial assumptions</i>	-54	-11	-8	4	-36	8	9	3	-89	4
Plan participants' contributions	-	-	-	-	-	-	1	1	1	1
Benefits paid	-47	-45	-19	-21	-33	-33	-36	-27	-135	-126
Benefits obligation assumed on acquisition of subsidiaries	-	-	4	-	-	-	4	10	8	10
Benefits obligation transferred on divestiture of subsidiaries	-	-	-23	-	-	-	-22	-11	-46	-11
Foreign exchange translation	36	-37	-	-	33	-63	-	-14	69	-114
Other	-	1	1	-1	-	-	1	-2	2	-2
(a) Defined Benefit Obligation at end of year	747	708	369	395	539	488	393	392	2,047	1,983

(1) Actuarial losses resulting from changes in demographic assumptions in France in 2025 for €30 million are mainly due to updates to the workforce turnover rates.

6.3.3.3 Sensitivity of the defined benefit obligation and the current service cost

The Group defined benefit obligation is especially sensitive to discount and inflation rates.

A 1% increase in the discount rate would decrease the defined benefit obligation by approximately €189 million and the current service cost of the next year by €5 million. A 1% decrease in the discount rate would increase the defined benefit obligation by €212 million and the current service cost of the next year by €5 million.

Conversely, a 1% increase in the inflation rate would increase the defined benefit obligation by approximately €123 million and the current service cost by €5 million. A 1% decrease in the inflation rate would decrease the defined benefit obligation by €112 million and the current service cost by €5 million.

6.3.4 Change in the funding status of post-employment benefit obligations and the provision

(€ million)	United Kingdom		France		United States		Other countries		Total	
	2024	2025	2024	2025	2024	2025	2024	2025	2024	2025
(a) Defined Benefit Obligation at end of year	747	708	369	395	539	488	393	392	2,047	1,983
(b) Fair value of plan assets at end of year	780	739	64	60	521	503	118	123	1,484	1,425
Funding status = (b) – (a)	34	31	-305	-336	-18	15	-275	-269	-564	-559
Provisions	-4	-5	-305	-336	-65	-36	-279	-270	-653	-647
Prepaid benefits (regimes with a funding surplus)	38	36	0	0	48	51	4	1	89	89

6.3.5 Change in plan assets

The following table presents plan assets funding obligations in respect of defined benefit pension plans and other post-employment benefits.

Change in plan assets (€ million)	As of December 31									
	United Kingdom		France		United States		Other countries		TOTAL	
	2024	2025	2024	2025	2024	2025	2024	2025	2024	2025
Fair value of plan assets at beginning of year	814	780	78	64	483	521	130	118	1,506	1,484
Actual return on plan assets	-28	40	3	3	28	66	5	6	8	114
<i>o/w interest income</i>	39	40	3	2	24	24	4	4	69	70
<i>o/w return on plan assets excluding amounts included in interest income</i>	-67	-1	-	1	5	42	1	2	-61	45
Employer contributions	4	7	-14	-4	11	11	7	8	8	22
Plan participants' contributions	-	-	-	-	-	-	1	1	1	1
Plan assets assumed on acquisition of subsidiaries	-	-	-	-	-	-	2	-	2	-
Plan assets transferred on divestiture of subsidiaries	-	-	-	-	-	-	-7	-	-7	-
Settlements	-	-5	-	-	-	-	-1	-1	-1	-6
Benefits paid	-47	-45	-4	-3	-32	-32	-17	-6	-99	-86
Administrative expenses paid by the fund	-1	-1	-	-	-1	-	-	-	-1	-1
Foreign exchange translation	38	-39	-	-	31	-62	-	-1	68	-102
Other	-	2	-	-	-	-	-	-1	-	1
(b) Fair value of plan assets at end of year	780	739	64	60	521	503	118	123	1,484	1,425

Investment policy

In the **United Kingdom**, the investment policy is defined by the pension fund. Funding levels and the contribution payment schedule are negotiated by the employer and the Trustee, based on triennial actuarial valuations. Contributions include both the funding of the shortfall in relation to past rights and service costs for future years.

United Kingdom pension funds aim to attain 100% technical coverage of liabilities within 10 years, while maintaining a risk level considered as acceptable by all parties (Trustees and employers). In order to achieve that goal, plan assets are allocated within two portfolios:

- a liability-driven investment portfolio comprising financial instruments (where flows best match liabilities and the value fluctuates in line with the liability value). This portfolio mainly includes inflation-linked bonds issued or guaranteed by the United Kingdom government and derivatives with leading banking counterparties, with which collateralization contracts have been signed in order to minimize counterparty risk;
- a portfolio of growth assets invested in a diverse range of asset classes (equities, bonds, diversified funds, etc.) and seeking to outperform the liabilities. Portfolio management was delegated to an external manager in January 2017.

A hedging policy covering some financial risks (particularly foreign exchange, inflation and interest rate) was implemented, in order to reduce the fund's exposure to these risks and therefore reduce the risk of increased contributions. These hedges were implemented using derivatives (currency forwards, total return swaps on gilts, interest rate swaps, etc.).

In France, the Group's assets are placed primarily with insurance companies and invested in the general insurance fund. The French General Insurance Code (Code général des assurances) requires insurance companies to provide a minimum rate of return on these funds, calculated primarily based on the rate offered by government bonds.

In the United States, the investment policy is defined by the pension fund. The level of funding for the plan is set by the employer.

For the entire Group, the actual rate of return on plan assets reflects market performance based on the asset investment profiles.

The Group plans to make contributions of €23 million to defined benefit plans in 2026, compared with €22 million in 2025. The amount of employer contributions is presented net of reimbursements of benefits by insurance companies. In 2025, a reimbursement of €4 million was made in respect of benefits paid in France, compared with €13 million in 2024.

Investment and return on assets

On average, Group pension plan assets were invested as follows:

	2024	2025
Unquoted assets	14.7%	10.7%
Liquid unquoted assets - Investment funds (general insurance fund)	8.9%	9.1%
Non-liquid unquoted assets - Investment funds ⁽¹⁾	3.2%	0.5%
Unquoted assets - Other	2.7%	1.1%
Quoted assets (liquid)	82.4%	82.7%
Government bonds ⁽²⁾	22.4%	16.6%
Corporate bonds	20.7%	24.4%
Shares	29.1%	28.1%
Diversified Investment funds	9.3%	7.2%
Liquid quoted assets - Other	0.9%	6.4%
Liquid assets	2.9%	6.6%
TOTAL	100.0%	100.0%

(1) The line "Non-liquid unquoted assets – Investment funds" consists of funds without guaranteed monthly liquidity (e.g. real estate funds, infrastructure funds).

(2) The portion of government bonds from high-risk countries is not material.

6.3.6 Impact on comprehensive income

The net benefit cost breaks down as follows:

(€ million)	As of December 31									
	United Kingdom		France		United States		Other countries		TOTAL	
	2024	2025	2024	2025	2024	2025	2024	2025	2024	2025
Service cost	1	-1	13	-6	7	6	25	25	46	24
o/w Current service cost	1	1	19	21	7	6	29	30	57	58
o/w Past service cost	-	-2	-7	-27	-	-	-4	-5	-11	-34
Net interest expense	-2	-2	8	10	3	1	8	8	16	17
o/w Interest cost	37	39	11	12	27	25	11	11	85	87
o/w Interest income on plan assets	-39	-40	-3	-2	-24	-24	-4	-4	-69	-70
Interest income on right to reimbursement	-	-	-	-	-	-	-	-	-	-
Administrative expenses paid by the fund	1	1	-	-	1	-	-	-	1	1
Other	-	5	2	-	-	-	-	1	2	6
Net benefit cost recognized in the Consolidated Income Statement	-	3	22	4	10	8	33	34	65	48
Return on plan assets excluding amounts included in interest income	67	1	-	-1	-5	-42	-1	-2	61	-45
Actuarial (gains) losses arising from experience adjustments	2	7	2	10	-	5	1	3	4	25
Actuarial (gains) losses arising from changes in demographic assumptions	-1	9	1	30	-	-	-	-	-1	39
Actuarial (gains) losses arising from changes in financial assumptions	-54	-11	-8	4	-36	8	9	3	-89	4
Net benefit cost recognized in other comprehensive income	14	6	-5	42	-41	-29	8	4	-24	23
NET BENEFIT COST RECOGNIZED IN TOTAL COMPREHENSIVE INCOME	14	9	18	45	-30	-21	41	38	42	71

The costs in the Consolidated Income Statement are recorded in operating income, except for the net interest expense, recorded in net financial income and expenses.

6.4 Compensation and related benefits of key management (related parties)

Group Executive Committee members and directors represent the key management personnel of Veolia Environnement.

The following table summarizes amounts paid by the Group in respect of compensation and other benefits granted to members of the Company Executive Committee in exercise at the closing date of each fiscal year presented.

Short-term benefits include fixed and variable compensation, employee benefits and directors' fees. Variable compensation comprises amounts paid in a given fiscal year in respect of previous fiscal years.

(€ million)	Year ended December 31, 2024	Year ended December 31, 2025
Short-term benefits, excluding employer contributions	16	14
Employer contributions	5	7
Post-employment benefits ⁽¹⁾	-	-
Other long-term benefits ⁽²⁾	-	-
Share-based payments	3	4
Other items	-	-
TOTAL	25	26

(1) Current service cost.

(2) Other compensation vested but payable in the long-term.

As of December 31, 2025, total pension and post-employment benefit obligations in respect of members of the Management Committee amount to €1 million, compared with €2 million as of December 31, 2024.

The members of the Board of Directors receive compensation for their duties as directors. It is noted that Mr. Antoine Frérot (Chairman of the Board of Directors) and Mrs. Estelle Brachlianoff (Chief Executive Officer) waived the receipt of compensation for their duties as a director of the Company and as corporate officers of companies controlled by the Group. The same applies to Mr. Arnaud Caudoux for his duties as a director. The total gross amount of compensation (before withholding tax) paid by the Company to directors and the non-voting member (*censeur*) was €1,126,125 in 2025.

Note 7 GOODWILL, INTANGIBLE ASSETS AND PROPERTY, PLANT AND EQUIPMENT**7.1 Goodwill****7.1.1 Movements in goodwill**

Goodwill breaks down as follows:

(€ million)	As of December 31, 2024	As of December 31, 2025
Gross	12,783	12,468
Accumulated impairment losses	-1,000	-1,012
NET	11,783	11,456

7.1.1.1 Main goodwill balances by Cash-Generating Unit

A Cash-Generating Unit (CGU) is the smallest identifiable group of assets that generates cash inflows that are largely independent of the cash inflows from other assets or groups of assets.

For the purpose of impairment tests, goodwill is allocated, from the acquisition date, to each of the cash-generating units or each of the groups of cash-generating units that are expected to benefit from the business combination, referred to hereafter as "goodwill CGUs".

Given the Group's activities, the goodwill CGUs are below operating segments in the organizational structure and generally represent a group of countries.

The Group has 11 goodwill CGUs as of December 31, 2025.

(€ million)	As of December 31, 2024	As of December 31, 2025
North America	2,767	2,519
Central & Eastern Europe	2,159	2,334
France & Hazardous Waste Europe	1,973	1,969
Water Technologies	1,943	1,742
Northern Europe	1,268	1,227
Pacific	565	540
Goodwill balances > €500 million as of December 31, 2025	10,676	10,331
Other goodwill balances < €500 million	1,107	1,125
TOTAL GOODWILL	11,783	11,456

Goodwill of less than €500 million at the end of December 2025 mainly concerns the following geographical areas: Iberia for €382 million, Latin America for €328 million and Asia for €287 million.

As of December 31, 2025, accumulated impairment losses total -€1,012 million and mainly concern goodwill of the Central and Eastern Europe cash-generating unit (-€827 million).

7.1.1.2 Movements in the net carrying amount of goodwill

Movements in the net carrying amount of goodwill during 2025 are as follows:

(€ million)	As of December 31, 2024	Changes in consolidation scope	Foreign exchange translation	Impairment losses	Transfers to Assets classified as held for sale	Other movements	As of December 31, 2025
France & Hazardous Waste Europe	1,973	-5	-	-	-	-	1,969
Europe	3,790	145	17	-	-	-	3,951
Americas, Asia Pacific, Africa Middle-East	4,075	102	-382	-4	-	-	3,791
Water Technologies	1,943	3	-203	-	-	-	1,742
Other	3	-	-	-	-	-	3
TOTAL GOODWILL	11,783	244	-568	-4	-	-	11,456

The main movements in Group goodwill during 2025 were primarily due to:

- **changes in consolidation scope**, mainly including the entry of Danubius in Hungary, acquired in January 2025, with final goodwill amounting to €73 million, as well as the acquisitions of activities specializing in hazardous waste treatment in the United States for preliminary goodwill of €70 million;
- **foreign exchange translation losses**, mainly due to the fall in the value of the US dollar for -€517 million.

7.1.2 Impairment tests

Veolia performs systematic annual impairment tests in respect of goodwill and other intangible assets with an indefinite useful life. More frequent tests are performed where there is indication that the cash-generating unit may have suffered a loss in value.

Changes in the general economic and financial context, worsening of local economic environments, or changes in the Group's economic performance or stock market capitalization represent, in particular, external indicators of impairment that are analyzed by the Group to determine whether it is appropriate to perform more frequent impairment tests.

Impairment testing was performed on all cash-generating units as of December 31, 2025.

Goodwill impairment is recognized in operating income and is definitive.

Key assumptions underlying the determination of recoverable amounts

The need to recognize an impairment is assessed by comparing the net carrying amount of the assets and liabilities of the CGU or group of CGUs with their recoverable amount.

The recoverable amount of a cash-generating unit is the higher of its fair value less costs to sell and its value in use.

Fair value less costs to sell is determined based on available information enabling the best estimate of the amount obtainable from the sale of the cash-generating unit in an arm's length transaction between knowledgeable, willing parties, less the costs of disposal.

The value in use determined by the Group is generally equal to the present value of the future cash flows expected to be derived from the CGU or group of CGUs, taking account of their residual value and based on the following:

- cash flow projections are taken from the Long-Term Plan prepared each year and reflect changes in volumes, prices, direct costs and investment in the period, determined based on contracts and activities and in line with past data and expected changes over the period covered by the Long-Term Plan;

- this plan covers the year in progress and the next six years. This period is representative of the average duration of the Group's long-term contract portfolio and its short-term activities;
- terminal values are calculated based on discounted forecast flows for the last year of the long-term plan (2031). These flows are determined for each CGU or group of CGUs based on a perpetual growth rate mainly founded on long-term inflation;
- these terminal values are calculated based on discount rates and perpetual growth rates reflecting the country or the geographic area of the cash-generating unit;
- a discount rate (weighted average cost of capital) is determined for each asset, cash-generating unit or group of cash-generating units: it is equal to the risk-free rate plus a risk premium weighted for country-specific risks (see Note 2). A risk premium is included in the calculation of the weighted average cost of capital of entities located in countries outside the euro zone and the following euro zone countries: Spain, Italy, Slovakia and Greece. The discount rates estimated by management for each cash-generating unit therefore reflect current market assessments of the time value of money and the country specific risks to which the CGU or group of CGUs is exposed, with the other risks reflected in the expected future cash flows from the assets. These rates were updated by an independent expert in the second half of 2025, and take into account the increase in inflation rates and in financing conditions;
- investments included in forecast future cash flows are those investments that enable the level of economic benefits expected to arise from the assets to be maintained in their current condition. It should be noted that these investment forecasts used as a basis for computing projections of future cash flow include Veolia commitments to phase-out coal in Europe reflected through an assets decarbonization plan. Restructuring plans to which the Group is not committed are not included in forecast cash flows used to determine values in use.

Changes in the economic and financial context, as well as changes in the competitive or regulatory environment may impact estimates of recoverable amounts, as may unforeseen changes in the political, economic or legal systems of certain countries.

The assumptions underlying the impairment tests on Group cash-generating units with material goodwill balances are as follows:

Cash Generating Unit	Recoverable amount determination method	Discount rate	Perpetual growth rate
France & Hazardous Waste Europe	Value in use	5.7%	2.0%
Central & Eastern Europe	Value in use	7.1%	2.5%
Northern Europe	Value in use	6.5%	2.0%
Pacific	Value in use	6.8%	2.7%
North America	Value in use	6.8%	2.0%
Water Technologies	Value in use	6.7%	2.0%

7.1.2.1 Impairment test results

Impairment tests were performed on all cash-generating units. No impairment losses were recognized in 2025.

7.1.2.2 Sensitivity of recoverable amounts

Recoverable amounts determined for impairment testing purposes were tested for their sensitivity to a 1% increase in discount rates, a 1% decrease in perpetual growth rates and a 5% decrease in operating cash flows.

The changes in operating cash flows taken into account for the purpose of these sensitivity tests include EBITDA, less investments net of divestitures, plus changes in working capital. They also include the impact of Efficiency and Convergence plans launched by each cash-generating unit at the date of preparation of the Long-Term Plan.

These assumptions are considered reasonable given the Group's activities and the geographic areas of its operations.

Some goodwill CGUs generate cash flows in more than one country. For these CGUs, discount rates, perpetual growth rates and tax rates taken into account at CGU level were calculated by weighting the flows of each constituent country.

The cash-generating units are not sensitive to changes in macroeconomic and operating assumptions as of December 31, 2024 or December 31, 2025.

7.2 Intangible assets

Intangible assets are identifiable non-monetary assets without physical substance. They mainly consist of certain assets recognized in respect of concession arrangements (IFRIC 12).

Intangible assets purchased separately are initially measured at cost in accordance with IAS 38. Intangible assets acquired through business combinations are recognized at fair value separately from goodwill. Subsequently, intangible assets are measured at cost less accumulated amortization and impairment losses. They are tested for impairment where there is indication of loss in value (non-performance of a significant long-term contract under the terms laid down in the contract, technical operating issues, etc.).

7.2.1 Concession intangible assets

Concession intangible assets include entry fees paid to local authorities for public service contracts. They correspond to the right of the concession holder to bill users of a public service in return for construction services provided by it to the concession grantor under public service contracts in accordance with IFRIC 12, Service Concession arrangements.

This concession holder right is equal to the fair value of the construction of the concession infrastructure plus borrowings costs recognized during the construction period. It is amortized over the contract term in accordance with an appropriate method reflecting the rate of consumption of the concession asset's economic benefits as from the date the infrastructure is brought into service.

Investment grants received in respect of concession arrangements are generally definitively earned and, therefore, are not repayable. In accordance with the option offered by IAS 20, these grants are presented as a deduction from intangible assets and reduce the amortization charge in respect of the concession intangible asset over the residual term of the concession arrangement.

Movements in the net carrying amount of concession intangible assets during 2025 are as follows:

(€ million)	As of December 31, 2024	Additions	Disposals	Impairment losses	Amortization/ Reversals	Change in consolidation scope	Foreign exchange translation	Other movements	As of December 31, 2025
Concession intangible assets, gross	11,167	762	-287	-	-	-98	-108	135	11,572
Amortization and impairment losses	-5,912	-	228	16	-701	63	41	-6	-6,271
CONCESSION INTANGIBLE ASSETS, NET	5,255	762	-58	16	-701	-35	-67	129	5,301

Additions concern Europe (€378 million), France and Hazardous Waste Europe (€305 million), and the Americas, Asia Pacific, Africa Middle-East segment (€80 million).

Charges to amortization and impairment losses mainly concern Europe (-€439 million), the Americas, Asia Pacific, Africa Middle-East segment (-€123 million), and France and Hazardous Waste Europe (-€122 million).

Changes in consolidation scope of -€35 million are mainly attributable to the change in consolidation method of a Spanish subsidiary.

Other movements are linked to contractual developments in Ecuador and Germany.

Concession intangible assets break down by operating segment as follows:

(€ million)	Net carrying amount as of December 31, 2024	As of December 31, 2025		
		Gross carrying amount	Amortization and impairment losses	Net carrying amount
France & Hazardous Waste Europe	728	1,620	-743	877
Europe	3,738	7,917	-4,256	3,660
Americas, Asia Pacific, Africa Middle-East	786	2,016	-1,256	760
Water Technologies	4	18	-15	3
Other	-	-	-	-
CONCESSION INTANGIBLE ASSETS	5,255	11,572	-6,271	5,301

7.2.2 Other intangible assets

Other intangible assets mainly consist of the value of contracts acquired through business combinations ("contractual rights"), patents, licenses, software and operating rights.

Other intangible assets are amortized on a straight-line basis over their useful life, unless another systematic amortization basis better reflects the rate of consumption of the asset.

Useful lives are as follows:

	Range of useful lives in number of years*
Purchased contractual rights	6 to 30
Purchased software	3 to 10
Other intangible assets	1 to 30

* The range of useful lives is due to the diversity of intangible assets concerned.

Other intangible assets break down as follows:

(€ million)	As of December 31, 2024	As of December 31, 2025
INTANGIBLE ASSETS WITH AN INDEFINITE USEFUL LIFE, NET	66	62
Intangible assets with a definite useful life, gross	6,077	6,058
Amortization and impairment losses	-3,313	-3,475
INTANGIBLE ASSETS WITH A DEFINITE USEFUL LIFE, NET	2,764	2,583
OTHER INTANGIBLE ASSETS, NET	2,830	2,645

Movements in the net carrying amount of other intangible assets during 2025 are as follows:

(€ million)	As of December 31, 2024	Additions	Disposals	Impairment losses	Amortization	Changes in consolidation scope	Foreign exchange translation	Other movements	December 31, 2025
INTANGIBLE ASSETS WITH AN INDEFINITE USEFUL LIFE, NET	66	-	-	-	-	-1	-4	1	62
Purchased contractual rights	340	1	-	-	-39	-4	-18	9	289
Purchased software	280	75	-	1	-96	2	-4	41	298
Purchased customer portfolios	946	1	-	-	-103	71	-86	16	844
Patents, licenses	723	-	-	-	-63	173	-61	82	853
Other purchased intangible assets	385	19	-11	4	-44	8	-23	-140	199
Other internally-developed intangible assets	90	41	-1	-	-23	14	-1	-18	101
INTANGIBLE ASSETS WITH A DEFINITE USEFUL LIFE, NET	2,764	137	-12	4	-370	263	-193	-10	2,583
OTHER INTANGIBLE ASSETS	2,830	138	-12	4	-370	262	-196	-10	2,645

Purchased customer portfolios total €844 million, including mainly €525 million in Water Technologies, €160 million in the Americas, Asia Pacific, Africa Middle-East segment, and €155 million in Europe.

Patents and licenses, including technologies, total €853 million, including €371 million in the Americas, Asia Pacific, Africa Middle-East segment, €277 million in Water Technologies, and €181 million for France and Hazardous Waste Europe.

Other purchased intangible assets total €199 million and mainly concern the Americas, Asia Pacific, Africa Middle-East segment for €118 million, Europe for €47 million and Water Technologies for €30 million.

Other internally developed non-current assets total €101 million and mainly concern France and Hazardous Waste Europe for €31 million and Europe for €37 million.

Changes in consolidation scope amounting to €262 million mainly concern acquisitions in the United States for €143 million and of Zeeklite in Japan for €74 million.

The foreign exchange translation amounts to -€196 million and mainly concerns the depreciation of the US dollar.

7.3 Property, plant and equipment

Property, plant and equipment are recorded at historical acquisition cost, less accumulated depreciation and any accumulated impairment losses.

Borrowing costs attributable to the acquisition or construction of identified installations, incurred during the construction period, are included in the cost of those assets in accordance with IAS 23, Borrowing Costs.

Property, plant and equipment are recorded by component, with each component depreciated over its useful life.

Useful lives are as follows:

	Range of useful lives in number of years *
Buildings	20 to 50
Technical installations	7 to 35
Vehicles	3 to 25
Other plant and equipment	3 to 12

* The range of useful lives is due to the diversity of property, plant and equipment concerned, excluding regulated activities.

Property, plant and equipment are primarily depreciated on a straight-line basis, unless another systematic depreciation basis better reflects the rate of consumption of the asset.

In the regulated activities of Chile and the United States, the depreciation periods of buildings can specifically be extended up to 100 years and those of technical installations up to 70 years.

Non-current assets are subject to impairment tests where there is indication of impairment loss.

In accordance with the option offered by IAS 20, Accounting for Government Grants and Disclosure of Government Assistance, investment grants are deducted from the gross carrying amount of property, plant and equipment to which they relate. When the construction of an asset covers more than one period, the portion of the grant not yet used is recorded in "Other liabilities" in the Consolidated Statement of Financial Position.

7.3.1 Movements in the net carrying amount of property, plant and equipment

Movements in the net carrying amount of property, plant and equipment during 2025 are as follows:

(€ million)	As of December 31, 2024	Additions	Disposals	Impairment losses	Depreciation	Changes in consolidation scope	Foreign exchange translation	Other movements	As of December 31, 2025
Property, plant and equipment, gross	33,425	2,437	-729	-	-	537	-1,076	107	34,701
Depreciation and impairment losses	-15,492	-	624	-63	-1,467	-78	278	-98	-16,297
PROPERTY, PLANT AND EQUIPMENT, NET	17,933	2,437	-106	-63	-1,467	459	-798	9	18,404

Additions for 2025 total €2,437 million and break down by segment as follows:

- France and Hazardous Waste Europe (€329 million): additions concern Hazardous Waste Europe for €129 million, mainly for a new treatment facility in Germany, and non-hazardous waste treatment and recovery for €91 million;
- Europe (€932 million): additions concern Poland and the Czech Republic for €245 million and €158 million, respectively, with the majority of investments aimed at the conversion of coal-based power generation assets to less carbon-intensive energies, maintenance and connection of heating networks; the United Kingdom for €171 million, mainly related to investments in waste treatment and recovery; and Germany for €119 million, related to acquisitions for the decarbonization and maintenance of networks;
- The Americas, Asia Pacific, Africa Middle-East (€1,038 million): additions concern the United States for €591 million, mainly involving water supply and treatment installations, particularly of PFAS (forever chemicals), for €395 million, and work and equipment for a hazardous waste treatment facility for €150 million. They also concern Chile for €171 million with the renewal of drinking water and wastewater networks, and Australia for €132 million for energy infrastructure and rolling stock.

Disposals of -€106 million mainly concern:

- France and Hazardous Waste Europe for -€23 million;
- Europe for -€28 million;
- The Americas, Asia Pacific, Africa Middle-East segment for -€45 million.

Impairment losses of -€63 million concern Europe for -€26 million and the Americas, Asia Pacific, Africa Middle-East segment for -€37 million..

Depreciation of -€1,467 million mainly concerns France and Hazardous Waste Europe (-€270 million), Europe (-€567 million) and the Americas, Asia Pacific, Africa Middle-East segment (-€513 million).

Changes in consolidation scope amount to €459 million and mainly concern the acquisition of Danubius in Hungary for €282 million.

Foreign exchange translation gains and losses amount to -€798 million and are primarily due to the depreciation of the US dollar for -€646 million and of the Chinese yuan renminbi for -€62 million.

Property, plant and equipment break down by operating segment as follows:

(€ million)	Net carrying amount of December 31, 2024	As of December 31, 2025		
		Gross carrying amount	Depreciation and impairment losses	Net carrying amount
France & Hazardous Waste Europe	1,820	6,739	-4,850	1,889
Europe	5,793	13,804	-7,303	6,502
Americas, Asia Pacific, Africa Middle-East	9,372	12,601	-3,454	9,146
Water Technologies	926	1,438	-591	847
Other	23	119	-98	21
PROPERTY, PLANT AND EQUIPMENT	17,933	34,701	-16,297	18,404

The breakdown of property, plant and equipment by class of assets is as follows:

(€ million)	Net carrying amount as of December 31, 2024	As of December 31, 2025		
		Gross carrying amount	Depreciation and impairment losses	Net carrying amount
Land	1,410	2,619	-1,202	1,417
Buildings	3,132	5,899	-2,643	3,257
Technical installations, plant and equipment	9,317	18,469	-8,760	9,709
Rolling stock and other vehicles	903	2,759	-1,829	930
Other property, plant and equipment	497	2,269	-1,725	545
Property, plant and equipment in progress	2,673	2,686	-139	2,547
PROPERTY, PLANT AND EQUIPMENT	17,933	34,701	-16,297	18,404

7.4 Right of use

In application of the Lease standard (IFRS 16), the Group analyses the contractual provisions of an agreement at the time of signature, to determine whether it presents the characteristics of a lease. In substance, it is necessary to determine whether the agreement conveys the right to control the use of an identified asset for a period of time in exchange for consideration.

Where these characteristics exist, the Group recognizes, at the time the asset is made available:

- a new asset, the "Right of use", which represents the right to use the leased asset during the term of the lease;
- a liability, the "IFRS 16 lease debt", which represents the lease payment commitment.

(€ million)	As of December 31, 2024	As of December 31, 2025
Short term leases	52	47
Low value lease contracts	5	5
Variable leases	9	5
TOTAL	66	58

Initial and subsequent measurement of Right of use assets

The right of use asset recognized includes:

- the amount of the related lease debt;
- plus, where applicable:
 - lease payments made before the asset is made available,
 - initial direct costs incurred to obtain the lease, and
 - any dismantling or rehabilitation costs for which Veolia is liable;
- less any incentives received.

The lease debt is equal to the present value of:

- future lease payments (fixed payments and in-substance fixed payments, as well as variable lease payments that depend on an index or a rate);
- incentives receivable;
- amounts that Veolia expects to pay under residual value guarantees;

The Group applies a single recognition method for all leases, excluding short-term leases (duration of 12 months or less) and leases of assets with a low value. The Group adopted a threshold of US \$5,000 for low value assets.

Lease payments on contracts excluded from the scope of IFRS 16, as well as variable payments, continue to be recognized as operating expenses.

- the exercise price of a purchase option if Veolia is reasonably certain to exercise it; as well as
- any penalties for terminating the lease.

The right of use asset is depreciated or amortized on a straight-line over the shorter of the expected useful life of the asset and the lease term.

Impairment tests are performed in accordance with the method described in Note 7.1.2.

Lease term

The lease term is determined based on the provisions of the contract and reflects:

- the non-cancellable period, that is the period of time during which the Group does not have the opportunity to cancel the contract;
- plus any optional cancellation periods, if the Group is reasonably assured not to exercise the cancellation option ;
- plus any optional extension periods, if the Group is reasonably assured to exercise the extension option.

Discount rate

When calculating the present value of future lease payments, the Group has elected not to use the rate implicit in the lease as the discount rate, and has developed a calculation method to determine the incremental borrowing rate that would apply to the financing of these leased assets. This methodology is based on a rate schedule calculated by currency and maturity based on the following parameters: reference rate of the relevant currency and the Veolia credit spread, the Group satisfying, through access to the bond market, the majority of the financing requirements of its subsidiaries.

Lease amendments

The net carrying amount of the right of use asset is adjusted in the event of amendments to the lease provisions that require the remeasurement of the lease debt (modification of an index, increase or reduction in the lease term, increase or decrease in future lease payments, etc.) or in the event of changes in assumptions as to whether the exercise of renewal or termination options is reasonably certain.

Right of use assets break down as follows:

(€ million)	Net carrying amount as of December 31, 2024	As of December 31, 2025		
		Gross carrying amount	Depreciation and impairment losses	Net carrying amount
Rights of use Intangible assets	7.6	11	-5	6
Right of use, Land	365	598	-284	313
Right of use, Buildings	821	2,050	-1,187	863
Right of use assets, Technical installations, plant and equipment	122	249	-133	116
Right of use assets, Rolling stock and other vehicles	416	833	-409	424
Right of use - Other PP&E	88	197	-114	83
RIGHT OF USE	1,819	3,938	-2,132	1,806

Right of use breaks down by operating segment as follows:

(€ million)	Net carrying amount as of December 31, 2024	As of December 31, 2025		
		Gross carrying amount	Depreciation and impairment losses	Net carrying amount
France & Hazardous Waste Europe	492	1,069	-581	488
Europe	615	1,274	-632	642
Americas, Asia Pacific, Africa Middle-East	471	924	-476	448
Water Technologies	161	395	-236	159
Other	79	276	-207	69
RIGHT OF USE	1,819	3,938	-2,132	1,806

Movements in the net carrying amount of the right of use during 2025 are as follows:

(€ million)	As of December 31, 2024	Additions	Contract termination or expiry	Impairment losses	Depreciation	Changes in consolidation scope	Foreign exchange translation	Other movements	As of December 31, 2025
Right of use	4,003	577	-591	-	-	40	-100	10	3,938
Depreciation and impairment losses	-2,184	-	543	-2	-539	-4	50	3	-2,132
RIGHT OF USE, NET	1,819	577	-48	-2	-539	36	-50	13	1,806

Additions amount to €577 million and mainly concern France and Hazardous Waste Europe (€199 million), Europe (€157 million), and the Americas, Asia Pacific, Africa Middle-East segment (€133 million).

Depreciation and impairment losses total -€541 million in 2025 and mainly break down as follows:

- land: -€46 million;
- buildings: -€230 million;
- technical installations, plant and equipment: -€41 million;
- rolling stock: -€178 million.

They mainly concern Europe (-€173 million), France and Hazardous Waste Europe (-€152 million), the Americas, Asia Pacific, Africa Middle-East segment (-€131 million) and Water Technologies (-€55 million).

Sub-lease revenue associated with right-of-use assets is not material.

Note 8 FINANCING AND FINANCIAL INSTRUMENTS**8.1 Financial assets and liabilities**

Financial assets and liabilities mainly consist of:

- "financial liabilities", presented in Note 8.1.1;
- "non-current and current financial assets", presented in Note 8.1.2;
- cash and cash equivalents and bank overdrafts and other cash position items, presented in Note 8.1.3;
- derivative instruments, presented in Note 8.3.

8.1.1 Financial liabilities

Borrowings and other financial liabilities are recognized initially at fair value less transaction costs and subsequently measured at amortized cost using the effective interest rate (EIR) method.

The effective interest rate is the rate that exactly discounts estimated future cash payments or receipts over the estimated term of the financial instrument or, where applicable, over a shorter period, to the net carrying amount of the financial asset or liability.

		Non-current		Current		Total	
		As of December 31, 2024	As of December 31, 2025	As of December 31, 2024	As of December 31, 2025	As of December 31, 2024	As of December 31, 2025
(€ million)	Notes						
Bond issues	8.1.1.1	16,366	16,541	1,417	1,451	17,783	17,992
Other financial liabilities	8.1.1.2	1,915	2,437	7,402	6,890	9,317	9,328
IFRS 16 lease debt	8.1.1.3	1,523	1,514	462	469	1,985	1,983
TOTAL NON-CURRENT AND CURRENT FINANCIAL LIABILITIES		19,804	20,492	9,281	8,810	29,085	29,303

The heading "Net increase/decrease in current borrowings" in the Consolidated Cash Flow Statement mainly includes redemptions of current bonds in the amount of -€1,439 million in 2025 and increases and repayments of other current borrowings of -€725 million.

The heading "New non-current borrowings and other debts" in the Consolidated Cash Flow Statement mainly includes non-current bond issues in the amount of €1,879 million in 2025 and new other non-current borrowings of €863 million.

8.1.1.1 Changes in non-current and current bond issues

Bond issues break down as follows:

(€ million)	As of December 31, 2024	Subscriptions	Redemptions	Changes in consolidation scope	Fair value adjustments (1)	Foreign exchange translation	Non-current/ current reclassification	Other movements	As of December 31, 2025
Non-current bond issues	16,366	1,879	-43	-	63	-258	-1,465	-1	16,541
Current bond issues	1,417	-	-1,439	-	15	-7	1,465	-	1,451
TOTAL BOND ISSUES	17,783	1,879	-1,482	-	78	-265	-	-1	17,992

(1) value adjustments are recorded in financial income and expenses. This value adjustment corresponds, on the one hand, to the fair value hedge adjustment for €40 million on the VESA bond line and, on the other hand, to the revaluation of bond issues in Chile, which are indexed to inflation for €37 million.

Issues mainly correspond to :

- two tranches of a bond issue by Veolia on June 17, 2025, of €850 million at a rate of 3.324% maturing in June 2032 and €650 million at a rate of 3.795% maturing in June 2037, respectively.
- a bond issue by Aguas Andinas in Chile on January 30, 2025, of 4 million Chilean Units of Account (CLF) (equivalent to €148 million) at a rate of 3.19%, maturing in 2046.
- the private placement bond issue by Veolia Utility Resources LLC in the United States of US\$200 million (equivalent to €177 million) at a rate of 5.72%, maturing in 2055.

- the redemption at maturity, on April 3, 2025, of a bond issue for €500 million,

- the redemption at maturity, on September 10, 2025, of a bond issue for €500 million.

Non-current/current reclassifications total €1,465 million and mainly concern two euro bond lines maturing on June 9, 2026, and November 30, 2026, for a nominal of €750 million and €650 million respectively.

Foreign exchange translation gains and losses of -€265 million mainly correspond to the translation at the year-end exchange rate of bond issues in US dollars for -€190 million.

Redemptions correspond to :

- the redemption at maturity, on January 1, 2025, of bonds with an option to be converted into and/or exchanged for new or existing shares for a remaining nominal outstanding of approximately €336 million;

(€ million)	Non-current		Current		Total	
	As of December 31, 2024	As of December 31, 2025	As of December 31, 2024	As of December 31, 2025	As of December 31, 2024	As of December 31, 2025
Bond issues	16,366	16,541	1,417	1,451	17,783	17,992
• maturing in < 1 year	-	-	1,417	1,451	1,417	1,451
• maturing in >1 year-3 years	3,965	4,536	-	-	3,965	4,536
• maturing in 4-5 years	3,463	3,128	-	-	3,463	3,128
• maturing in > 5 years	8,939	8,877	-	-	8,939	8,877

Non-current bond issues break down by maturity as follows:

(€ million)	As of December 31, 2024	As of December 31, 2025	Maturing in		
			>1 year-3 years	4 to 5 years	> 5 years
Publicly offered or traded issuances	16,338	16,523	4,536	3,128	8,859
European market (i)	13,531	13,638	4,490	2,937	6,211
American market (ii)	1,734	1,669	38	77	1,554
South-American Market (iii)	1,073	1,216	8	114	1,094
Bonds convertible into and/or exchangeable for new and/or existing shares (OCEANE)	-	-	-	-	-
Other amounts < €50 million in 2024 and 2025	29	18	-	-	18
NON-CURRENT BOND ISSUES	16,366	16,541	4,536	3,128	8,877

(i) European market: as of December 31, 2025, an amount of €16,334 million is recorded in the Consolidated Statement of Financial Position in respect of bonds issued under the European Medium Term Notes (EMTN) Program, including €13,638 million maturing in more than one year;

(ii) American market: as of December 31, 2025, remaining nominal outstanding on the bond issues performed in the United States total US\$2,001 million, including US\$1,961 million maturing in more than one year.

(iii) South-American market: as of December 31, 2025, remaining nominal outstanding on the bond issues performed in Chile total CLP1,312,586 million, including CLP1,289,467 maturing in more than one year.

Breakdown of non-current bond issues by main components:

Transaction (all amounts are in € million)	Final maturity	Currency	Nominal	Interest rate	Net carrying amount
Series 12	11/25/2033	EUR	700	6.125%	697
Series 24	10/29/2037	GBP	129	6.125%	132
Series 29 (PEO)	03/30/2027	EUR	750	4.625%	726
Series 31 (PEO)	01/10/2028	EUR	500	1.590%	461
Series 34	01/04/2029	EUR	500	0.927%	500
Series 38	01/07/2030	EUR	750	1.940%	749
Series 40	01/15/2031	EUR	500	0.664%	499
Series 41	04/15/2028	EUR	700	1.250%	699
Series 42	01/15/2032	EUR	500	0.800%	436
Series 43	01/14/2027	EUR	700	0.000%	700
Series 23	04/02/2027	EUR	850	1.250%	857
Series 3	06/08/2027	EUR	250	1.904%	251
Series 17	05/19/2028	EUR	800	1.250%	797
Series 19	04/03/2029	EUR	700	1.500%	711
Series 13	05/21/2029	EUR	75	2.000%	78
Series 15	07/01/2030	EUR	50	2.250%	52
Series 21	09/17/2030	EUR	500	1.625%	519
Series 9	12/02/2030	GBP	287	5.375%	329
Series 22	10/14/2031	EUR	700	0.500%	654
Series 20	09/21/2032	EUR	540	1.625%	520
Series 10	03/25/2033	EUR	100	3.300%	114
Series 24 VIGIE SA	05/14/2035	EUR	750	1.250%	673
Series 46	01/10/2031	EUR	500	2.974%	499
Series 48	06/17/2032	EUR	850	3.324%	847
Series 49	06/17/2037	EUR	650	3.795%	641
Series 45	09/09/2034	EUR	500	3.571%	498
Total bond issues (EMTN)		EUR	13,831		13,639
USD Series Tranche 3	06/01/2038	USD	161	6.750%	172
VUR Senior Notes 2015 Series C	08/31/2035	USD	106	4.090%	106
VUR Senior Notes 2019 Series A	11/06/2034	USD	128	2.940%	128
VUR Private Placement 2021 B	11/10/2061	USD	102	3.140%	102
VUR Private Placement 2022 B	11/10/2052	USD	115	5.860%	115
VUR Private Placement 2023 B	12/01/2053	USD	145	6.230%	145
VUR Private Placement 2024 B	01/15/2055	USD	170	5.720%	170
Other bond issues in US\$ <€100 million		USD	754		748
Total publicly offered or traded issuances in US\$		USD	1,681		1,686
Bond issues in CLP < €100 million		CLP	1,216		1,216
Total bond issues in Chilean peso		CLP	1,216		1,216
TOTAL NON-CURRENT BOND ISSUES			16,728		16,541

8.1.1.2 Change in other financial liabilities

(€ million)	Non-current		Current		Total	
	As of December 31, 2024	As of December 31, 2025	As of December 31, 2024	As of December 31, 2025	As of December 31, 2024	As of December 31, 2025
Other financial liabilities	1,915	2,437	7,402	6,890	9,317	9,328
• maturing in < 1 year	-	-	7,402	6,890	7,402	6,890
• maturing >1 year-3 year	565	1,064	-	-	565	1,064
• maturing in 4-5 years	432	462	-	-	432	462
• maturing in > 5 years	918	911	-	-	918	911

Movements in **other financial liabilities** in 2025 are as follows:

(€ million)	As of December 31, 2024	Net movement	Changes in consolidation scope	Fair value adjustments	Foreign exchange translation	Non-current / current reclassification	Transfers to Liabilities classified as held for sale	Other movements	As of December 31, 2025
Other non-current financial liabilities	1,915	744	21	1	-65	-182	-	3	2,437
Other current financial liabilities	7,402	-704	-4	-9	23	182	-	1	6,890
OTHER FINANCIAL LIABILITIES	9,317	40	17	-8	-43	-	-	5	9,328

Other non-current financial liabilities mainly comprise debt carried by:

- the Americas, Asia Pacific, Africa Middle-East segment in the amount of €1,070 million, including €699 million in China as of December 31, 2025, compared with €534 million as of December 31, 2024;
- Europe in the amount of €1,288 million, including:
 - in Germany in the amount of €420 million as of December 31, 2025, compared with €448 million as of December 31, 2024,
 - in Spain in the amount of €273 million as of December 31, 2025, compared with €228 million as of December 31, 2024,
 - in Hungary in the amount of €509 million as of December 31, 2025, compared with €195 million as of December 31, 2024.

Other current financial liabilities total €6,890 million as of December 31, 2025, compared with €7,402 million as of December 31, 2024. They mainly concern Veolia Environnement for €5,983 million (including €4,933 million in commercial paper, €863 million in deeply subordinated securities, for which notice of redemption had been given as of December 31, 2025, for payment on February 9, 2026, and €186 million in accrued interest on debt) and the Regulated Water activity in the United States for €218 million in credit line drawdowns payable.

Net movements in other current borrowings in 2025 mainly reflect the repayment of a portion of the commercial paper by Veolia Environnement for €1,108 million.

8.1.1.3 IFRS 16 lease debt

Lease debt recognition and measurement principles are disclosed in note 7.4.

(€ million)	As of December 31, 2024	Net movement	Changes in consolidation scope	Fair value adjustments	Foreign exchange translation	Non-current / current reclassification	Transfers to Liabilities classified as held for sale	Other movements	As of December 31, 2025
Non-current IFRS 16 lease debt	1,523	516	32	-	-43	-523	-	9	1,514
Current IFRS 16 lease debt	462	-506	3	-	-12	523	-	-1	469
IFRS 16 LEASE DEBT	1,985	10	35	-	-55	-	-	8	1,983

IFRS 16 lease debt by operating segment breaks down as follows:

(€ million)	As of December 31, 2024		As of December 31, 2025	
	IFRS 16 lease debt	Non-current IFRS 16 lease debt	Current IFRS 16 lease debt	IFRS 16 lease debt
France & Hazardous Waste Europe	515	387	127	514
Europe	663	532	154	686
Americas, Asia Pacific, Africa Middle-East	531	392	113	505
Water Technologies	168	117	49	166
Other	109	87	26	113
IFRS 16 LEASE DEBT	1,985	1,514	469	1,983

IFRS 16 lease debt by type of assets breaks down as follows:

(€ million)	As of December 31, 2024	As of December 31, 2025
Real estate	66.4%	66.5%
Technical installations, plant and equipment	11.9%	10.3%
Rolling stock and other vehicles	21.7%	23.2%

IFRS 16 lease debt by maturity breaks down as follows:

(€ million)	Non-current		Current		Total	
	As of December 31, 2024	As of December 31, 2025	As of December 31, 2024	As of December 31, 2025	As of December 31, 2024	As of December 31, 2025
IFRS 16 lease debt	1,523	1,514	462	469	1,985	1,983
• 1 year	-	-	462	469	462	469
• 2 years	350	361	-	-	350	361
• 3 years	260	300	-	-	260	300
• 4 years	226	184	-	-	226	184
• 5 years	127	136	-	-	127	136
• > 5 years	560	532	-	-	560	532

(€ million)	As of December 31, 2024	As of December 31, 2025
Repayments of IFRS 16 lease debt	614	556
Interest on IFRS 16 lease debts	66	67
Exemption and variable lease payments	15	14
LEASE PAYMENTS OF THE PERIOD	695	637

8.1.1.4 Breakdown of non-current and current financial liabilities by currency

Financial liabilities break down by original currency (before currency swaps) as follows:

- Euro-denominated debt of €23,041 million as of December 31, 2025 and €22,737 million as of December 31, 2024;
- Pound sterling-denominated debt of €609 million as of December 31, 2025 and €699 million as of December 31, 2024;
- US dollar-denominated debt of €2,455 million as of December 31, 2025 and €2,723 million as of December 31, 2024;
- Chinese yuan renminbi-denominated debt of €731 million as of December 31, 2025, and €645 million as of December 31, 2024;
- Chilean peso-denominated debt of €1,197 million (including inflation-indexed bond issues of €1,100 million) as of December 31, 2025 and €1,158 million as of December 31, 2024.

8.1.2 Non-current and current financial assets

Financial assets include assets classified as loans and receivables, liquid assets, financing assets, other financial assets, derivative assets and cash and cash equivalents.

Financial assets are initially recognized at fair value plus transaction costs, where the assets concerned are not subsequently measured at fair value through profit or loss. Where the assets are measured at fair value through profit or loss, transaction costs are expensed directly to net income.

The Group classifies financial assets in one of the categories identified by IFRS 9 on the acquisition date, based on the instrument's characteristics and the business model.

Assets at amortized cost

Financial assets are valued at amortized cost where they are recovered by collecting contractual cash flows (payments of principal and interest on the principal amount outstanding).

These assets comprise loans to non-consolidated investments, operating financial assets, other loans and receivables and trade receivables. After initial recognition at fair value, they are recognized and measured at amortized cost using the effective interest method.

In accordance with IFRS 9, these assets are impaired in the amount of expected credit losses. Impairment losses are recorded in other financial income and expenses.

Assets at fair value through other comprehensive income subsequently released to net income

This category includes financial assets recovered by collecting contractual cash flows (payments of principal and interest on the principal amount outstanding) or selling the assets.

Changes in the fair value of these assets are recognized directly in other comprehensive income, with the exception of interest income and dividends recognized in other financial income and expenses. Fair value gains and losses are released to net income on the sale of the assets.

Assets at fair value through other comprehensive income not subsequently released to net income

This category includes equity instruments not held for trading. It relates primarily to non-consolidated investments.

Changes in the fair value of these assets are recognized directly in other comprehensive income, with the exception of interest income and dividends recognized in other financial income and expenses. Fair value gains and losses are not released to net income on the sale of the assets.

Fair value is equal to market value in the case of quoted securities and to an estimate of the fair value in the case of unquoted securities, determined based on financial criteria most appropriate to the specific situation of each security. Financial investments which are not quoted in an active market and for which the fair value cannot be measured reliably, are recorded by the Group at historical cost less any accumulated impairment losses.

Assets at fair value through profit or loss

Instruments that do not meet the amortized cost or fair value assessment criteria through other comprehensive income are, by default, assessed at fair value through profit or loss. This is the case, for example, of the cash UCITS portfolio, whose performance and management are based on fair value.

Fair value gains and losses are recognized in other financial income and expenses.

Net gains and losses on derivatives entered into for trading purposes consist of swapped flows and the change in the value of the instrument.

8.1.2.1 Other non-current and current financial assets

Other non-current and current financial assets break down as follows:

(€ million)	Non-current		Current		Total	
	As of December 31, 2024	As of December 31, 2025	As of December 31, 2024	As of December 31, 2025	As of December 31, 2024	As of December 31, 2025
Gross	380	366	337	404	716	770
Impairment losses	-67	-72	-41	-33	-108	-105
FINANCIAL ASSETS RELATING TO LOANS AND RECEIVABLES, NET	312	294	296	371	608	665
OTHER FINANCIAL ASSETS	212	218	67	46	279	264
LIQUID ASSETS AND FINANCING FINANCIAL ASSETS ⁽¹⁾	10	8	2,008	1,944	2,018	1,952
TOTAL OTHER FINANCIAL ASSETS, NET	534	520	2,371	2,360	2,905	2,881

(1) Liquid assets are financial assets composed of funds or securities with an initial maturity of more than three months, easily convertible into cash, and managed with respect to a liquidity objective while maintaining a low capital risk.

8.1.2.2 Changes in other non-current financial assets

Changes in the value of other non-current financial assets during 2025 are as follows:

(€ million)	As of December 31, 2024	Changes in business	Changes in consolidation scope	Fair value adjustments	Impairment losses*	Foreign exchange translation	Non-current / current reclassification	Transfers to Assets classified as held for sale	Other movements	As of December 31, 2025
Gross	380	1	-	-	-5	-15	-1	-	6	366
Impairment losses	-67	-	-	-	-6	2	-	-	-	-72
NON-CURRENT FINANCIAL ASSETS RELATING TO LOANS AND RECEIVABLES, NET	312	1	-	-	-11	-13	-1	-	6	294
OTHER NON-CURRENT FINANCIAL ASSETS	212	22	-3	-	-	-17	-	-	4	218
LIQUID ASSETS AND FINANCING FINANCIAL ASSETS	10	-	-	-	-	-1	-	-	-	8
TOTAL OTHER NON-CURRENT FINANCIAL ASSETS, NET	534	23	-2	-	-12	-31	-1	-	10	520

* Impairment losses are recorded in financial income and expenses.

Non-current financial assets relating to loans and receivables

As of December 31, 2025, the main non-current financial assets relating to loans and receivables primarily consist of loans granted to equity-accounted joint ventures totaling €68 million gross, compared with €64 million as of December 31, 2024 (see also Note 5.2.4.1).

Other non-current financial assets

Other non-current financial assets are classified as "Assets at fair value through profit or loss" in accordance with the principles set out in Note 8.1.2.

Other financial assets held by the Group in countries considered high-risk by the IMF are not material in amount.

8.1.2.3 Movements in current financial assets

Movements in other current financial assets during 2025 are as follows:

(€ million)	As of December 31 2024	Changes in business	Changes in consolidation scope	Fair value adjust ments	Impairment losses *	Foreign exchange translation	Non-current / current reclassification	Transfers to Assets classified as held for sale	Other movements	As of December 31 2025
Gross	337	5	-1	-	69	-8	1	-	1	404
Impairment losses	-41	-	1	-	4	2	-	-	-	-33
CURRENT FINANCIAL ASSETS RELATING TO LOANS AND RECEIVABLES, NET	296	5	-	-	73	-6	1	-	1	371
OTHER CURRENT FINANCIAL ASSETS	67	-27	11	-	-	-5	-	-	-	46
LIQUID ASSETS AND FINANCING FINANCIAL ASSETS	2,008	-64	-	-	-	-	-	-	-	1,944
TOTAL OTHER CURRENT FINANCIAL ASSETS, NET	2,371	-86	11	-	73	-11	1	-	1	2,360

* Impairment losses are recorded in financial income and expenses.

As of December 31, 2025, liquid assets and financing financial assets primarily consist of investments with an initial maturity of more than three months, easily convertible into cash, and managed with respect to a liquidity objective while maintaining a low capital risk (see Section 8.3.3.2 "Counterparty risk relating to investment and hedging activities").

The accounting treatment of other current financial assets relating to loans and receivables complies with the required treatment of assets at amortized cost. Other financial assets are classified as "Assets at fair value through profit or loss" in accordance with the principles set out in Note 8.1.2.

8.1.3 Cash and cash equivalents, bank overdrafts and other cash position items

Cash and cash equivalents include all cash balances, certain term deposit accounts, negotiable debt instruments and monetary UCITS.

Cash equivalents are held to meet short-term cash commitments. In order to be considered a cash equivalent, an investment must be readily convertible to a known amount of cash and subject to a negligible risk of change in value, thereby satisfying the requirements of IAS 7.

Term deposit accounts and negotiable debt instruments present characteristics satisfying the requirements of IAS 7 when their yield is based on short-term money-market rates (such as €STR) and their maturity is less than 3 months (contractually or due to an early exit option exercisable at least every 3 months and held at a low or nil cost, without loss of capital or remuneration received net of the early exit penalty of less than the yield on short-term investments).

UCITS classified in "cash equivalents" comply with Regulation (EU) 2017/1131 of the European Parliament and of the Council of June 14, 2017 on money market funds and satisfy the cash equivalent criteria defined by IAS 7.

These UCITS can be sold daily on demand, conferring on them the characteristics of short-term, highly liquid investments that are readily convertible to known amounts of cash. These instruments are not intended to be held more than three months and offer a yield similar to the €STR interbank rate, thereby limiting sensitivity to interest rates. The regularity of performance trends does not expose them to a material risk of change in value.

Bank overdrafts repayable on demand which form an integral part of the Group's cash management policy represent a component of cash and cash equivalents for the purposes of the Consolidated Cash Flow Statement.

Cash and cash equivalents are valued at fair value through profit or loss. Note 8.2.1 sets out the method of determining fair value. Cash and cash equivalents belong to fair value levels 1 and 2:

- instruments with a quoted price in an active market in level 1;
- other instruments that are not quoted but the fair value of which is determined using valuation techniques involving standard mathematical calculation methods integrating observable market data, in level 2.

8.1.3.1 Movements in cash and cash equivalents

Movements in cash and cash equivalents and bank overdrafts and other cash position items during 2025 are as follows:

(€ million)	As of December 31, 2024	Changes in business	Changes in consolidation scope	Fair value adjustments ⁽¹⁾	Foreign exchange translation	Transfers to Assets/ Liabilities classified as held for sale	Other movements	As of December 30, 2025
Cash	2,120	-115	187	-	-84	-	1	2,109
Cash equivalents	7,481	-1,562	-	-	-8	-	-	5,912
CASH AND CASH EQUIVALENTS	9,601	-1,677	187	-	-92	-	1	8,021
BANK OVERDRAFTS AND OTHER CASH POSITION ITEMS	197	20	-6	-	-3	-	7	215
Net cash	9,404	-1,697	193	-	-89	-	-5	7,806

(1) Fair value adjustments are recorded in financial income and expenses.

Cash and cash equivalents total €8,021 million, including €581 million "subject to restrictions" as of December 31, 2025.

Restricted cash breaks down as follows: €224 million subject to contractual legal restrictions (particularly for the Group's reinsurance activities), €91 million backing the servicing of local borrowings and €266 million in respect of subsidiaries located in countries with currency restrictions.

Cash and cash equivalents decreased by €1,580 million in 2025, mainly due to the repayment of commercial paper for €1,108 million, and financial investments made during the year.

As of December 31, 2025, the Europe segment held cash of €648 million, the Americas, Asia Pacific, Africa Middle-East segment held cash of €682 million, the Water Technologies segment held cash of €388 million, France and Hazardous Waste Europe segment held cash of €64 million and the Other segment held cash of €327 million (mainly Veolia Environnement).

Surplus cash balances of other Group subsidiaries, not pooled at Veolia Environnement level, are invested in accordance with procedures defined by the Group. Note 8.3.2, "Management of liquidity risk", presents a breakdown of investments by nature.

As of December 31, 2025, cash equivalents were primarily held by Veolia Environnement in the amount of €5,332 million, including monetary UCITS of €2,573 million and term deposit accounts of €2,759 million.

Bank overdrafts and other cash position items consist of credit balances on bank accounts and related accrued interest payable, corresponding to brief overdrafts.

8.1.3.2 Management of equity risk

As part of its cash management strategy, Veolia Environnement holds UCITS. These UCITS have the characteristics of monetary UCITS and are not subject to equity risk.

8.2 Fair value of financial assets and liabilities

8.2.1 Fair value of financial assets and liabilities

The recognition and measurement of financial assets and liabilities is governed by IFRS 9. Fair value measurement incorporates, in particular, the risk of non-performance by the Group or its counterparties, determined based on default probabilities taken from rating agency tables.

The fair value of all financial assets and liabilities is determined at the reporting date, either for recognition in the accounts or disclosure in the Notes to the financial statements.

Fair value is determined:

- i. based on quoted prices in an active market (level 1); or
- ii. using internal valuation techniques involving standard mathematical calculation methods integrating observable market data (forward rates, interest rate curves, etc.). Valuations produced by these models are adjusted to take account of a reasonable change in the credit risk of the Group or the counterparty (level 2); or
- iii. using internal valuation techniques integrating factors estimated by the Group in the absence of observable market data (level 3).

Quoted prices in an active market (level 1)

When quoted prices in an active market are available, they are used in priority to determine the market value. Marketable securities and certain quoted bond issues are valued in this way.

8.2.2 Financial assets

The following table presents the net carrying amount and fair value of Group financial assets as of December 31, 2025, grouped together in accordance with IFRS 9 categories.

As of December 31, 2025									
(€ million)	Note	Net carrying amount	Financial assets at fair value			Fair value	Method for determining fair value		
		Total	Assets at fair value through other comprehensive income	Assets at amortized cost	Assets at fair value through profit or loss	Total	Level 1	Level 2	Level 3
Non-consolidated investments		84	84		-	84	-	84	-
Non-current and current operating financial assets	Note 5.4	1,147	-	1,147	-	1,159	-	1,159	-
Other non-current financial assets	Note 8.1.2	520	-	520	-	520	-	520	-
Trade receivables and contracts assets	Note 5.3	10,449	-	10,449	-	10,449	-	10,449	-
Other current operating receivables	Note 5.3	996	-	996	-	996	-	996	-
Other current financial assets	Note 8.1.2	2,360	-	2,360	-	2,360	-	2,360	-
Non-current and current derivative instruments	Note 8.3	189			189	189	-	189	-
Cash and cash equivalents	Note 8.1.3	8,021			8,021	8,021	4,682	3,339	-
TOTAL		23,767	84	15,473	8,210	23,778	4,682	19,096	-

Level 2 cash and cash equivalents mainly consist of term deposits and accounts.

Fair values determined using models integrating observable market data (level 2)

The majority of derivative instruments (swaps, caps, floors, etc.) are traded over the counter and, as such, there are no quoted prices. Valuations are therefore determined using models commonly used by market participants to value such financial instruments.

Valuations calculated internally for derivative instruments are tested every six months for consistency with valuations issued by our counterparties.

The fair value of unquoted borrowings is calculated by discounting contractual flows at the market rate of interest.

The net carrying amount of receivables and payables falling due within less than one year and certain floating-rate receivables and payables is considered a reasonable estimate of their fair value, due to the short payment and settlement periods applied by the Group.

The fair value of fixed-rate loans and receivables depends on movements in interest rates and the credit risk of the counterparty.

Valuations produced by these models are adjusted to take account of changes in Group credit risk.

Fair values determined using models integrating certain non-observable data (level 3)

Derivative instruments valued using internal models integrating certain non-observable data include certain electricity derivative instruments for which there are no quoted prices in an active market (notably for electricity purchase options with extremely long maturity) or observable market data (forward prices for component materials, interest-rate curves, etc.), in particular for distant maturities.

8.2.3 Financial liabilities

The following table presents the net carrying amount and fair value of Group financial liabilities as of December 31, 2025, grouped together in accordance with IFRS 9 categories.

		As of December 31, 2025							
(€ million)	Note	Net carrying amount	Financial liabilities at fair value			Fair value	Method for determining fair value		
		Total	Liabilities at amortized cost	Liabilities at fair value through profit or loss	Liabilities at fair value through profit or loss and held for trading	Total	Level 1	Level 2	Level 3
Borrowings and other financial liabilities									
Non-current bond issues	Note 8.1.1	16,541	16,541	-	-	14,284	13,470	814	-
Current bond issues	Note 8.1.1	1,451	1,451	-	-	1,451	1,451	-	-
Non-current financial liabilities	Note 8.1.1	2,437	2,437	-	-	1,923	-	1,923	-
Current financial liabilities	Note 8.1.1	6,890	6,890	-	-	6,890	-	6,890	-
Non-current IFRS 16 lease debt	Note 8.1.1	1,514	1,514	-	-	1,514	-	1,514	-
Current IFRS 16 lease debt	Note 8.1.1	469	469	-	-	469	-	469	-
Bank overdrafts and other cash position items	Note 8.1.3	215	-	215	-	215	-	215	-
Trade payables	Note 5.3	7,692	7,692	-	-	7,692	-	7,692	-
Non-current and current concession liabilities	Note 5.5	1,650	1,650	-	-	1,650	-	1,650	-
Non-current and current derivative instruments	Note 8.3	545	-	545	-	545	-	545	-
Other operating payables	Note 5.3	8,580	8,580	-	-	8,580	-	8,580	-
TOTAL		47,986	47,225	761	-	45,214	14,920	30,294	

8.2.4 Offsetting of financial assets and financial liabilities

The Group's derivative instruments are systematically processed under ISDA or EFET contracts.

Under these contracts, the derivative instruments may only be offset in the event of default by one of the parties. They are not therefore offset in the accounts.

Such derivatives are recognized in assets in the amount of €189 million and in liabilities in the amount of €545 million in the Consolidated Statement of Financial Position as of December 31, 2025.

8.3 Market risks and financial instruments

As a result of its operational and financial activities, the Group is exposed to various financial risks, for which it has implemented management rules:

- market risks: interest rate risk, foreign exchange risk and commodity risk;
- liquidity risk;
- credit risk.

Equity risk is presented in Notes 8.1.3.2 and 9.2.2.2.

Derivative instruments

To manage its exposure to market risks, Veolia uses derivatives, the majority of which are classified as hedging instruments.

Derivative instruments are recognized at fair value in the Consolidated Statement of Financial Position. Other than the exceptions detailed below, changes in the fair value of derivative instruments are recorded through profit or loss. The fair value of derivatives is estimated using standard valuation models which take into account active market data.

Net gains and losses on instruments at fair value through profit or loss consist of swapped flows and changes in the value of the instrument.

Hedge accounting is applicable if:

- the hedging relationship is precisely defined and documented at the inception date;
- the effectiveness of the hedge is demonstrated at inception and by regular verification of the offsetting nature of movements in the market value of the hedging instrument and the hedged item. The ineffective portion of the hedge is systematically recognized in the Consolidated Income Statement.

Hedge accounting relationships currently used by the Group meet the requirements of IFRS 9 and are aligned with the Group's risk management strategy and objectives.

The effectiveness of derivatives in these hedging relationships is assessed using the hypothetical derivative method: the designated derivative in each hedging relationship must enable changes in cash flows of the hedged item to be offset.

The main sources of ineffectiveness are:

- the impact of Group and counterparty credit risk on the fair value of hedging instruments, not reflected by fluctuations in the fair value of the hedged item (foreign exchange, interest rate and commodities). Pursuant to IFRS 13, the impact of credit risk on derivatives is regularly assessed. In the absence of materiality, an adjustment has never been recognized;
- changes to the timing and amount of expected cash flows from hedged transactions, in the case of transaction foreign exchange risk.

The recognition of period-on-period fair value gains and losses depends on the type of hedge accounting applied.

A **fair value hedge** is a hedge of exposure to changes in the fair value of all or a portion of a recognized asset or liability impacting net income for the period. Fair value gains and losses on hedging instruments are recognized in net income for the period. Changes in the value of the hedged item attributable to the hedged risk are also recorded in the Consolidated Income Statement for the period, to match these gains and losses (and adjust the value of the hedged item). These two remeasurements offset each other in the income statement headings, with the exception of any "ineffective portion" of the hedge.

A **cash flow hedge** is a hedge of exposure to variability in cash flows of an asset or liability or a highly probable forecast transaction impacting net income for the period. In the case of cash flow hedges, the portion of the gain or loss on the fair value remeasurement of the hedging instrument that is determined to be an effective hedge is recognized directly in other comprehensive income, while the gain or loss on the fair value remeasurement of the underlying item is not recognized in the Consolidated Statement of Financial Position. The ineffective portion of the gain or loss on the hedging instrument is recognized in profit or loss. Gains or losses recognized in other comprehensive income are reclassified to profit or loss in the same period or periods in which the asset acquired or liability issued affects profit or loss.

A **hedge of a net investment in a foreign operation** hedges the exposure to foreign exchange risk of the net assets of a foreign operation including loans considered part of the investment (IAS 21, The Effects of Changes in Foreign Exchange Rates). For this type of hedge, the effective portion of the gain or loss on the hedging instrument is recognized in translation reserves in other comprehensive income, while the ineffective portion is recognized in the Consolidated Income Statement. Gains and losses recognized in foreign exchange translation reserves are reclassified to profit or loss when the foreign investment is sold.

Certain transactions performed in accordance with the Group interest rate and foreign exchange risk management policy, but that do not satisfy hedge accounting criteria, are recorded as trading/non-qualifying instruments.

In the case of **currency hedges**, the Group only designates the "spot" component of derivative instruments as hedging its foreign exchange risk. As the "hedging cost" option is not applied, the premium/discount on hedging contracts is excluded from the hedging relationship and recognized separately in net financial expense.

In the case of **commodities**, purchase/sales contracts are generally recognized outside the scope of IFRS 9 ("own use" exemption), except for certain specific transactions in electricity, gas or metals. For these specific transactions, cash flow hedge accounting is systematically preferred.

The "own use" classification is applicable when the following conditions are satisfied:

- the volumes purchased or sold under the contracts reflect the operating requirements of the subsidiary;
- the contracts are not subject to net settlement as defined by IFRS 9 and, in particular, physical delivery is systematic;
- the contracts are not equivalent to sales of options, as defined by IFRS 9.

Commodity hedging instruments falling within the application scope of IFRS 9 are derivative instruments and are measured at fair value, calculated using models mostly based on observable data. Fair value gains and losses and the net impact of unwinding these transactions are recognized in operating income.

8.3.1 Management of market risk

The Group uses derivative financial instruments to manage and reduce its risk exposure: within the Veolia Environnement Financing and Treasury Department, the dealing room is directly responsible for implementing and monitoring these hedges, while the Middle and Back Office teams verify transactions and monitor limits, ensuring the security of the transactions processed.

The fair value of derivatives in the Consolidated Statement of financial Position breaks down as follows:

(€ million)	Notes	As of December 31, 2024		As of December 31, 2025	
		Assets	Liabilities	Assets	Liabilities
Interest rate derivatives	8.3.1.1	30	321	28	276
Fair value hedges		2	309	1	271
Cash flow hedges		28	12	27	5
Derivatives not qualifying for hedge accounting		-	-	-	-
Foreign currency derivatives	8.3.1.2	166	308	148	206
Net investment hedges		22	98	27	55
Fair value hedges		79	186	92	106
Cash flow hedges		8	16	7	30
Derivatives not qualifying for hedge accounting		57	8	22	15
Commodity derivatives	8.3.1.3	37	18	13	63
Fair value hedges		-	-	-	-
Cash flow hedges		34	16	10	61
Derivatives not qualifying for hedge accounting		3	2	3	2
TOTAL DERIVATIVES		233	647	189	545
o/w non-current derivatives		67	365	45	319
o/w current derivatives		166	282	144	226

The fair value of derivatives recognized in the Consolidated Statement of Financial Position and the determination method (as described in Note 8.2.1) breaks down as follows:

(€ million)	As of December 31, 2025		Level 2 (in %)		Level 3 (in %)	
	Assets	Liabilities	Assets	Liabilities	Assets	Liabilities
Interest rate derivatives	28	276	100%	100%	0%	0%
Foreign currency derivatives	148	206	100%	100%	0%	0%
Commodity derivatives	13	63	100%	100%	0%	0%
TOTAL DERIVATIVES	189	545	100%	100%	0%	0%

There are no level 3 derivative instruments as of December 31, 2025.

(€ million)	As of December 31, 2024		Level 2 (in %)		Level 3 (in %)	
	Assets	Liabilities	Assets	Liabilities	Assets	Liabilities
Interest rate derivatives	30	321	100%	100%	0%	0%
Foreign currency derivatives	166	308	100%	100%	0%	0%
Commodity derivatives	37	18	100%	100%	0%	0%
TOTAL DERIVATIVES	233	647	100%	100%	0%	0%

8.3.1.1 Management of interest rate risk

The structure of the Group exposes it naturally to the risk of interest rate fluctuations. As such, the cash and cash equivalents position covers floating-rate debt which impacts future financial results according to fluctuations in interest rates.

Short-term debt is primarily indexed to short-term indexes (€STER for the commercial paper program and Euribor/Libor for the main other short-term credit lines). Medium and long-term debt comprises both fixed and floating-rate debt.

Veolia manages a fixed/floating rate position in each currency in order to limit the impact of interest rate fluctuations on its net income and to optimize the cost of debt. For this purpose, it uses interest rate swap and swaption instruments. The Group determines the existence of an economic relationship between the hedging instrument and the hedged item taking account of reference interest rates, the frequency of coupons, the currency and the nominal amount.

These swaps may be classified as fair value hedges or cash flow hedges.

The following table shows the interest-rate exposure of gross debt (defined as the sum of non-current financial liabilities, current financial liabilities and bank overdrafts and other cash position items) before and after hedging.

(€ million)	As of December 31, 2024		As of December 31, 2025	
	Outstandings	% total debt	Outstandings	% total debt
Fixed rate	20,891	70.6%	21,183	71.1%
Floating rate	8,700	29.4%	8,611	28.9%
Gross debt before hedging	29,591	100.0%	29,794	100.0%
Fixed rate	17,083	58.3%	16,553	56.1%
Floating rate	12,200	41.7%	12,965	43.9%
Gross debt after hedging and fair value remeasurement of fixed-rate debt	29,283	100.0%	29,518	100.0%
Fair value adjustments to (assets)/liabilities hedging derivatives	367		276	
GROSS DEBT AT AMORTIZED COST	29,650		29,794	

Total gross debt as of December 31, 2025, after hedging, is 56.1% fixed-rate and 43.9% floating-rate.

As of December 31, 2025, the Group has cash and cash equivalents of €8,021 million, the majority of which bears interest at floating rates.

The Group manages its exposure to interest rate fluctuations based on floating-rate gross financial debt net of cash.

The Group's net floating-rate position after hedging (liability position) is -€2,992 million, maturing €3,021 million in less than one year, -€2,482 million in 1 to 5 years and -€3,531 million after 5 years.

Fixed-rate receiver / floating-rate payer swaps (€ million)	Notional contract amount by maturity				Fair value of derivatives	
	Total	< 1 year	1 to 5 years	> 5 years	Total assets	Total liabilities
As of December 31, 2025	5,100	1,250	1,450	2,400	1	271
As of December 31, 2024	4,500	200	2,900	1,400	2	309

As of December 31, 2025, accumulated fair value hedging adjustments to bond issues included in their net carrying amount totaled +€4 million.

Interest rate fair value hedges

The risk of volatility in the value of debt is hedged by fixed-rate receiver/floating-rate payer swaps which change bond issues to floating-rate debt (see Note 8.1.1.1) recorded in non-current and current financial liabilities.

Fair value hedge swaps represent a notional outstanding amount of €5,100 million as of December 31, 2025, compared with €4,500 million as of December 31, 2024, with a net fair value in the Consolidated Statement of Financial Position of -€270 million as of December 31, 2025, compared with -€307 million as of December 31, 2024, as follows:

The +€38 million increase in fair value is due to the improvement in euro forward rates as of December 31, 2025, compared to the end of 2024. It is offset by the fair value remeasurement of the debt relating to the hedged risk in the amount of -€38 million. A review of the inefficiency of these hedging instruments did not give rise to any material impacts.

Interest rate cash flow hedges

The Group has entered into interest rate swaps to fix the cost of existing floating-rate debt or the cost of future debt issues.

Cash flow hedging swaps represent a notional outstanding amount of €261 million as of December 31, 2025, compared with €1,315 million as of December 31, 2024, with a net fair value of +€22 million as of December 31, 2025, compared with +€16 million as of December 31, 2024.

Floating-rate receiver / fixed-rate payer swaps / purchases of caps (€ million)	Notional contract amount by maturity				Fair value of derivatives	
	Total	< 1 year	1 to 5 years	> 5 years	Total assets	Total liabilities
As of December 31, 2025	261	250	0	11	27	5
As of December 31, 2024	1,315	-	1,000	315	28	12

An amount of -€1 million, net of tax, was recorded directly in equity attributable to owners of the Company in respect of cash flow hedge interest-rate derivatives as of December 31, 2025. -€3 million was released from equity to the income statement as of December 31, 2025.

The decrease in notional outstanding amounts is mainly due to the maturing of €750 million in swaps and the exercise of €300 million in pre-hedging swaps.

The efficiency of these hedging instruments was measured but did not give rise to any material impacts.

Contractual flows on interest rate swaps are paid at the same time as contractual flows on floating-rate borrowings and the amount recorded in other comprehensive income is released to net income in the period in which interest flows on the debt impact the Consolidated Income Statement.

Interest-rate derivatives not qualifying for hedge accounting

As of December 31, 2025, there are no interest-rate derivatives not qualifying for hedge accounting.

As a reminder, the breakdown as of December 31, 2024 was as follows:

(€ million)	Notional contract amount as of December 31, 2024				Fair value of derivatives	
	Total	< 1 year	1 to 5 years	> 5 years	Total assets	Total liabilities
Total firm financial instruments	215	215	-	-	-	-
TOTAL INTEREST-RATE DERIVATIVES NOT QUALIFYING FOR HEDGE ACCOUNTING	215	215	-	-	-	-

8.3.1.2 Management of foreign exchange risk

The Group's international activities generate significant foreign currency flows.

The Group's central treasury department manages foreign exchange risk centrally within limits set by the Chief Financial Officer.

Foreign exchange risk, as defined by IFRS 7, mainly results from:

- foreign currency-denominated purchases and sales of goods and services relating to operating activities and the related hedges (e.g. currency forwards). The Group has no significant exposure to foreign exchange transaction risk. Indeed, the activities of the Group are performed by subsidiaries operating in their own country and their own currency. Exposure to foreign exchange risk is therefore naturally limited;
- foreign currency-denominated financial assets and liabilities including foreign currency-denominated loans/borrowings and related hedges (e.g. forex swaps). With many operations worldwide, Veolia organizes financing in local currencies. In the case of inter-company financing,

these credit lines can generate foreign exchange risk. In order to limit the impact of this risk, Veolia has developed a policy which seeks to back foreign-currency financing and foreign currency derivatives with inter-company receivables denominated in the same currency. The asset exposure hedging strategy primarily involves hedging certain net foreign investments and ensuring that Group companies do not have a material balance sheet foreign exchange position that could generate significant volatility in foreign exchange gains and losses;

- investments in foreign subsidiaries reflected by the translation of accounts impacting the translation reserves. The Group determines the economic relationship between the hedging instrument and the hedged item by comparing changes in the value of the hedging instrument attributable to a change in the spot foreign exchange rate with the impact of changes in this same rate on the hedged instrument. It is Group policy to align the key characteristics of hedging instruments (currency, nominal amount, maturity, etc.) with the hedged item.

Foreign exchange risk with regard to the cost of net financial debt

With many operations worldwide, Veolia organizes financing in local currencies.

The foreign currency debt borne by the parent company, Veolia Environnement S.A., is generally hedged using either derivative instruments or assets in the same currency.

The cost of the Group's net financial debt, i.e. a euro-equivalent of -€654 million as of December 31, 2025, is primarily denominated in EUR (57%), USD (16%), GBP (2%), CZK (1%), CNY (3%), PLN (5%), HUF (5%) and CLP (6%).

A 10% appreciation in the main currencies to which the Group is exposed (GBP, USD, PLN, CLP, HUF, CZK and CNY) against the euro would generate a €27 million increase in the net finance cost, while a 10% depreciation in these currencies would generate a €22 million decrease in the net finance cost.

Translation risk

Due to its international presence, the translation of the income statements of the Group's foreign subsidiaries is sensitive to exchange rate fluctuations.

The following table summarizes the sensitivity of certain Group Consolidated Income Statement aggregates to a 10% increase or decrease in foreign exchange rates against the euro, with regard to the translation of financial statements of foreign subsidiaries.

(€ million)	Contribution to the consolidated financial statements								Sensitivity to a change of :		
	Euro	Pound sterling	US dollar	Polish zloty	Czech koruna	Australian dollar	Chinese renminbi	Other currencies	Total	10%	-10%
Revenue	18,894	3,070	5,101	3,004	2,161	2,021	907	9,238	44,396	2,824	-2,311
Operating income	831	289	509	280	232	126	96	935	3,299	273	-223

Foreign exchange and translation risk in the Consolidated Statement of Financial Position

Due to its international presence, the Group's Consolidated Statement of Financial Position is exposed to exchange rate fluctuations. A fluctuation in the euro impacts the translation of subsidiary foreign currency denominated assets in the Consolidated Statement of Financial Position.

For its most significant assets, the Group has issued debt in the relevant currencies. The main net assets of the Group are located in the United States, the United Kingdom, China, Poland, Australia, Chile and the Czech Republic. A 10% appreciation in the currencies of the above countries would increase net assets by €1,643 million, while a 10% depreciation in these currencies would reduce net assets by -€1,345 million.

Hedge of a net investment in a foreign operation

Financial instruments designated as net investment hedges break down as follows:

Financial instrument (€ million)	Notional amount as of December 31, 2025 by maturity				Fair value of derivatives	
	Amount	< 1 year	1 to 5 years	> 5 years	Total assets	Total liabilities
Currency payer swaps	10	10	-	-	1	-
Currency receiver swaps	-	-	-	-	-	-
Options	3,338	3,334	4	-	26	38
Cross currency swaps	60	-	60	-	-	17
TOTAL	3,408	3,344	64	-	27	55

The above currency swaps are short-term but are generally renewed at maturity, until financing of an appropriate term is secured in the currency of the related country.

Options are mainly hedging strategies using net buyer long collars.

It is Group policy to hedge the net investment only in the nominal amount of the foreign currency debt financing the securities.

Inter-company loans and receivables forming part of a foreign investment (IAS 21) are nearly systematically hedged by foreign currency external financing or foreign currency derivatives (cross currency swaps, currency forwards, collars) meeting IFRS 9 criteria for hedge accounting. Foreign exchange gains and losses recorded in foreign exchange translation reserves in respect of hedging instruments are systematically offset by

foreign exchange gains and losses recognized in foreign exchange translation reserves on loans forming part of the net investment, unless:

- the inter-company loan forming part of the net investment in a foreign operation is not hedged;
- the hedge is partially ineffective due to a difference between the nominal amount of the hedge and the amount of the hedged net asset;
- only the net assets of the foreign subsidiary (excluding the loan forming part of the net investment) are hedged.

A breakdown of foreign exchange gains and losses recorded in Group foreign exchange translation reserves as of December 31, 2025 is presented in Note 9.2.4.

As a reminder, the breakdown as of December 31, 2024 was as follows:

Financial instrument (€ million)	Notional amount as of December 31, 2024 by maturity				Fair value of derivatives	
	Amount	< 1 year	1 to 5 years	> 5 years	Total assets	Total liabilities
Currency payer swaps	85	85	-	-	-	4
Currency receiver swaps	75	75	-	-	3	-
Options	3,786	3,722	64	-	18	69
Cross currency swaps	60	-	60	-	1	25
TOTAL	4,006	3,882	124	-	22	98

Foreign currency fair value hedges

Financial instruments designated as fair value hedges break down as follows:

Financial instrument (€ million)	Notional amount as of December 31, 2025 by maturity				Fair value of derivatives	
	Amount	< 1 year	1 to 5 years	> 5 years	Total assets	Total liabilities
Forward purchases	1,189	1,122	67	-	7	19
Forward sales	6,209	5,648	561	-	85	87
FOREIGN CURRENCY DERIVATIVES : FAIR VALUE HEDGES	7,398	6,770	628	-	92	106

The fair value hedges presented above mainly consist of foreign currency swaps hedging balance sheet items. They mainly concern hedges of internal financing and, to a lesser extent, hedges of construction contracts or sales of water treatment equipment and solutions. The impact of these hedges is offset by the remeasurement of the underlying items.

Financial instrument (€ million)	Notional amount as of December 31, 2024 by maturity				Fair value of derivatives	
	Amount	< 1 year	1 to 5 years	> 5 years	Total assets	Total liabilities
Forward purchases	1,884	1,826	58	-	32	12
Forward sales	7,711	7,301	410	-	47	174
FOREIGN CURRENCY DERIVATIVES : FAIR VALUE HEDGES	9,595	9,127	467	-	79	186

Foreign currency cash flow hedges

Financial instruments designated as cash flow hedges break down as follows:

Financial instrument (€ million)	Notional amount as of December 31, 2025 by maturity				Fair value of derivatives	
	Amount	< 1 year	1 to 5 years	> 5 years	Total assets	Total liabilities
Forward purchases	214	199	15	-	6	1
Forward sales	882	662	220	-	1	29
FOREIGN CURRENCY DERIVATIVES : CASH FLOW HEDGES	1,096	861	235	-	7	30

The cash flow hedges presented above mainly consist of forward purchases/sales of foreign currencies different from the functional currencies of the entities concerned, in connection with their own activities.

They mainly include currency hedges in respect of commodity purchases and sales in Central Europe.

Financial instrument (€ million)	Notional amount as of December 31, 2024 by maturity				Fair value of derivatives	
	Amount	< 1 year	1 to 5 years	> 5 years	Total assets	Total liabilities
Forward purchases	152	143	8	-	1	2
Forward sales	542	534	8	-	7	14
FOREIGN CURRENCY DERIVATIVES : CASH FLOW HEDGES	693	677	16	-	8	16

Hedges of currency exposure in the Consolidated Statement of Financial Position by derivatives not qualifying for hedge accounting

Financial instrument (€ million)	Notional amount as of December 31, 2025 by maturity				Fair value of derivatives	
	Amount	< 1 year	1 to 5 years	> 5 years	Total assets	Total liabilities
Currency receiver swaps and forward purchases	4,727	4,698	29	-	13	14
Currency payer swaps and forward sales	3,284	2,956	328	-	9	1
FOREIGN CURRENCY DERIVATIVES NOT QUALIFYING FOR HEDGE ACCOUNTING	8,011	7,654	357	-	22	15

The above portfolio of foreign currency derivatives was mainly contracted by Veolia Environnement to hedge its foreign currency-denominated net financial debt (comprising foreign currency-denominated borrowings and foreign currency-denominated inter-company loans and borrowings).

Financial instrument (€ million)	Notional amount as of December 31, 2024 by maturity				Fair value of derivatives	
	Amount	< 1 year	1 to 5 years	> 5 years	Total assets	Total liabilities
Currency receiver swaps and forward purchases	5,071	5,071	-	-	54	6
Currency payer swaps and forward sales	3,104	3,104	-	-	3	2
FOREIGN CURRENCY DERIVATIVES NOT QUALIFYING FOR HEDGE ACCOUNTING	8,175	8,175	-	-	57	8

8.3.1.3 Management of commodity risk

Energy, commodity and consumable purchases represent a major operating expense for the Group's activities, in particular gas and biomass for the supply of energy services, electricity for water treatment and distribution activities, and metals for recycling activities. The Group is therefore exposed to fluctuations in their price.

The long-term contracts entered into by Veolia generally include price review and/or indexation clauses which enable it to pass on the majority of any increases in commodity or fuel prices to the price of services sold to customers, even if this may be performed with a time delay.

Nonetheless, as part of supply management and cost optimization measures or to hedge future production, certain Group subsidiaries may be required, depending on their activities, to contract forward purchases or sales of commodities and set-up derivatives to fix the cost of commodities supply or the selling price of commodities produced (electricity).

These transactions form part of the Group's commodity risk management policy, which seeks to establish a progressive hedge over three years (where possible) in order to limit results volatility.

As of December 31, 2025, the fair value of commodity derivatives is recorded as €13 million in assets and €63 million in liabilities.

(€ million)	As of December 31, 2024		As of December 31, 2025	
	Assets	Liabilities	Assets	Liabilities
Commodity derivatives	37	18	13	63
Electricity	5	17	11	10
Petroleum products	-	-	-	-
CO ₂	1	-	-	-
Coal	-	-	-	6
Gas	31	1	2	47
Other	-	-	-	-

These derivatives break down by hedge type as follows:

(€ million)	As of December 31, 2024		As of December 31, 2025	
	Assets	Liabilities	Assets	Liabilities
Commodity derivatives	37	18	13	63
Fair value hedges	-	-	-	-
Cash flow hedges	34	16	10	61
Derivatives not qualifying for hedge accounting	3	2	3	2

The reversal in the value of the commodity derivatives portfolio is mainly explained by two factors: on the one hand, the decrease in the price of gas, as the hedge agreements from the beginning of the year were signed at purchase prices higher than those at the end of the year; and on the other hand, the increase in metal prices due to geopolitical uncertainty, as this time the sale prices of the hedges were lower than the prices recorded at the end of the year.

Greenhouse gases

Regulatory constraints and management policy

As a combustion plant operator, the Group is exposed to the risks inherent to the Emissions Trading Scheme (EU ETS) introduced by the European Union in 2005.

To accelerate the rate of emission reductions, Phase 4 (2021-2030) provides for a 2.2% annual decrease in the total number of emission allowances (free grant of allowances). In April 2023, the European Council adopted a new trajectory, raising the reduction rate of the emission cap to 4.3% per year from 2024 to 2027 and 4.4% from 2028 to 2030.

Under European regulations, the actual emissions position is determined each year and the corresponding rights surrendered. Veolia is therefore required to purchase or sell emission rights, depending on whether actual emissions are greater or lesser than emission rights allocated under the hedging policy described above. Although Veolia is currently a purchaser of emission allowances and is expected to continue to be a purchaser in the future, implementation of its decarbonization plans is expected to gradually reduce its purchasing obligations under current applicable regulations.

The position in 2025 is as follows:

Volumes (in thousands of metric tons)	As of January 1st, 2025	Changes in consolidation scope	Granted	Purchased/ Sold/ Cancelled	Used	As of December 31, 2025
TOTAL	1,899	-16	2,278	4,104	-7,725	540

In 2025, Veolia's actual emissions (7.7 million metric tons) exceeded the allocated allowances (2.3 million metric tons), requiring the purchase of an additional 4.1 million metric tons of allowances. This volume includes forward purchases made to hedge the 2025 emissions, with delivery scheduled for 2026, in compliance with the deadline of September 30, 2026, for the surrender of the 2025 allowances.

In addition, China also officially launched a country-wide Emissions Trading Scheme in 2021, focusing initially on electricity producers. The impacts are not material at this stage for the Group.

Accounting treatment adopted by the Group

In the absence of specific IFRS provisions, the Group has adopted the "net liability approach," which involves the recognition of a liability at the period end if actual emissions exceed allowances held, in accordance with IAS 37.

Allowances are managed as a production cost and, in this respect, are recognized in inventories at:

- nil value, when they are received free of charge;
- acquisition cost, if purchased for valuable consideration on the market.

Transactions in these allowances performed on the forward market are generally recognized outside the application scope of IFRS 9 ("own use" exemption).

For consistency, the volumes presented as of January 1, 2025, have been adjusted to take into account the forward purchases made to cover the 2024 emissions and delivered during 2025.

The inventory of 540 thousand metric tons is equivalent to approximately €46 million as of December 31, 2025, based on a spot price of €85.12 per metric ton.

8.3.2 Management of liquidity risk

The operational management of liquidity and financing is managed by the Treasury and Financing Department. This management involves the centralization of major financing in order to optimize liquidity and cash.

The Group secures financing on international bond markets, international private placement markets, the treasury note market and the bank lending market (see Note 8.1.1 financial liabilities).

8.3.2.1 Maturity of financial liabilities

As of December 31, 2025, undiscounted contractual flows on net financial debt break down by maturity date as follows:

(€ million)	As of December 31, 2025		Maturity of undiscounted contractual flows					
	Carrying amount	Total undiscounted contractual flows	2026	2027	2028	2029	2030	Beyond 5 years
Bond issues ⁽¹⁾	17,992	22,265	1,924	3,043	2,447	1,781	2,006	11,065
Other liabilities and bank overdrafts	9,543	9,977	7,219	465	728	302	254	1,009
Gross financial liabilities excluding IFRS 16 and the impact of amortized cost and hedging derivatives	27,535	32,242	9,143	3,508	3,175	2,083	2,260	12,074
IFRS 16 lease debt	1,983	2,162	499	384	317	198	147	618
Gross financial liabilities excluding the impact of amortized cost and hedging derivatives	29,518	34,404	9,642	3,891	3,492	2,281	2,407	12,692
Impact of derivatives hedging debt	276							
Gross financial liabilities	29,794	34,404	9,642	3,891	3,492	2,281	2,407	12,692
Cash and cash equivalents	-8,021							
Liquid assets and financing financial assets	-1,952							
Net financial debt	19,821	34,404	9,642	3,891	3,492	2,281	2,407	12,692

(1) Excluding the impact of amortized cost and derivatives hedging debt.

8.3.2.2 Net liquid asset positions

Liquid assets of the Group as of December 31, 2025 break down as follows:

(€ million)	As of December 31, 2024	As of December 31, 2025
Veolia Environnement:		
Undrawn MT syndicated loan facility	4,500	4,500
Undrawn MT bilateral credit lines	724	765
Undrawn ST bilateral credit lines	-	-
Letters of credit facility	-	-
Cash, cash equivalents, liquid assets and financing assets	9,349	7,551
Subsidiaries:		
Bilateral Credit lines	949	673
Cash, cash equivalents, liquid assets and financing assets	2,270	2,422
TOTAL LIQUID ASSETS	17,792	15,911
Current debt and bank overdrafts and other cash position items		
Current debts	9,281	8,810
Bank overdrafts and other cash position items	197	215
TOTAL CURRENT DEBTS AND BANK OVERDRAFTS AND OTHER CASH POSITION ITEMS	9,478	9,026
TOTAL LIQUID ASSETS NET OF CURRENT DEBTS AND BANK OVERDRAFTS AND OTHER CASH POSITION ITEMS, LIQUID ASSETS AND FINANCING ASSETS	8,313	6,886

As of December 31, 2025, Veolia has total liquid assets of €16 billion, including cash and cash equivalents of 10 billion.

As of December 31, 2025, cash equivalents are mainly held by Veolia Environnement in the amount of €5,332 million. They comprise monetary UCITS of €2,573 million and term deposit accounts of €2,759 million.

Confirmation of the credit outlook

On November 25, 2025, Standard and Poor's confirmed Veolia Environnement's credit rating at A-2/BBB with a stable outlook.

On December 2, 2025, Moody's confirmed the Group's rating at P-2/Baa1 with a stable outlook.

Refinancing of the multi-currency liquidity lines

The Group decided to refinance its two syndicated loan facilities (€3 billion historic syndicated facility and €2.5 billion former-Suez syndicated facility) at the beginning of March 2023, securing a new €4.5 billion single syndicated loan facility. On February 17, 2025, this syndicated loan was extended until 2030.

This syndicated loan facility is undrawn as of December 31, 2025.

Renewal of bilateral credit lines

Veolia Environnement has bilateral credit lines of a total undrawn amount of €765 million as of December 31, 2025.

Veolia Environnement may draw on the multi-currency syndicated loan facility and all credit lines at any time.

Undrawn confirmed credit lines mature as follows:

(€ million)	As of December 31, 2025			Maturing in			
	Total	2026	2027	2028	2029	2030	2031
Undrawn syndicated loan facility	4,500	-	-	-	-	4,500	-
Credit lines	1,438	227	321	590	150	150	-
Letters of credit facility	-	-	-	-	-	-	-
TOTAL	5,938	227	321	590	150	4,650	-

8.3.2.3 Information on early debt repayment clauses

Veolia Environnement debt

The legal documentation for bank financing and bond issues contracted by the Company does not contain any financial covenants, i.e. obligations to comply with a debt coverage ratio or a minimum credit rating which, in the event of non-compliance, could lead to the early repayment of the relevant financing.

Subsidiary debt

Certain project financing or financing granted by multilateral development banks to the Group's subsidiaries contain financial covenants of which the principal are the debt coverage ratio, the ratio between net debt and the EBITDA, and the ratio between the debt and shareholders' equity.

Based on due diligence performed within the subsidiaries, the Group considers that the covenants included in the Group's material financing agreements were satisfied (or had been waived by lenders) as of December 31, 2025.

8.3.3 Management of credit risk

The Group is exposed to counterparty risk in various areas: its operating activities, cash investment activities and derivatives.

8.3.3.1 Counterparty risk relating to operating activities

Credit risk must be considered separately with respect to operating financial assets and operating receivables. Credit risk on operating financial assets is appraised via the rating of primarily public customers. Credit risk on other operating receivables is appraised through an analysis of late payment and/or default by customers taking account of their nature (public/private) as detailed below.

Group customer credit risk analysis may be broken down into the following four categories (Public customers – Delegating authority, Private customers – Individuals, Public customers – Other and Private customers – Companies):

(€ million)	Note	At December 31, 2025			Breakdown by customer type			
		Gross carrying amount	Impairment losses	Net carrying amount	Public customers - Delegating authority	Private customers - Individuals	Public customers - Other	Private customers - Companies
Non-current and current operating financial assets	5.4	1,162	-15	1,147	841	-	6	299
Trade receivables and contracts assets	5.3	11,546	-1,097	10,449	2,380	2,291	1,494	4,284
Other current operating receivables	5.3	1,039	-43	996	285	119	166	425
Non-current financial assets in loans and receivables	8.1.2	366	-72	294	43	78	12	161
Current financial assets in loans and receivables	8.1.2	404	-33	371	64	17	9	281
LOANS AND RECEIVABLES		14,517	-1,260	13,257	3,613	2,506	1,688	5,451
Other financial assets	8.1.2	2,242	-26	2,216	128	83	19	1,985
TOTAL AS OF DECEMBER 31, 2025		16,759	-1,286	15,473	3,741	2,590	1,706	7,436
TOTAL AS OF DECEMBER 31, 2024		17,192	-1,326	15,865	3,880	2,380	1,446	8,159

Assets past due and not impaired break down as follows:

(€ million)	Note	Assets past due but not impaired				
		Net carrying amount	Amount not yet due	0-6 months	6 months – 1 year	More than 1 year
Non-current and current operating financial assets	5.4	1,147	1,142	3	2	-
Trade receivables and contracts assets	5.3	10,449	8,153	1,694	326	276
Other current operating receivables	5.3	996	851	40	21	83
Non-current financial assets in loans and receivables	8.1.2	294	294	-	-	-
Current financial assets in loans and receivables	8.1.2	371	362	8	1	-
LOANS AND RECEIVABLES AS OF DECEMBER 31, 2025		13,257	10,802	1,745	350	360
Other non-current and current financial assets	8.1.2	2,216	2,183	1	31	-
TOTAL AS OF DECEMBER 31, 2025		15,473	12,985	1,746	381	360
TOTAL AS OF DECEMBER 31, 2024		15,865	13,573	1,513	438	341

As of December 31, 2025, trade receivables and net contract assets totaling €10,449 million include unbilled revenue for €3,968 million, compared with €10,724 million and €4,090 million as of December 31, 2024.

As of December 31, 2025, trade receivables and contract assets with a maturity in excess of six months have a gross carrying amount of €1,545 million, impaired for -€943 million, representing a total net value of €602 million. They represent 5.8% of total net receivables and contract assets, compared with €629 million (5.9%) as of December 31, 2024.

Trade receivables over six months are mainly concentrated in France and Italy and primarily concern local authorities (municipalities or equivalent).

In Italy, net trade receivables total €373 million, including €116 million over six months past due as of December 31, 2025, against €385 million and €113 million, respectively, as of December 31, 2024.

8.3.3.2 Counterparty risk relating to investment and hedging activities

The Group is exposed to credit risk relating to the investment of its surplus cash and its use of derivative instruments in order to manage interest rate and foreign exchange risk. Credit risk corresponds to the loss that the Group may incur should a counterparty default on its contractual obligations. In the case of derivative financial instruments, this risk corresponds to the fair value of all the instruments contracted with a counterparty insofar as this value is positive.

The Group minimizes counterparty risk through internal control procedures limiting the choice of banking counterparties to leading banks and financial institutions (banks and financial institutions with a minimum Moody's, Standard & Poor's or Fitch's rating of A3/P3/F3 respectively for transactions with a term of less than one year and of A2/A/A respectively for transactions with a term of more than one year, unless justified). Limits are determined for each counterparty based primarily on the rating awarded by the rating agencies, the size of their equity and commitments given to the Group and are reviewed regularly. In addition, the Group has set-up Credit Support Annexes with its main counterparties limiting counterparty risk using margin call mechanisms.

Counterparty risk on financial operations is monitored on an ongoing basis by the middle-office within the Group Finance Department. The Group is not exposed to any risk as a result of material concentration.

Veolia Environnement cash surpluses are managed with a profitability objective close to that of the money market, avoiding exposure to capital risk and maintaining a low level of volatility.

(€ million)	2024	2025
Expenses on gross debt	-703	-679
Assets at fair value through profit or loss (fair value option) ⁽¹⁾	318	215
Net gains and losses on derivative instruments, hedging relationships and other	-205	-190
COST OF NET FINANCIAL DEBT	-590	-654

(1) Cash equivalents are valued at fair value through profit or loss.

The cost of net financial debt (including the impact of remeasurement of financial liabilities of €47 million) totaled -€654 million for the year ended December 31, 2025, compared with -€590 million for the year ended December 31, 2024. This increase in financing costs is mainly due to the increase in the group's net financial debt, in particular due to the acquisition of the minority interests in WTS, the financing of which represented -€28 million in 2025.

8.4 Financial income and expenses

8.4.1 Cost of net financial debt

Costs of financial debt consist of interest payable on borrowings calculated using the amortized cost method and losses on interest rate derivatives, both qualifying and not qualifying as hedges.

Interest costs included in payments under lease finance contracts are recorded using the effective interest method.

Finance income consists of gains on interest rate derivatives, both qualifying and not qualifying as hedges and income from cash investments and equivalents.

Interest income is recognized in profit or loss when earned, using the effective interest method.

Finance costs and finance income represent the cost of financial liabilities net of income from cash and cash equivalents. In addition, the cost of net financial debt includes net gains and losses on derivatives allocated to debt, irrespective of whether they qualify for hedge accounting.

Finance income totals €406 million. Expenses, including expenses on derivative instruments and hedging relationships amounted to -€1,060 million as of December 31, 2025.

The cost of net financial debt presented in the Consolidated Cash Flow Statement reflects the cost of net financial debt of continuing operations presented above and the cost of net financial debt of discontinued operations of nil for the year ended December 31, 2025.

The heading "Interest paid" in the Consolidated Cash Flow Statement reflects the cost of net financial debt of continuing and discontinued operations adjusted for accrued interest of -€26 million and fair value adjustments to hedging derivatives of -€8 million in 2025.

Net gains and losses on derivative instruments, hedging relationships and other mainly include the following amounts in the year ended December 31, 2025:

- a net interest expense on hedging relationships (fair value hedges and cash flow hedges) of -€217 million;
- net gains and losses on derivative instruments not qualifying for hedge accounting of €23 million, mainly on foreign currency derivatives.

In addition, the income relating to the ineffective portion of net investment hedges in the amount of €4 million was not material in 2025.

8.4.2 Other financial income and expenses

Other financial income and expenses primarily include capital gains and losses on disposals of financial assets, net of disposal costs, the unwinding of discounts on provisions, interest on concession liabilities and interest on IFRS 16 lease debt.

(€ million)	2024	2025
Net gains and losses on loans and receivables	2	13
Capital gains and losses on disposals of financial assets, net of disposal costs	65	-2
Dividends received	3	4
Assets and liabilities at fair value through profit and loss	-	-
Unwinding of the discount on provisions	-55	-51
Foreign exchange gains and losses and fair value adjustments	-89	-45
Interest on concession liabilities	-86	-79
Interest on IFRS 16 lease debt	-66	-67
Other	-81	-95
OTHER FINANCIAL INCOME AND EXPENSES	-309	-321

As of December 31, 2025, net gains on loans and receivables primarily correspond to income on loans to unconsolidated entities.

In 2024, capital gains on disposals of financial assets totaled +€65 million and mainly included the capital gains on the disposals of the SADE Group and of Veolia North America Regeneration Services in the United States.

8.5 Financing commitments

8.5.1 Financing commitments given

Debt guarantees: these relate to guarantees given to financial institutions in connection with the financial liabilities of non-consolidated companies and equity-accounted entities, when the commitment covers the entire amount.

Letters of credit: letters of credit delivered by financial institutions to Group companies' creditors, customers, and suppliers guaranteeing operating activities are reported in Note 5.8.

Off-balance sheet commitments given break down as follows:

(€ million)	As of December 31, 2024	As of December 31, 2025	Maturing in		
			Less than 1 year	1 to 5 years	More than 5 years
Letters of credit	12	10	7	2	1
Debt guarantees	49	40	2	33	5
Other financing commitments given	87	103	8	27	68
TOTAL FINANCING COMMITMENTS GIVEN	148	153	17	62	74

Commitments on lease contracts entered into by the Group are analysed in Note 7.4.

8.5.2 Financing commitments received

They total €25 million as of December 31, 2025, compared with €133 million as of December 31, 2024.

Commitments received under confirmed and unused lines of credit are listed and described in Note 8.3.2.2 "Net liquid asset positions".

The breakdown by type of asset is as follows (€ million):

Type of pledge /mortgage (€ million)	Amount pledged (a)	Total Consolidated Statement of Financial Position (b)	Corresponding % (a)/(b)
Intangible assets	13	7,946	0.2%
Property, plant and equipment	362	18,404	2.0%
Financial assets ⁽¹⁾	17		
Total non-current assets	393	44,807	
Current assets	7	25,864	0.0%
TOTAL ASSETS	400	70,671	

(1) As financial assets pledged as collateral are shares of consolidated subsidiaries and other financial assets, the ratio of pledged assets to total assets in the Consolidated Statement of Financial Position is not significant.

The breakdown by maturity is as follows:

(€ million)	As of December 31, 2024	As of December 31, 2025	Maturing in		
			Less than 1 year	1 to 5 years	More than 5 years
Intangible assets	16	13	2	5	7
Property, plant and equipment	428	362	5	38	320
Mortgage pledge	48	40	5	14	21
Other PP&E pledge ⁽¹⁾	380	323	0	24	298
Financial assets	18	17	-	-	17
Current assets	8	7	0	6	1
Pledges on receivables	-	-	0	0	0
TOTAL	469	400	6	49	345

(1) Mainly equipment and rolling stock.

8.5.3 Collateral guaranteeing financial liabilities

As of December 31, 2025, the Group has given €400 million of collateral guarantees in support of borrowings, compared with €469 million as of December 31, 2024. They are mainly due to long-term refinancing secured by the Chinese entities with Minsheng and CMB banks, backed by assets of €401 million.

Note 9 EQUITY AND EARNINGS PER SHARE**9.1 Share capital management procedures**

Veolia Environnement manages its share capital within the framework of a prudent and rigorous financial policy that seeks to ensure easy access to French and international capital markets, to enable investments in projects that create value and provide shareholders with a satisfactory remuneration, while maintaining an "Investment Grade" credit rating.

On May 28, 2019, Veolia Environnement entered into a liquidity contract with Kepler Cheuvreux, effective June 1, 2019, for an initial period expiring on December 31, 2019, tacitly renewable thereafter for periods of one year.

9.2 Equity attributable to owners of the Company**9.2.1 Share capital**

The share capital is fully paid-up.

9.2.1.1 Share capital increase dedicated to employees

In 2025, Veolia Environnement carried out an initial share capital increase on June 16, 2025, of €0.7 million deducted from additional paid-in capital, following the vesting to beneficiaries of rights to free shares not subject to a performance condition and granted, on an exceptional basis, to take into account the success of the acquisition of the Suez group by decision of the Board of Directors on June 15, 2022, increasing the share capital to €3,703,974,040.

On August 4, 2025, Veolia Environnement carried out second share capital increase of approximately €4.6 million deducted from additional paid-in capital, following the vesting to beneficiaries of rights to performance shares granted by decision of the Board of Directors on August 2, 2022, increasing the share capital to €3,708,617,185.

On September 12, 2025, Veolia Environnement carried out a third share capital increase of approximately €293 million, including issue premiums, by issuing 11,289,176 new shares, accompanied by the paying up of the treasury shares for €46 million, as part of the Sequoia 2025 employee share ownership plan, using the delegation of authority granted by the Combined General Meeting of April 24, 2025. At the same time, Veolia Environnement proceeded with a capital reduction through cancellation of 11,289,176 treasury shares acquired under the share repurchase program. The total share capital therefore remains unchanged after these transactions, amounting to €3,708,617,185.

In 2024, Veolia Environnement carried out an initial share capital increase on May 6, 2024 of approximately €3.7 million deducted from additional paid-in capital, following the vesting to beneficiaries of rights to performance shares granted by decision of the Board of Directors on May 4, 2021, increasing the share capital to €3,630,742,570.

On September 13, 2024, Veolia Environnement performed a second share capital increase of approximately €356 million, including issue premiums, as part of the 2024 Sequoia employee share ownership plan, using the delegation of authority granted by the Combined General Meeting of April 25, 2024, increasing the share capital to €3,703,263,040. The expenses relating to this transaction have been deducted from additional paid-in capital for approximately €1 million.

9.2.1.2 Number of shares outstanding and par value

The share capital represented 740,652,608 shares as of December 31, 2024 and 741,723,437 as of December 31, 2025. The par value of each share is €5.

9.2.1.3 Authorized but unissued shares

For the financial management of Veolia Environnement, resolutions authorizing share capital increases approved every two years by Veolia Environnement's General Shareholders' Meeting are intended to authorize the Board of Directors to increase the share capital subject to certain conditions and limits. They allow the nature of financial instruments issued to be adapted in line with financing requirements and the situation of the French and international capital markets.

In addition to the annual resolutions on share capital increases reserved for Group employees and managers, these resolutions, approved by the General Meeting of April 25, 2024, are broadly divided into two categories and subject to the following share capital increase ceilings:

- resolutions authorizing share capital increases with preferential subscription rights (PSR) subject to a maximum par value amount capped at app €1.1 billion (i.e. approximately 30% of the Company's share capital on the date of the General Meeting that approved these resolutions); and
- resolutions authorizing share capital increases without PSR subject to an overall maximum par value amount capped at €363 million (i.e. approximately 10% of the Company's share capital on the date of the General Meeting that approved these resolutions).

The use of these resolutions may not lead to share capital increase transactions with or without PSR exceeding a second overall cap of a par value amount of €1.1 billion (approximately 30% of the Company's share capital on the date of the General Meeting that approved these resolutions).

All these authorizations are suspended during a takeover bid made by a third party and aimed at taking control of the Company.

Fiscal years 2024 and 2025

217,623,500 shares could be issued pursuant to the share capital increase authorizations granted by the General Meeting of April 25, 2024, based on 725,411,667 shares comprising the Company's share capital as of April 25, 2024.

15,240,941 shares were issued in 2024 from among the 217,623,500 above-mentioned authorized shares.

12,928,805 shares were issued in 2025 from among the 217,623,500 above-mentioned authorized shares.

9.2.2 Offset of treasury shares against equity

Treasury shares are deducted from equity.

Gains or losses arising from the sale of treasury shares and related dividends are recognized directly in equity and do not impact the Consolidated Income Statement.

9.2.2.1 Purchases and sales of treasury shares

Purchase and sale transactions in Veolia Environnement shares under the liquidity contract in 2025 and 2024 were as follows:

	2024	2025
Number of shares purchased during the year	11,380,601	15,051,388
Number of shares sold during the year	11,025,775	15,261,652

As of December 31, 2024, and 2025, Veolia Environnement holds 517,796 and 307,532 shares under the liquidity agreement. A €20 million drawdown authorization was granted for the operation of this liquidity agreement.

Treasury shares as of December 31, 2024, and 2025, amount to 10,651,380 and 10,438,730 shares, respectively.

9.2.2.2 Treasury shares

As of December 31, 2025, Veolia Environnement holds 10,438,730 of its own shares, of which 6,370,621 are allocated to external growth transactions and 4,068,109 were acquired for allocation to employees under employee savings plans. These shares have a market value of €310 million, based on a share price of €29.7 and a net carrying amount of €438 million deducted from equity.

9.2.3 Appropriation of net income and dividend

The Combined General Meeting of April 24, 2025 approved payment of a dividend of €1.40 per share for 2024, payable in cash. The 2024 dividend was paid on May 14, 2025 for a total amount of €1,023 million.

In 2024, a dividend of €895 million was distributed by Veolia Environnement and deducted from net income for fiscal year 2023. This dividend was paid as of May 10, 2024.

9.2.4 Foreign exchange gains and losses

As of December 31, 2025, accumulated foreign exchange gains and losses total -€1,402 million (attributable to owners of the Company).

In 2025, the change in foreign exchange gains and losses primarily reflects fluctuations in the US dollar (-€899 million), the Chinese yuan renminbi (-€101 million), the pound sterling (-€68 million), and the Argentinian peso (-€34 million).

As of December 31, 2024, accumulated foreign exchange gains and losses total -€260 million (attributable to owners of the Company).

In 2024, the change in foreign exchange gains and losses primarily reflects fluctuations in the US dollar (€428 million), the pound sterling (€56 million), the Hong Kong dollar (-€35 million) and the Chinese yuan renminbi (€33 million).

Movements in foreign exchange translation reserves (attributable to owners of the Company and to non-controlling interests)

(€ million)	Total	o/w Attributable to owners of the Company
Translation differences on the financial statements of subsidiaries drawn up in a foreign currency	64	85
Translation differences on net foreign investments	-347	-345
As of December 31, 2024	-283	-260
Translation differences on the financial statements of subsidiaries drawn up in a foreign currency	-1,286	-1,187
Translation differences on net foreign investments	47	45
Movements in 2025	-1,239	-1,142
Translation differences on the financial statements of subsidiaries drawn up in a foreign currency	-1,222	-1,102
Translation differences on net foreign investments	-300	-300
AS OF DECEMBER 31, 2025	-1,522	-1,402

Breakdown by currency of foreign exchange translation reserves attributable to owners of the Company

(€ million)	As of December 31, 2024	Change	As of December 31, 2025
Chinese yuan renminbi	153	-101	51
US dollar	668	-899	-231
Czech koruna	-62	19	-43
Australian dollar	-44	-40	-84
Mexican peso	-29	1	-28
Polish zloty	-33	5	-28
Argentinian peso	-345	-34	-379
Pound sterling	-104	-68	-172
Hong Kong dollar	-263	16	-247
Colombian peso	-51	4	-47
Hungarian forint	-64	17	-48
Romanian leu	-26	-4	-30
Swedish crown	-24	3	-21
Indian rupee	-24	-26	-50
Other currencies	-11	-35	-46
TOTAL	-260	-1,142	-1,402

9.2.5 Fair value reserves

Fair value reserves attributable to owners of the Company total +€305 million as of December 31, 2025, and +€337 million as of December 31, 2024. It breaks down as follows:

(€ million)	Financial instruments at fair value through equity not subsequently released to net income	Commodity derivatives hedging cash flows	Foreign currency derivatives hedging cash flows	Hedging costs	Interest rate derivatives hedging cash flows	Total	o/w attributable to owners of the Company
As of December 31, 2024	309	41	-6	-	2	346	337
Fair value adjustments	3	-45	-4	-11	5	-52	-37
Other movements	3	-	-	-	2	5	4
AMOUNT AS OF DECEMBER 31, 2025	315	-4	-10	-11	9	299	305

Amounts are presented net of tax.

The change in financial instruments at fair value through equity mainly concerns gas hedges for -€47 million in Europe (see Note 8.3.1.3).

No material amounts were released to the Consolidated Income Statement in respect of interest-rate derivatives hedging cash flows and recorded in financial debt.

9.3 Non-controlling interests

Pursuant to IFRS 10, non-controlling interests in fully consolidated subsidiaries are considered a component of equity.

Furthermore, in accordance with IAS 32 "Financial Instruments: Presentation", non-controlling interest put options are recognized as liabilities.

9.3.1 Non-controlling interests

A breakdown of the movement in non-controlling interests is presented in the Statement of Changes in Equity.

As of December 31, 2025, non-controlling interests mainly concern:

- in Europe: Poland (€278 million), Germany (€229 million) and Spain (€223 million);
- in the Americas, Asia Pacific, Africa Middle-East: Chile (€633 million), the United States (€298 million) and China (€223 million)

9.3.2 Net income attributable to non-controlling interests

Net income attributable to non-controlling interests is -€402 million for the year ended December 31, 2025, compared with -€347 million for the year ended December 31, 2024.

Net income attributable to non-controlling interests breaks down by operating segment as follows:

(€ million)	Year ended December 31, 2024	Year ended December 31, 2025
France & Hazardous Waste Europe	-13	-11
Europe ⁽¹⁾	-143	-180
Americas, Asia Pacific, Africa Middle-East ⁽²⁾	-172	-201
Water Technologies	-19	-10
Other	-	-
NET INCOME ATTRIBUTABLE TO NON-CONTROLLING INTERESTS	-347	-402

(1) Including net income attributable to non-controlling interests in Central and Eastern Europe (-€157 million in 2025 compared to -€131 million in 2024).

(2) Including net income attributable to non-controlling interests in Chile (-€82 million), United-States (-€23 million) and Australia (-€17 million) in 2025.

9.4 Deeply-subordinated securities and OCEANE convertible bonds

9.4.1 OCEANE convertible bonds

On September 12, 2019, Veolia Environnement completed an offering of bonds convertible and/or exchangeable for new and/or existing shares (OCEANE) maturing January 1, 2025, of a nominal amount of €700 million (see also Note 8.1.1.1).

On August 2, 2024, Veolia Environnement launched a partial redemption transaction of 52% of these bonds with a delivery settlement date of August 9. The share of repurchase costs charged to equity was approximately -€18 million.

On January 1, 2025, Veolia Environnement redeemed in full, at maturity, its bonds with an option to be converted into and/or exchanged for new or existing shares for a remaining nominal outstanding of approximately €336 million, (see Note 8.1.1.1).

9.4.2 Deeply subordinated securities

At the end of December 2025, hybrid debt excluding coupons represented €4.1 billion at Veolia Environnement, broken down as follows:

- an issue carried out on October 14, 2020, the proceeds of which were used to finance the acquisition of 29.9% of the share capital of Suez from Engie, with a residual tranche of €1,150 million bearing a coupon of 2.50% until its first reset date in April 2029, the redemption of the first tranche of €850 million having been notified at the end of December 2025 for payment in February 2026 (see Note 8.1.1.2);
- a €500 million issue carried out on September 2, 2019, resulting from the acquisition of Suez S.A. with an initial fixed coupon of 1.625%, reset for the first time seven years after issue, then every five years;
- a €500 million issue carried out on November 8, 2021, bearing a coupon of 2% until the first reset date in February 2028;

- a €600 million issue carried out on November 22, 2023, under Veolia Environnement's EMTN program and bearing a coupon of 6% until the first reset date in February 2029;
- on May 13, 2025, Veolia issued its first green bond, in the form of a green hybrid bond, for €500 million with a coupon of 4.371% until its first reset date in August 2030;
- an €850 million issue carried out on September 18, 2025, bearing a coupon of 4.322% until the first reset date in January 2033.

Pursuant to IAS 32.11 and given its intrinsic characteristics (no mandatory repayment, no obligation to pay a coupon except in the event of a dividend distribution to shareholders or the buyback of its own instruments), this instrument is recognized in equity.

9.5 Earnings per share

Basic earnings per share is calculated by dividing adjusted net income attributable to owners of the Company by the weighted average number of ordinary shares outstanding during the year.

Pursuant to IAS 33, the weighted average number of shares outstanding taken into account for the calculation of basic net income per share is adjusted to take into account the increases in capital during the year. Pursuant to IAS 33.9 and IAS 12, the net income attributable to owners of the Company has been adjusted to take into account the cost of the coupon payable to holders of deeply subordinated securities issued by Veolia Environnement.

Diluted earnings per share is calculated by dividing adjusted net income attributable to owners of the Company by the weighted average number of ordinary shares outstanding during the year plus the weighted average number of ordinary shares that would be issued following which would have been issued on the conversion of all existing potentially dilutive instruments (OCEANE, performance share plan and Free Share Grant Plan).

Net income and the number of shares used to calculate basic and diluted earnings per share are presented below for all activities.

	Year ended December 31, 2024	Year ended December 31, 2025
(in millions of shares)		
Weighted average number of ordinary shares for the calculation of basic earnings per share	720	729
Theoretical number of additional shares resulting from potentially dilutive instruments	22	3
Weighted average number of ordinary shares for the calculation of diluted earnings per share (in millions of shares)	741	732
Net income (loss) attributable to owners of the Company per share (in millions of euros)		
Net income (loss) attributable to owners of the Company (in millions of euros)	1,098	1,217
Coupons on deeply subordinated securities net of taxes (in millions of euros)	-58	-89
Net income (loss) attributable to owners of the Company restated for coupons (in euros):	1,040	1,128
Net income (loss) attributable to owners of the Company per share restated for coupons (in euros):		
Basic	1.45	1.55
Diluted	1.40	1.54
Net income (loss) from discontinued operations attributable to owners of the Company per share (in millions of euros)		
Net income (loss) from discontinued operations attributable to owners of the Company (in millions of euros)	-103	-118
Net income (loss) from discontinued operations attributable to owners of the Company per share (in euros):		
Basic	-0.14	-0.16
Diluted	-0.14	-0.16
NET INCOME (LOSS) FROM CONTINUING OPERATIONS ATTRIBUTABLE TO OWNERS OF THE COMPANY PER SHARE		
Net income (loss) from continuing operations attributable to owners of the Company (in millions of euros)	1,201	1,336
Coupons on deeply subordinated securities net of taxes (in millions of euros)	-58	-89
Net income (loss) from continuing operations attributable to owners of the Company restated for coupons (in euros) :	1,143	1,247
Net income (loss) from continuing operations attributable to owners of the Company restated for coupons per share (in euros) :		
Basic	1.59	1.71
Diluted	1.54	1.70

The only potentially dilutive instruments recognized by Veolia Environnement are the OCEANE, presented in Note 9.4.1, as well as the performance shares and free shares presented in Note 6.2.2.

Note 10 PROVISIONS

Pursuant to IAS 37, Provisions, Contingent Liabilities and Contingent Assets, a provision is recorded when, at the year end, the Group has a current legal or implicit obligation to a third party as a result of a past event, it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and the amount of the obligation can be reliably estimated.

Provisions cover all losses that are considered probable, and that relate to litigation (taxation other than income tax, employee or other) arising in the normal course of Veolia's business operations, including adjustments on uncertain tax positions identified but not yet adjusted.

As part of its obligations under public services contracts, Veolia generally has contractual obligations for the maintenance and repair of the installations it manages. The resulting maintenance and repair costs are analyzed in accordance with IAS 37 on provisions and, where necessary, a provision for contractual commitments is recorded where there are delays in work to be performed.

In the event of a restructuring, an obligation exists if, prior to the period end, the restructuring has been announced and a detailed plan produced or implementation has commenced. Future operating costs are not provided.

Provisions for closure and post-closure costs encompass the legal and contractual obligations of the Group on the completion of operating activities at a site (primarily site rehabilitation provisions) and, more generally, expenditure associated with environmental protection (provision for environmental risks).

In the case of provisions for rehabilitation of landfill facilities, Veolia accounts for the obligation to restore a site as waste is deposited, recording a non-current asset component. This asset is amortized during the fiscal year based on its depletion. The costs included take account of the technical and operating characteristics of the sites, as well as applicable regulatory requirements. The monitoring period following the closure of a landfill site depends on the country where the Group operates (France: 30 years; United Kingdom: 60 years). Inflation is taken into account in the total cost calculation and, depending on the projected expenditure schedule, a discount rate is applied (based on the country and flow maturities). Provisions are calculated, by site, at the reporting date, taking account of the landfill site fill rate, total estimated costs per year, the scheduled closure date and the discount rate and are recorded progressively over the operating period.

Provisions giving rise to an outflow after more than one year are discounted if the impact is material. Discount rates reflect current assessments of the time value of money and the risks specific to the liability. The unwinding of the discount is recorded in the Consolidated Income Statement in "Other financial income and expenses".

Movements in non-current and current provisions during 2025 are as follows:

(€ million)	As of December 31, 2024	Addition/ Charge	Repayment/ Utilization	Reversal	Actuarial gains (losses)	Unwinding of the discount	Change in consolidation scope	Foreign exchange translation	Non-current/ current reclassification	Other movements	As of December 31, 2025
Litigation	438	219	-45	-25	-	-	1	-35	-6	3	550
Contractual commitments	97	268	-263	-2	-	-	-	-1	-	-	99
Provisions for work-in-progress and losses to completion on long-term contracts	246	23	-20	-21	-	1	-	-15	-	-23	190
Closure and post-closure costs	1,220	39	-46	-44	-	72	14	-39	-	-2	1,214
Restructuring provisions	57	40	-20	-20	-	-	-	-1	-	-	56
Self-insurance provisions	364	158	-71	-52	-	2	-	-3	-	-	399
Other provisions	647	217	-116	-82	-	-	7	-9	6	3	673
Provisions excluding pensions and other employee benefits	3,069	964	-580	-246	-	75	22	-103	-	-19	3,181
Provisions for pensions and employee benefits	746	86	-88	-27	20	19	-	-24	-	6	740
TOTAL PROVISIONS	3,815	1,050	-668	-273	20	94	22	-127	-	-12	3,921
NON-CURRENT PROVISIONS	2,749	510	-88	-165	20	94	15	-83	-402	10	2,661
CURRENT PROVISIONS	1,066	540	-580	-108	-	-	7	-44	402	-22	1,260

Provisions for litigation €550 million overall as of December 31, 2025, compared with €438 million overall as of December 31, 2024.

The Water Technologies, Americas, Asia Pacific, Africa Middle-East, France and Hazardous Waste Europe and Europe operating segments contribute €356 million, €92 million, €55 million and €44 million respectively as of December 31, 2025.

Additional information on the main litigation is presented in Note 12.

As of December 31, 2025, **provisions for contractual commitments** amount to €99 million and primarily concern the France and Hazardous Waste Europe operating segment in the amount of €53 million and Europe in the amount of €35 million.

Provisions for work-in-progress and losses to completion on long-term contracts for a total amount of €190 million as of December 31, 2025 mainly concern the Americas, Asia Pacific, Africa Middle-East operating segment for €100 million, the Water Technologies operating segment for €54 million, and the Europe operating segment for €27 million.

Provisions for closure and post-closure costs total €1,214 million as of December 31, 2025 compared with €1,220 million as of December 31, 2024 and mainly concern the following operating segments:

- France and Hazardous Waste Europe for €454 million as of December 31, 2025, compared with €448 million as of December 31, 2024;
- Americas, Asia Pacific, Africa Middle-East for €418 million as of December 31, 2025, unchanged from December 31, 2024;
- Europe for €315 million as of December 31, 2025, compared with €323 million as of December 31, 2024.

The change in these provisions in 2025 is mainly due to the unwinding of the discount in the amount of €72 million.

By nature of obligation, these provisions concern:

- provisions for site rehabilitation in the amount of €1,106 million at the end of 2025, compared with €1,104 million at the end of 2024;
- provisions for environmental risks in the amount of €53 million at the end of 2025, compared with €55 million at the end of 2024;
- provisions for plant dismantling in the amount of €55 million at the end of 2025, compared with €61 million at the end of 2024.

Self-insurance provisions were mainly recorded by Group insurance and reinsurance subsidiaries.

Other provisions include various obligations recorded as part of the normal operation of the subsidiaries. They primarily concern the following operating segments:

- the Other segment in the amount of €192 million as of December 31, 2025, compared with €197 million as of December 31, 2024;
- Europe in the amount of €174 million as of December 31, 2025, compared with €161 million as of December 31, 2024;
- France and Hazardous Waste Europe in the amount of €154 million as of December 31, 2025, compared with €119 million as of December 31, 2024;
- the Americas, Asia Pacific, Africa Middle-East segment in the amount of €125 million as of December 31, 2025, compared with €139 million as of December 31, 2024.

Provisions for pensions and other employee benefits as of December 31, 2025 total €740 million, and include provisions for pensions and other post-employment benefits of €647 million (governed by IAS 19 and detailed in Note 6.3), and provisions for other long-term benefits of €93 million.

Note 11 INCOME TAX EXPENSE**11.1 Income taxes**

The income tax expense (income) includes the current tax expense (income) and the deferred tax expense (income).

11.1.1 Analysis of the income tax expense

Income tax expense breaks down as follows :

(€ million)	2024	2025
Current income tax (expense) income	-553	-577
France	-56	-79
Other countries	-497	-498
Deferred tax (expense) income	-13	-10
France	31	-18
Other countries	-44	8
TOTAL INCOME TAX EXPENSE	-566	-587

A number of French subsidiaries elected to form a consolidated tax group with Veolia Environnement as the head company. Veolia Environnement is liable to the French Treasury Department for the full income tax charge, calculated based on the group tax return. Any tax savings are recognized at the Veolia Environnement level.

11.1.2 Effective tax rate

	2024	2025
Net income (loss) from continuing operations (a)	1,547	1,738
Share of net income (loss) of associates (b)	61	58
Share of net income (loss) of joint ventures (c)	71	32
Share of net income (loss) of other equity-accounted entities (d)	-	-
Impairment losses on goodwill of joint ventures and other equity-accounted entities (e)	-	-
Income tax expense (f)	-566	-587
Net income from continuing operations before tax (g) = (a)-(b)-(c)-(d)-(e)-(f)	1,982	2,234
Effective tax rate -(f)/(g)	28.6%	26.3%
Theoretical tax rate⁽¹⁾	25.8%	25.8%
Net impairment losses on goodwill not deductible for tax purposes	-	0.0%
Differences in tax rate	-3.6%	-3.9%
Capital gains and losses on disposals	1.9%	-0.4%
Dividends	0.4%	0.5%
Taxation without tax base	4.4%	3.9%
Effect of tax projections ⁽²⁾	3.4%	4.0%
Other permanent differences	-3.8%	-3.7%
EFFECTIVE TAX RATE	28.6%	26.3%

(1) The tax rate indicated is the statutory tax rate in France applicable in fiscal years 2024 and 2025.

(2) Effect of tax projections primarily includes impairment losses on deferred tax assets and capitalized deferred taxes.

The main elements explaining the effective tax rate in 2025 are as follows:

- transactions in countries with a higher or lower tax rate than the French standard rate;
- taxation without tax basis, including, in particular, taxes other than income tax meeting IAS 12 criteria;
- other permanent differences;
- the effect of tax projections, primarily relating to impairment losses on deferred tax assets and capitalized deferred taxes.

It is recalled that the main elements explaining the effective tax rate in 2024 were as follows:

- transactions in countries with a higher or lower tax rate than the French standard rate;
- taxation without tax basis, including, in particular, taxes other than income tax meeting IAS 12 criteria;
- taxation on capital gains or losses from disposals;
- the effect of tax projections, primarily relating to impairment losses on deferred tax assets and capitalized deferred taxes.

11.2 Deferred tax assets and liabilities

Deferred tax assets and liabilities are generally recognized on timing differences and/or tax loss carry forwards.

Deferred tax assets arising from timing differences are only recognized when it is probable that:

- there are sufficient taxable timing differences within the same tax group or tax entity that are expected to reverse in the same periods as the expected reversal of such deductible timing differences or in the periods when the deferred tax assets arising from tax losses can be carried back or forward; or
- the Group is likely to generate sufficient future taxable profits against which the asset can be offset.

At each reporting date, the Group reviews the recoverable amount of deferred tax assets arising from material tax losses carried-forward.

Deferred tax assets arising from these tax losses are no longer recognized or are reduced when required by the specific facts and circumstances of each company or tax group concerned, and particularly when:

- the forecast period and uncertainties regarding the economic environment no longer enable the probability of utilization to be assessed;
- the companies have not started utilizing the losses;
- the forecast utilization period exceeds the carry forward period authorized by tax legislation; or
- offset against future taxable profits is uncertain due to the risk of different interpretations of the application of tax legislation.

Deferred tax assets and liabilities are adjusted for the effects of changes in prevailing tax laws and rates at the year end. Deferred tax balances are not discounted.

Movements in deferred tax assets and liabilities during **2025** are as follows:

(€ million)	As of December 31, 2024	Changes in business through net income	Changes in business through equity	Changes in consolidation scope	Foreign exchange translation	Transfers to Assets / Liabilities classified as held for sale	Other movements	As of December 31, 2025
Deferred tax assets, gross	4,177	91	20	43	-195	-	7	4,143
Deferred tax assets not recognized	-2,219	-66	-17	18	117	-	-5	-2,173
DEFERRED TAX ASSETS, NET	1,958	25	3	61	-78	-	2	1,970
DEFERRED TAX LIABILITIES	2,606	-4	-11	91	-124	-	-	2,557

As of December 31, 2025, deferred tax assets not recognized total -€2,173 million, including -€1,464 million on tax losses and -€709 million on timing differences. As of December 31, 2024, they totaled -€2,219 million, including -€1,553 million on tax losses and -€666 million on timing differences.

Deferred tax assets and liabilities break down by nature as follows:

(€ million)	As of December 31, 2024	As of December 31, 2025
DEFERRED TAX ASSETS		
Tax losses	1,826	1,742
Provisions and impairment losses	560	649
Employee benefits	279	278
Financial instruments	165	182
Operating financial assets	27	25
Fair value of assets purchased	125	125
Finance leases	130	130
Intangible assets, PP&E and operating financial assets	234	223
Other	831	789
DEFERRED TAX ASSETS, GROSS	4,177	4,143
DEFERRED TAX ASSETS NOT RECOGNIZED	-2,219	-2,173
RECOGNIZED DEFERRED TAX ASSETS	1,958	1,970

(€ million)	As of December 31, 2024	As of December 31, 2025
DEFERRED TAX LIABILITIES		
Intangible assets and Property plant and equipment	1,266	1,222
Fair value of assets purchased	635	584
Operating financial assets	48	43
Financial instruments	157	175
Finance leases	112	104
Provisions	27	25
Employee benefits	70	72
Other	291	332
DEFERRED TAX LIABILITIES	2,606	2,557

The breakdown by **main tax group** as of December 31, 2025 is as follows:

(€ million)	Recognized deferred tax assets on tax losses	Recognized deferred tax assets on timing differences	Deferred tax liabilities on timing differences	Net recognized deferred tax position
France tax group	48	249	-249	48
United States tax group	52	242	-454	-160
TOTAL FOR THE MAIN TAX GROUPS	100	491	-703	-112

The **timing schedule for the reversal** of the net deferred tax position on timing differences and the deferred tax asset position on tax losses of the France tax group and the United States tax group is as follows:

(€ million)	Deferred tax assets on tax losses			Net deferred tax on timing differences			Total		
	5 years or less	More than 5 years	Total	5 years or less	More than 5 years	Total	5 years or less	More than 5 years	Total
France tax group	48	-	48	-	-	-	48	-	48
United States tax group	52	-	52	161	-373	-212	213	-373	-160

The **expiry schedule** for deferred tax assets on tax losses recognized and not recognized as of December 31, 2025 is as follows:

(€ million)	Maturing in			Total as of December 31, 2025	Total as of December 31, 2024
	5 years or less	More than 5 years	Unlimited		
Recognized tax losses	96	33	149	278	273
Tax losses not recognized	421	556	487	1,464	1,553

Deferred tax assets and liabilities **break down by destination** as follows:

(€ million)	As of December 31, 2024	As of December 31, 2025
DEFERRED TAX ASSETS, NET		
Deferred tax assets through net income	1,840	1,842
Deferred tax assets through equity	118	128
DEFERRED TAX ASSETS, NET	1,958	1,970
DEFERRED TAX LIABILITIES		
Deferred tax liabilities through net income	2,547	2,507
Deferred tax liabilities through equity	59	50
DEFERRED TAX LIABILITIES	2,606	2,557

11.3 Tax audits

In the normal course of their business, the Group entities in France and abroad are subject to regular tax audits.

The Group assesses income tax risks in accordance with IFRIC 23, notably by considering that the tax authorities will conduct an audit and will have full knowledge of all relevant information.

The tax authorities have carried out various tax audits in respect of both consolidated tax groups and individual entities. To date, none of these reviews have led to liabilities to the tax authorities materially in excess of amounts estimated during the review of tax risks.

In estimating the risk as of December 31, 2025, the Group took account of the expenses that could arise as a consequence of these audits, based on a technical analysis of the positions defended by the Group before the tax authorities. The Group periodically reviews the risk estimate in view of developments in the audits and legal proceedings.

11.4 Pillar 2 Directive

The 2024 Finance Act (Article 33 of Law no. 2023-1322 of December 29, 2023) enacted the Pillar 2 Directive (Council Directive (EU) 2022/2523 of December 14, 2022) which aims to introduce a global minimum tax. Due to the amount of its revenue, the Group falls within the scope of this new legislation.

For 2025, the Group determined that the financial impact of this new tax, recognized as a tax expense, was not material.

In accordance with the temporary exemption introduced by the amendment to IAS 12 in May 2023, no deferred tax was recorded on that basis.

Note 12 CONTINGENT ASSETS AND LIABILITIES

Management has exercised its judgment with regard to the assessment of risks related to judicial, administrative, or arbitration proceedings concerning the Group. In light of the uncertain nature of the outcome of these proceedings, and in accordance with the criteria of IAS 37, these risks may have resulted in the recognition of a provision or, as applicable, a receivable as of December 31, 2025.

North America**United States – Water – Flint**

In February 2015, the city of Flint (Michigan, USA, hereafter “Flint”) hired a U.S. subsidiary of the Company, Veolia Water North America Operating Services (“VWNAOS”), to conduct a study on the residual effects of the chlorination process on the color, its taste and its odor. This one-time review, invoiced at USD 40,000, was completed in approximately four weeks.

On February 18, 2015, VWNAOS issued an interim report based, among other things, on tests performed exclusively by Flint, which showed compliance with the Lead & Copper Rule. The same day, during a meeting organized by the Flint City Council Public Works Committee, VWNAOS employees communicated to the public the results of their interim report.

On March 12, 2015, VWNAOS’ final report was delivered to Flint, which was subsequently made available to the public. In its report, VWNAOS issued a certain number of recommendations including, notably, the development of a corrosion control plan. Flint ignored most of these recommendations until late 2015, when the State ordered the implementation of certain measures, in response to the revelation of the existence of lead in distributed water.

Legal proceedings

Since February 2016, numerous individual actions and putative class actions were filed in state and federal courts in Michigan by Flint residents against a number of defendants, including the State of Michigan, the Michigan Department of Environmental Quality, Flint, LAN (another engineering firm acting as the city’s principal consultant at the time) and three American subsidiaries of the Company: Veolia North America Inc., VWNAOS and Veolia North America LLC (hereafter “VNA”).

Although the Company has been named in several individual or class actions, it has not been served and is not a defendant in any of these actions; only the three U.S. subsidiaries are.

In February 2022, the first trial for four plaintiffs began in federal court. On August 11, 2022, the judge declared a mistrial, on account of the jury’s failure to reach a unanimous verdict.

Over the course of 2024 and 2025, VNA and the Company signed several settlement agreements with different plaintiff groups and the Michigan Attorney General, resulting in payments totalling approximately USD 79 million. As a result, virtually all actions brought before the state and federal courts in Michigan have been dismissed with prejudice and the plaintiffs have fully waived all rights to bring actions against VNA and the Company in relation to the case. Only a remainder of about 350 individual plaintiffs is not covered by these settlements. To date, none of these plaintiffs have come forward to request the scheduling of a new trial and no timetable has been set to move forward with any of these cases.

Insurance

These lawsuits were declared to the insurers. Some of the insurers, relying on an exclusion clause contained in their policies, made it known that they did not intend on covering any damages caused by lead.

The Group strongly contests this position, contending that this exclusion is inapplicable to the current situation and, in any event, the clause is void as, it is contrary to both the mandatory rule of Article L. 113-1 of the French Insurance Code—which requires that an exclusion clause shall be “formal and limited”—and to relevant case law.

In June 2023, the Company and VNA filed a request for arbitration in order to resolve their dispute with one of their insurers. In October 2025, an agreement bringing the arbitration to a full and final settlement was reached.

In November 2025, the Company and VNA initiated proceedings against another of their insurers before the Paris Commercial Court (Tribunal des activités économiques de Paris). These proceedings are currently pending.

Central and Eastern Europe**Lithuania - Energy**

Between 2000 and 2003, the Lithuanian subsidiaries of the Group, UAB Vilniaus Energija (“UVE”) and UAB Litesko (“Litesko”), signed a number of contracts with Lithuanian cities, of which the most significant was with the city of Vilnius (“Vilnius”) in 2002 to rent, operate and modernize the heating and electricity production and distribution infrastructure. The Group made significant investments over the years for which it expects the cost incurred to be taken into account and a return on its investment.

Since 2009, the government publicly, and on numerous occasions, accused the Group of being responsible for high heating prices by waging a sustained campaign against it. Several steps were thus taken by the public authorities against the Lithuanian subsidiaries of the Group, among others:

- a EUR 19 million fine imposed on UVE by the Competition Council;
- the transfer of ownership without compensation of the individual heat exchange sub-stations invested by UVE;
- the unilateral reduction of the heating prices to capture the savings realized with the help of a smoke condenser invested by UVE;
- the retroactive annulment of the heating prices applied by UVE for the period 2011-2015;
- the annulment of the amendments extending the duration of the contract concluded between Litesko and the city of Alytus and the transfer to Alytus of the assets invested by Litesko.

All the harmful decisions taken against the Lithuanian subsidiaries of the Group are subject to pending challenges or appeals before the local courts.

In this context, the Company and its subsidiaries also had to initiate the arbitral proceedings described below.

The first arbitration, initiated under the auspices of the Stockholm Chamber of Commerce (“SCC”), resulted in a ruling issued on November 30, 2023, which is now final.

In the second arbitration, the Company, Veolia Energie International (successor in law to Veolia Baltics and Eastern Europe), UVE and Litesko (collectively "the Companies") filed a request for arbitration against Lithuania before the International Center for Settlement of Investment Disputes ("ICSID") in January 2016. The Companies' claim amounts to circa EUR 76 million (not including interest). For its part, Lithuania withdrew its EUR 150 million counterclaim, following the judgment rendered by the Court of Justice of the European Union on 6 March 2018 in the Achmea case, which held that arbitration clauses contained in intra-EU bilateral investment treaties are incompatible with European Union law.

In July 2020, Lithuania initiated a legal action against the Companies and other respondents before the Vilnius regional court, by which it seeks compensation for damages worth over EUR 240 million. Lithuania has indicated that this action is a transfer of the counterclaims it previously withdrew from the ICSID arbitration. The Companies vigorously contest Lithuania's claims. Following several divergent rulings by the Lithuanian courts, Lithuania's claim was finally declared admissible in October 2023. After several months of suspension, the proceedings on the merits resumed early 2025 before the Vilnius Regional Court.

In mid-July 2025, the Companies and Lithuania signed a settlement agreement aiming at amicably resolving both the ICSID arbitration and the pending proceedings before the Vilnius Regional Court. Under the terms of the agreement, the Companies undertake to pay Lithuania a lump sum of EUR 35 million, subject to certain conditions. This settlement does not constitute any admission of liability on the part of the Companies.

In September 2025, Lithuania received the EUR 35 million; pursuant to the above-mentioned settlement, the Vilnius Court of Appeal acknowledged the withdrawal of the Companies as defendants in the proceedings, as well as the reduction of Lithuania's claims to EUR 51.7 million. This decision is final. However, the Vilnius court granted the co-defendants' request to include the Companies as third parties in the proceedings.

Furthermore, in October 2025, the ICSID tribunal took note of the parties' withdrawal.

Italy / Africa Middle East

Veolia Propreté vs. Republic of Italy

In October 2007, Veolia Propreté made very significant investments in Italy through long-term concession contracts for the construction and management of waste recovery and power generation facilities in the regions of Calabria and Tuscany. The Italian subsidiaries of Veolia Propreté were unable to execute the concession contracts due to the serious failures of the Italian authorities. In 2014, these actions caused the subsidiaries' bankruptcy and the loss of Veolia Propreté's investment.

In June 2018, Veolia Propreté commenced an arbitration against the Republic of Italy before the International Centre for Settlement of Investment Disputes ("ICSID") alleging breaches of the Energy Charter Treaty. The arbitral tribunal was constituted in January 2019. Veolia Propreté claimed an amount of approximately EUR 400 million plus interests. On 26 September 2025, the tribunal issued an award ordering Italy to pay Veolia Propreté approximately EUR 86 million, plus pre-award and post-award interests, together with half the costs of proceeding.

In November 2025, Veolia Propreté filed a request with ICSID for a supplementary decision, arguing that the tribunal failed to address interest on historical losses for the period 2007-2011, amounting to approximately EUR 12 million. These proceedings remain ongoing.

In September 2021, the Court of Justice of the European Union in the Komstroy case ruled that the investor-state dispute settlement mechanism provided for in the Energy Charter Treaty is incompatible with EU Law and does not apply to intra-EU disputes. This development may affect the enforcement of the award.

Water Tech

VWT v. K+S Potash

On December 1, 2012, Veolia Water Technologies, Inc. ("VWT") signed a CAD 324.5 million contract with K + S Potash Canada GP ("KSPC") for the design, supply and commissioning of an evaporation and crystallization system, which includes 14 large evaporators and crystallizers (the "Tanks"), for a potash mine then under construction by KSPC in the province of Saskatchewan, Canada. In this framework, a letter of guarantee at first request was issued by VWT to the benefit of KSPC in the amount of USD 14.6 million.

On July 17, 2016, during the process of commissioning the Tanks, one tank collapsed (the "Incident"). A new replacement tank had to be manufactured and installed. The Incident also damaged other Tanks and plant equipment, which had to be removed and replaced. VWT cooperated with KSPC to determine the cause of the incident. The first investigations, conducted by KSPC, identified a defect in the design of the metal structure supporting the Tanks, for which VWT and one of its subcontractors were responsible. Subsequently, additional expert assessments conducted by VWT, however, found a defect in the production of the concrete bases to which the metal structure supporting the Tanks was affixed. These concrete bases were in turn built by a subcontractor of KSPC. VWT has repaired the damaged Tanks. These repairs resulted in significant contractual changes and additional costs. Mid-June, 2017, a second letter of guarantee at first request was issued by VWT to KSPC in the amount of USD 15 million.

Several procedures are currently in progress.

ADRIC Arbitration Procedure (ADR Institute of Canada)

On August 18, 2017, VWT filed a complaint with the ADRI seeking KSPC's reimbursement of the costs incurred by the contractual modifications made to carry out repairs linked to the Incident, i.e. USD 19 million. On January 18, 2019, the arbitral tribunal accepted jurisdiction over only some claims (approximately USD 13.6 million). This procedure is stayed due to proceedings initiated by KSPC before the Court of King's Bench for Saskatchewan (see below).

Legal Proceedings (the Court of King's Bench for Saskatchewan)

On April 6, 2018, KSPC brought claims against VWT before the Court of King's Bench for Saskatchewan in the amount of CAD 200 million - currently quantified at CAD 168,5 million (approximately EUR 103,6 million) - for consequential damages and additional costs of repair in relation to the Incident. In mid-January 2019, VWT made a settlement offer to KSPC who refused the offer.

On May 28, 2018, one of KSPC's subcontractors, AECON, sued KSPC before the Court of King's Bench for various claims for damages. On June 28, 2018, KSPC joined VWT as a third party to the proceedings in an attempt to require VWT to indemnify KSPC for a minimum of CAD 467 million - amount currently quantified at CAD 103,1 million (approximately EUR 63,5 million) - as well as reimbursement of sums already paid by KSPC to other subcontractors (the "Delay Claim").

On March 25, 2020, KSPC brought claims against VWT before the Court of King's Bench for Saskatchewan for an amount quantified to date at CAD 80 million (approximately EUR 50 million). These new claims include an equipment failure that occurred in November 2018 and alleged corrosion in specific materials of the plant. In June 2020, VWT filed a statement of defense before this court and contested these new claims.

In November 2019 and 2020, respectively, KSPC received payment under the letters of guarantee.

The Group strongly contests the merits of all these legal proceedings.

These lawsuits have been notified to professional liability insurance companies.

VWT v. Antero

In August 2015, Veolia Water Technologies Inc. ("VWT") and Antero Resources Corporation ("Antero") entered into a Design Build Agreement ("DBA") for a revised contract sum of USD 255.8 million for the treatment of water associated with the drilling, production and general development of shale gas at the Clearwater facility located in Pennsboro West Virginia ("Facility").

VWT achieved the substantial completion of the Facility on March 15, 2019. The Facility was fine-tuned over the following months. The final performance test was scheduled to begin on September 16, 2019 but, by a letter dated September 12, 2019, Antero terminated the DBA. VWT considers this termination to have been made without proper contractual notice or a valid reason.

On March 13, 2020 VWT filed suit against Antero in the State District Court, City and County of Denver, Colorado, in the United States, alleging breach of contract and seeking damages of USD 118 million. On the same day and in front of the same tribunal, Antero filed suit against VWT and claimed that VWT breached its contractual obligations under the DBA. In this lawsuit, Antero asserts claims under theories of fraud and breach of contract. It claims alternatively USD 451 million or USD 367 million in damages based on different valuation methods.

VWT's claims have been consolidated with Antero's claims. By a final judgment dated January 27, 2023, the State District Court, City and

County of Denver, Colorado ordered VWT to pay to Antero on the grounds of fraud and breach of contract, a principal amount of USD 242 million, plus interests (such interests including USD 67 million of pre-judgment interests) and Antero's fees and costs. By a revised judgment dated May 3, 2023, reflecting the outcome of a post-trial motion successfully filed by VWT, the principal amount of the judgment was reduced to USD 215 million and the pre-judgment interests were reduced to USD 65 million. The effects of the judgment are stayed.

At the end of May 2023, VWT appealed the decision before the Colorado Court of Appeals. In June 2023, Antero filed a cross appeal. On December 19, 2024, the Court of Appeals upheld the judgment. VWT strongly disputes the Court of Appeals' decision affirming the judgment. In March 2025, VWT filed a petition before the Supreme Court of Colorado. In September 2025, the Colorado Supreme Court granted VWT's petition in part. The proceedings are continuing in the Colorado Supreme Court. The effects of the judgment remain suspended until the Colorado Supreme Court issues its decision.

This dispute was reported to the insurers, who issued coverage reservations. One of them, after initially accepting to cover the legal expenses in connection with those proceedings, initiated arbitral proceedings in October 2021 to be released from its coverage obligation. On July 10, 2023, the arbitral tribunal dismissed the insurer's claim and ruled that the insurer's dispute of its coverage obligation was ill-grounded.

Note 13 RELATED PARTY TRANSACTIONS

The Group identifies related parties in accordance with the provisions of paragraph 9 of IAS 24 revised, Related Party Disclosures.

To the Company's knowledge, as of December 31, 2025 except for relations with joint ventures (see Note 5.2.4.1) and pay and related benefits of key management (see Note 6.4), there were no other related party transactions.

Note 14 SUBSEQUENT EVENTS

No significant events occurred between the reporting date and the date on which the consolidated financial statements were approved by the Board of Directors.

Note 15 MAIN COMPANIES INCLUDED IN THE CONSOLIDATED FINANCIAL STATEMENTS

In 2025, Veolia group consolidated or accounted for a total of 1 870 companies, of which the main companies are:

Company and address	French company registration number (Siret)	Consolidation method	% control	% interest
Veolia Environnement SA 21 rue La Boétie 75008 Paris	403 210 032 00104	FC	100.00	100.00
Vigie Groupe 21 rue La Boétie 75008 Paris	410 118 608 00109	FC	100.00	100.00
FRANCE & HAZARDOUS WASTE EUROPE				
Water				
Veolia Eau – Compagnie Générale des Eaux and its subsidiaries 21 rue La Boétie 75008 Paris	572 025 526 10945	FC	100.00	99.99
Veolia Water and its subsidiaries 21 rue La Boétie 75008 Paris	421 345 042 00053	FC	100.00	100.00
Compagnie des Eaux et de l'Ozone Procédés M P Otto 21 rue La Boétie 75008 Paris	775 667 363 02470	FC	100.00	100.00
Société Française de Distribution d'Eau 6 place des Degrés 92800 Puteaux	542 054 945 00424	FC	99.68	99.68
Compagnie Fermière de Services Publics Route de l'Escarpe 76200 Dieppe	575 750 161 00326	FC	99.89	99.89
Compagnie Méditerranéenne d'Exploitation des Services d'Eau – CMESE Bâtiment B - Lieudit Plan de Fabrique 29 allée Saint Jean 13710 Fuveau	780 153 292 00203	FC	99.75	99.75
Société des Eaux de Melun Zone Industrielle – 198/398, rue Foch 77000 Vaux Le Pénil	785 751 058 00047	FC	99.37	99.37
Société des Eaux de Marseille 78 boulevard Lazer 13010 Marseille	057 806 150 00488	FC	98.84	98.84
Franciliane 6 place des Degrés 22 rue de la demi-lune 92800 Puteaux	817 502 651 00349	FC	100.00	100.00
Waste				
Veolia Propreté and its subsidiaries 21 rue La Boétie 75008 Paris	572 221 034 01230	FC	100.00	100.00
Routière de l'Est Parisien Immeuble Dufy 1 1 place de Turenne 94410 Saint Maurice	612 006 965 00208	FC	100.00	100.00
ONYX Auvergne Rhône-Alpes 2/4, Avenue des Canuts 69120 Vaulx en Velin	302 590 898 00656	FC	99.99	99.99
Onyx Est Bâtiment O'Rigin 1 rue Henriette Galle Grimm 54000 Nancy	305 205 411 00930	FC	95.00	95.00
Paul Grandjouan SACO 6 rue Nathalie Sarraute 44200 Nantes	867 800 518 00609	FC	100.00	100.00
SARP Industries and its subsidiaries 427, route du Hazay – Zone Portuaire Limay-Porcheville 78520 Limay	303 772 982 00029	FC	99.86	99.86
Société d'Assainissement Rationnel et de Pompage (SARP) and its subsidiaries 21 rue La Boétie 75008 Paris	775 734 817 00411	FC	99.70	99.70

Company and address	French company registration number (Siret)	Consolidation method	% control	% interest
Generis Immeuble Dufy 1 1 place de Turenne 94410 Saint Maurice	410 303 481 00361	FC	100.00	99.99
Ariane 33 boulevard de l'Ariane 06300 Nice	901 780 221 00023	FC	90.00	90.00
EUROPE				
Veolia Water UK Ltd and its subsidiaries 210 Pentonville Road Londres N1 9JY (United Kingdom)		FC	100.00	100.00
Veolia ES (UK) Ltd and its subsidiaries 210 Pentonville Road Londres - N1 9JY (United Kingdom)		FC	100.00	100.00
Veolia Environmental Services Group (UK) Ltd and its subsidiaries 210 Pentonville Road Londres - N19JY (United Kingdom)		FC	100.00	100.00
Veolia Energy UK Ltd and its subsidiaries 210 Pentonville Road N1 9JY Londres (United Kingdom)		FC	100.00	99.99
South East London Combined Heat and Power Ltd 210 Pentonville Road Londres - N1 9JY (United Kingdom)		EA	50.00	50.00
Veolia Umweltservice GmbH and its subsidiaries Amerigo Vespucci Platz 1 20457 Hambourg (Germany)		FC	100.00	100.00
Veolia Energie Deutschland GmbH and its subsidiaries Lindencorso Georgenstrasse 24 10117 Berlin (Germany)		FC	100.00	100.00
Braunschweiger Versorgungs- AG &Co.KG Taubenstrasse 7 38106 Braunschweig (Germany)		FC	50.11	50.11
Veolia Romania Solutii Integrate SA 60 A Tunari Street - Stefan cel Mare Building - 1st Floor Second District - Bucurest (Romania)		FC	99.93	99.93
Apa Nova Bucuresti Srl 60A Tunari Street, Stefan cel Mare Building, 6-9 floors Second District - Bucurest (Romania)		FC	73.69	73.69
Veolia Central & Eastern Europe and its subsidiaries 21 rue La Boétie 75008 Paris	433 934 809 00032	FC	100.00	100.00
Veolia Energie Praha, a.s. Na Florenci 2116/15, Nové Město, 110 00 Prague 1 (Czech Republic)		FC	100.00	98.06
Pražské Vodovody A Kanalizace a.s. Ke Kablu 971/1 102 00 Prague 10 (Czech Republic)		FC	51.00	51.00
Sofiyska Voda AD Interpred Tsar Boris Business Center Floor 3 - Tsar Boris III Str. 159 1618 Sofia (Bulgaria)		FC	77.10	77.10
Veolia NV-SA and its subsidiaries 78-79 boulevard Poincaré B1060 Bruxelles (Belgium)		FC	100.00	100.00
Siram SPA and its subsidiaries Via Anna Maria Mozzoni, 12 20152 Milan (Italy)		FC	100.00	99.99
Veolia Espana S.L.U. and its subsidiaries Calle Serrano Galvache 56 Edificio Enciana, Complejo Empresarial Parque Norte 28033 Madrid (Spain)		FC	100.00	99.99
Veolia Energia Warszawa and its subsidiary ul Batorego 2, 02-591 Varsovie (Poland)		FC	97.26	58.35
Veolia Nordic AB and its subsidiaries Hälsingegatan 47 113 31 Stockholm (Sweden)		FC	100.00	99.99
Veolia Nederland BV and its subsidiaries Tupolevlaan 69 1119 PA Schiphol-Rijk (Netherlands)		FC	100.00	99.99
Vilniaus Energija Konstitucijos ave. 7 02300 Vilnius (Lithuania)		FC	100.00	99.99

Company and address	French company registration number (Siret)	Consolidation method	% control	% interest
Veolia Energy Hungary Co Ltd and its subsidiaries Szabadsag ut 301 2040 Budaors (Hungary)		FC	99.98	99.97
Veolia Energia Slovensko A.S. and its subsidiaries Einsteinova 21 851 01 Bratislava (Slovakia)		FC	100.00	99.99
Pražská teplárenská – PT and its subsidiaries Radlicka 364/152, Radlice 158 00 Prague 5 (Czech Republic)		FC	100.00	100.00
Veolia Energie CR A.S. and its subsidiaries 28.Rijna 3337/17 702 00 Ostrava (Czech Republic)		FC	98.06	98.06
Veolia Agbar S.L.U. and its subsidiaries Santa Leonor 39 28037 Madrid (Spain)		FC	100.00	100.00
Veolia Environmental Services Belux and its subsidiaries Boulevard Poincaré 78-79 B1060 Bruxelles (Belgium)		FC	100.00	100.00
Recovera Vyuziti zdroju a.s. and its subsidiaries Radlicka 364/152, Radlice 158 00 Praha 5 - Vinohrady (Czech Republic)		FC	100.00	100.00
AMERICAS, ASIA PACIFIC, AFRICA MIDDLE-EAST				
Veolia Environmental Services North America LLC 100 Federal Street, 3rd Floor 02110 MA Boston (United States)		FC	100.00	100.00
Veolia ES Technical Solutions LLC 53 State street 14th floor 02109 MA Boston (United States)		FC	100.00	100.00
Veolia Water USA Inc. and its subsidiaries 461 From Road Suite 400 07652 Paramus, New Jersey (United States)		FC	100.00	100.00
Veolia North America (Paramus) Inc. and its subsidiaries 461 From Road Suite 400 07652 Paramus, New Jersey (United States)		FC	100.00	100.00
Veolia Water Technologies Treatment Solutions USA Inc. and its subsidiaries 461 From Road Suite 400 07652 Paramus, New Jersey (United States)		FC	100.00	100.00
Veolia ES Canada Industrial Services Inc. 555 René-Lévesque Boulevard West Suite 1450 H2Z 1B1 Montréal – Québec (Canada)		FC	100.00	100.00
Veolia Holding América Latina SA and its subsidiaries Calle Torrelaguna 60, 2 Planta 28043 Madrid (Spain)		FC	100.00	100.00
Aguas Andinas SA Avenida Presidente Balmaceda 1398 Santiago (Chile)		FC	50.10	25.10
Beijing Yansan Veolia Water No. 5 Xinghua East Road, Yanshan Fangshan District 102500 Pékin (China)		FC	50.00	50.00
Shanghai Pudong Veolia Water Corporation Ltd No. 703 Pujian Road, Pudong New Area 200127 Shanghai (China)		EA	50.00	50.00
Veolia Environmental Services China LTD 40/F One Taikoo Place 979 King's Road Quarry Bay (Hong Kong)		FC	100.00	100.00
Kunming CGE Water Supply Co Ltd No.6 Siyuan Road, Kunming Municipality, Yunnan Province 650231 (China)		EA	49.00	24.99
Tianjin Jinbin Veolia Water Co Ltd No2 Xinxiang Road, Bridge 4 Jin Tang Expressway, Dongli District Tianjin Municipality (China)		EA	49.00	49.00
VW-VES (HK) Ltd 40/F, One Taikoo Place 979 King's Road Quarry Bay (Hong Kong)		FC	100.00	100.00

Company and address	French company registration number (Siret)	Consolidation method	% control	% interest
Veolia Korea Co Ltd East 16 F Signature Towers Building Chungyechou-ro 100 Jung-gu Séoul (South Korea)		FC	100.00	100.00
Veolia Environmental Resources Taiwan Co. Ltd 6A New Design Building n°22, Sec. 3 Zhongshan N. Road, Zhongshan District 10435 Taipei (Taiwan)		FC	100.00	100.00
Veolia Water Australia Pty Ltd and its subsidiaries Level 4, Bay Center, 65 Pirrama Road, NSW 2009 Pyrmont (Australia)		FC	100.00	100.00
Veolia Environmental Services Australia Pty Ltd and its subsidiaries Level 4, Bay Center, 65 Pirrama Road NSW 2009 Pyrmont (Australia)		FC	100.00	100.00
Veolia Recycling & Recovery Holdings ANZ PTY LTD and its subsidiaries Level 4, Bay Center, 65 Pirrama Road, NSW 2009 Pyrmont (Australia)		FC	100.00	100.00
Veolia Middle East and its subsidiaries 21 rue La Boétie 75008 Paris	505 190 801 00041	FC	100.00	100.00
Amendis 20 rue Imam Ghazali 90 000 Tanger (Morocco)		FC	100.00	100.00
REDAL SA 6 Zankat Al Hoceima, BP 161 10 000 Rabat (Morocco)		FC	100.00	100.00
Veolia Environmental Services Asia Pte Ltd 15 Tuas View Circuit 636968 Singapour (Singapore)		FC	100.00	100.00
WATER TECHNOLOGIES				
Veolia Water Tech and its subsidiaries Immeuble l'Aquarène 1, place Montgolfier 94417 St Maurice Cedex	414 986 216 00037	FC	100.00	100.00
OTV Immeuble l'Aquarène – 1 place Montgolfier 94417 St Maurice Cedex	433 998 473 00014	FC	100.00	100.00
Société Internationale de Dessalement (SIDEM) 1 rue Giovanni Batista Pirelli 94410 Saint-Maurice	342 500 956 00038	FC	100.00	100.00
OTHER				
Veolia Energie International and its subsidiaries 21 rue La Boétie 75008 Paris	433 539 566 00045	FC	99.99	99.99

The German subsidiaries of the Group are included in the enclosed consolidated financial statements. In accordance with section 264(3), 264-B and 291 of the German Commercial Code (HGB), these entities may be exempt from the obligation to publish an annual report and present consolidated financial statements under German GAAP. Subsidiaries that have opted for this exemption are listed below:

Publication exemption	Company	Country	Currency
Yes	GLOBALIS SERVICE GmbH & CO. KG	Germany	EUR
Yes	K. BONN ABFALLWIRTSCHAFTS GmbH & Co. KG	Germany	EUR
Yes	ROHSTOFFHANDEL KIEL GmbH & Co. KG	Germany	EUR
Yes	RST VEOLIA GMBH & CO. KG	Germany	EUR
Yes	VEOLIA UMWELTSERVICE SÜD GmbH & Co. KG	Germany	EUR

Note 16 AUDIT FEES

At the Combined General Meeting held on April 24, 2025, Deloitte & Associés was appointed as statutory auditors in charge of certifying the financial statements (see Section 1 of Operating and financial review).

Audit fees (Deloitte and Ernst & Young) certifying the Group's accounts amounted to €42 million for the 2025 fiscal year, including:

- €36 million in respect of the statutory audit of the accounts;
- €5 million in respect of services falling within the scope of diligences directly related to the audit engagement;
- €1 million for the certification of the sustainability statement set by the CSRD "Corporate Sustainability Reporting Directive".



Veolia Environnement

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